FRANCHISE DISCLOSURE DOCUMENT

Winmark Corporation
A Minnesota Corporation
605 Highway 169 N, Suite 400
Minneapolis, Minnesota 55441
Telephone: (763) 520-8500
franchisedevelopment@winmarkcorporation.com
www.onceuponachild.com

The franchisee will own and operate a Once Upon A Child® retail store from which the franchisee will sell quality used and new children's apparel, toys, equipment, furniture and accessories.

The total investment necessary to begin operation of a Once Upon A Child® store is from $355,700 to $485,900. This includes $48,200 to $55,900, which must be paid to us.

This disclosure document summarizes certain provisions of your franchise agreement and other information in plain English. Read this disclosure document and all accompanying agreements carefully. You must receive this disclosure document at least 14 calendar days before you sign a binding agreement with, or make any payment to, the franchisor or an affiliate in connection with the proposed franchise sale. **Note, however, that no government agency has verified the information contained in this document.**

You may wish to receive your disclosure document in another format that is more convenient for you. To discuss the availability of disclosures in different formats, contact the Franchise Development Department at 605 Highway 169 N, Suite 400, Minneapolis, Minnesota 55441, (763) 520-8500.

The terms of your contract will govern your franchise relationship. Don't rely on the disclosure document alone to understand your contract. Read all of your contract carefully. Show your contract and this disclosure document to an advisor, like a lawyer or an accountant.

Buying a franchise is a complex investment. The information in this disclosure document can help you make up your mind. More information on franchising, such as "A Consumer's Guide to Buying a Franchise," which can help you understand how to use this disclosure document, is available from the Federal Trade Commission. You can contact the FTC at 1-877-FTC-HELP or by writing to the FTC at 600 Pennsylvania Avenue, NW, Washington, D.C. 20580. You can also visit the FTC's home page at www.ftc.gov for additional information. Call your state agency or visit your public library for other sources of information on franchising.

There may also be laws on franchising in your state. Ask your state agencies about them.

Issuance Date: March 16, 2026 as amended October 13, 2026

How to Use This Franchise Disclosure Document

Here are some questions you may be asking about buying a franchise and tips on how to find more information:

QUESTION	WHERE TO FIND INFORMATION
How much can I earn?	Item 19 may give you information about outlet sales, costs, profits or losses. You should also try to obtain this information from others, like current and former franchisees. You can find their names and contact information in Item 20 or Exhibits A and B.
How much will I need to invest?	Items 5 and 6 list fees you will be paying to the franchisor or at the franchisor's direction. Item 7 lists the initial investment to open. Item 8 describes the suppliers you must use.
Does the franchisor have the financial ability to provide support to my business?	Item 21 or Exhibit C includes financial statements. Review these statements carefully.
Is the franchise system stable, growing, or shrinking?	Item 20 summarizes the recent history of the number of company-owned and franchised outlets.
Will my business be the only Once Upon A Child® business in my area?	Item 12 and the "territory" provisions in the franchise agreement describe whether the franchisor and other franchisees can compete with you.
Does the franchisor have a troubled legal history?	Items 3 and 4 tell you whether the franchisor or its management have been involved in material litigation or bankruptcy proceedings.
What's it like to be Once Upon A Child® franchisee?	Item 20 or Exhibits A and B list current and former franchisees. You can contact them to ask about their experiences.
What else should I know?	These questions are only a few things you should look for. Review all 23 Items and all Exhibits in this disclosure document to better understand this franchise opportunity. See the table of contents.

What You Need To Know About Franchising *Generally*

Continuing responsibility to pay fees. You may have to pay royalties and other fees even if you are losing money.

Business model can change. The franchise agreement may allow the franchisor to change its manuals and business model without your consent. These changes may require you to make additional investments in your franchise business or may harm your franchise business.

Supplier restrictions. You may have to buy or lease items from the franchisor or a limited group of suppliers the franchisor designates. These items may be more expensive than similar items you could buy on your own.

Operating restrictions. The franchise agreement may prohibit you from operating a similar business during the term of the franchise. There are usually other restrictions. Some examples may include controlling your location, your access to customers, what you sell, how you market, and your hours of operation.

Competition from franchisor. Even if the franchise agreement grants you a territory, the franchisor may have the right to compete with you in your territory.

Renewal. Your franchise agreement may not permit you to renew. Even if it does, you may have to sign a new agreement with different terms and conditions in order to continue to operate your franchise business.

When your franchise ends. The franchise agreement may prohibit you from operating a similar business after your franchise ends even if you still have obligations to your landlord or other creditors.

Some States Require Registration

Your state may have a franchise law, or other law, that requires franchisors to register before offering or selling franchises in the state. Registration does not mean that the state recommends the franchise or has verified the information in this document. To find out if your state has a registration requirement, or to contact your state, use the agency information in Exhibit G.

Your state also may have laws that require special disclosures or amendments be made to your franchise agreement. If so, you should check the State Specific Addenda. See the Table of Contents for the location of the State Specific Addenda.

Special Risks to Consider About *This* Franchise

Certain states require that the following risks be highlighted:

1. **Out-of-State Dispute Resolution.** The franchise agreement requires you to resolve disputes with the franchisor by arbitration only in Minnesota. Out-of-state arbitration may force you to accept a less favorable settlement for disputes. It may also cost more to arbitrate with the franchisor in Minnesota than in your own state.

2. **Spousal Liability.** Your spouse must sign a document that makes your spouse liable for all financial obligations under the franchise agreement even though your spouse has no ownership interest in the franchise. This guarantee will place both your and your spouse's marital and personal assets, perhaps including your house, at risk if your franchise fails.

3. **Financial Condition.** The franchisor's financial condition, as reflected in its financial statements (see Item 21), calls into question the franchisor's financial ability to provide services and support to you.

4. **Minimum Payments.** You must make minimum advertising, and other payments, regardless of your sales levels. Your inability to make the payments may result in termination of your franchise and loss of your investment.

Certain states may require other risks to be highlighted. Check the "State Specific Addenda" (if any) to see whether your state requires other risks to be highlighted.

TABLE OF CONTENTS

Item		Page
1	THE FRANCHISOR AND ANY PARENTS, PREDECESSORS AND AFFILIATES	1
2	BUSINESS EXPERIENCE	4
3	LITIGATION	6
4	BANKRUPTCY	6
5	INITIAL FEES	6
6	OTHER FEES	7
7	ESTIMATED INITIAL INVESTMENT	11
8	RESTRICTIONS ON SOURCES OF PRODUCTS AND SERVICES	14
9	FRANCHISEE'S OBLIGATIONS	16
10	FINANCING	18
11	FRANCHISOR'S ASSISTANCE, ADVERTISING, COMPUTER SYSTEMS AND TRAINING	18
12	TERRITORY	29
13	TRADEMARKS	30
14	PATENTS, COPYRIGHTS AND PROPRIETARY INFORMATION	31
15	OBLIGATION TO PARTICIPATE IN THE ACTUAL OPERATION OF THE FRANCHISED BUSINESS	32
16	RESTRICTIONS ON WHAT THE FRANCHISEE MAY SELL	33
17	RENEWAL, TERMINATION, TRANSFER AND DISPUTE RESOLUTION	33
18	PUBLIC FIGURES	38
19	FINANCIAL PERFORMANCE REPRESENTATIONS	39
20	OUTLETS AND FRANCHISEE INFORMATION	42
21	FINANCIAL STATEMENTS	50
22	CONTRACTS	51
23	RECEIPTS	51

EXHIBITS

A - List of Stores
B - List of Terminated Franchises
C - Winmark's Audited Consolidated Financial Statements
D - Once Upon A Child® Franchise Agreement (and exhibits)
E - Bank Draft Authorization
F - Franchisee Questionnaire
G - List of State Administrators/Agents for Service of Process
H - State Specific Addenda
I - State Effective Dates Page
J - Receipts

62 WI031626
63 WI101326

Item 1

THE FRANCHISOR AND ANY PARENTS, PREDECESSORS AND AFFILIATES

To simplify the language in this disclosure document, "Winmark" or "we" means Winmark Corporation, the franchisor. "You" means the person who buys the franchise. If the franchisee is a corporation, partnership, or other entity, "you" may also refer to its owners.

Winmark was incorporated under the laws of the State of Minnesota on July 20, 1988 under the name "Play It Again Sports Franchise Corporation." In July 1993, Winmark's corporate name was changed from "Play It Again Sports Franchise Corporation" to "Grow Biz International, Inc." In November 2001, our corporate name was changed from "Grow Biz International, Inc." to "Winmark Corporation." Winmark's principal business address is 605 Highway 169 N, Suite 400, Minneapolis, Minnesota 55441; our telephone number is (763) 520-8500. Winmark conducts business under the name Once Upon A Child®. Winmark also conducts business in 4 other separate lines of businesses under the names Play It Again Sports®, Music Go Round®, Plato's Closet® and Style Encore® (see Item 1 below).

Winmark has no parent. Winmark has no predecessors or affiliates that must be disclosed in this Item 1.

Winmark's agents for service of process are disclosed in Exhibit G.

Franchise Offered.

Winmark franchises Once Upon A Child® retail stores (sometimes referred to as a "Store") under the terms of the Franchise Agreement in the form included in this disclosure document as Exhibit D (the "Franchise Agreement"). A Once Upon A Child® Store is a retail store from which you will sell quality used and new children's apparel, toys, equipment, furniture and accessories. A Once Upon A Child® franchise emphasizes consumer value by offering quality used merchandise at substantial savings from the price of new merchandise and by purchasing customers' used goods that have been outgrown or are no longer used. A Store also offers new merchandise to supplement the selection of used goods.

The market for the goods and services which you will offer includes families with children and, to some extent, grandparents, relatives and friends purchasing children's apparel, toys, equipment, furniture and accessories. The market for used children's apparel, toys, equipment and furniture is expanding as consumers recognize the value associated with these used items. The market for new children's apparel, toys, equipment, furniture and accessories is well-developed and competitive.

Winmark has developed a marketing system which creates a certain product image in the minds of customers, a business strategy for getting and keeping customers, and a distribution method for products and services. Winmark has developed all of these as part of the business system (the "Business System") which you will receive the right to use. Winmark uses and

licenses certain service marks and trademarks, logos, trade dress and other commercial symbols, including the service mark Once Upon A Child® (collectively, the "Trademarks"). Winmark may, in the future, modify the Trademarks as well as add new trademarks, service marks, logos, trade dress and other commercial symbols.

The purchase of a Once Upon A Child® franchise permits you: (i) to use Winmark's internationally recognized Trademarks; (ii) to obtain access to the distinctive operational and management attributes of the Once Upon A Child® Business System, including confidential manuals describing complete guidelines for the operation of a Store (the "Manuals"); (iii) the right, under certain conditions, to participate in Winmark's preferred vendor program (see Item 8); and (iv) to receive the benefits of association with a nationally recognized franchise system, including various forms of opening and operational assistance from Winmark (see Item 11). You must comply with all of Winmark's requirements described in the Franchise Agreement and the Manuals. This compliance assures uniform and consistent application of the Business System which is essential to the successful operation of your Store.

If you are an existing Once Upon A Child® franchisee or an existing franchisee of one of Winmark's other brands in good standing, have been a franchisee of Winmark for at least 12 months and are opening an additional store, you must sign the Additional Store Addendum attached to the Franchise Agreement. Under special circumstances, Winmark may, at our sole discretion, waive the 12-month requirement.

Laws and Regulations.

You must comply with all laws, rules and regulations governing the operation of the Store, and obtain all permits and licenses necessary to operate the Store (including licenses to play music, videos or television in your Store, if applicable). In addition to laws and regulations that apply to businesses generally, your Store may be subject to local statutes or regulations that generally govern second-hand dealers and pawn shops. If applicable, these statutes and regulations may require that you report purchases of used merchandise, hold purchased items for a specified period before selling them and post a surety bond with a local government unit. You should check with state and local government entities to find out if these types of statutes or regulations will apply to your franchise. In addition, the Consumer Product Safety Commission closely monitors the safety of many of the items you will sell in your Store. Your Store will also be subject to various federal, state and local government regulations, including those relating to site location.

Competition.

You will likely compete with other children's resale shops, thrift and consignment shops, garage sales and Internet websites in the used children's apparel, toy, equipment, furniture and accessory segment of this business. Winmark and its franchisees are facing increased competition as additional competitors enter the used children's apparel, toy, equipment, furniture and accessory market.

You will face a significant number of direct competitors in the new children's apparel, toy, equipment, furniture and accessory segment of this business. You will have to compete with retailers, particularly discount stores, selling new children's apparel, toys, equipment, furniture

and accessories. In addition, you will likely face increased competition from children's superstores offering similar children's articles. Several competitors are regional or national retail systems of children's apparel, toys, equipment, furniture and accessories, and some will have significantly greater financial resources than Winmark and you.

Franchise Activities.

Winmark's business includes the administration of its franchise system (see Item 11), and the operation of 4 other franchise systems (described below).

Winmark has offered Once Upon A Child® franchises since January 1993 and operated one or more Once Upon A Child® Store from February 1993 to December 2005. Winmark also offers franchises in 4 other lines of businesses. Winmark offers franchises for the operation of Play It Again Sports® retail stores which sell used and new sporting goods equipment and accessories. Winmark has offered Play It Again Sports® franchises since August 1988 and, as of December 27, 2025, 309 Play It Again Sports® franchised stores were in operation. In addition, Winmark offers franchises for the operation of Music Go Round® retail stores which sell quality used and new musical instruments, speakers, amplifiers, music related electronics and related accessories. Winmark has offered Music Go Round® franchises since March 1994 and, as of December 27, 2025, 35 Music Go Round® franchised stores were in operation. Winmark also offers franchises for the operation of Plato's Closet® retail stores which sell used and new teen and young adult clothing and accessories. Winmark has offered Plato's Closet® franchises since March 1999 and, as of December 27, 2025, 526 Plato's Closet® franchised stores were in operation. Winmark offers franchises for the operation of Style Encore® retail stores which sell used and new women's and men's clothing and accessories. Winmark has offered Style Encore® franchises since April 2013 and, as of December 27, 2025, 67 Style Encore® franchised stores were in operation. Play It Again Sports®, Music Go Round®, Plato's Closet® and Style Encore® franchises are offered, if at all, in this state through separate disclosure documents describing Winmark and its franchise programs.

Winmark offered Disc Go Round® franchises (retail stores which sold used and new audio compact discs) from 1994 to 1998. Winmark offered It's About Games franchises (retail stores which sold used and new video and computer games) from 1997 to 1999. Winmark offered Computer Renaissance® franchises (retail stores which sold used and new personal computer hardware equipment, software and related accessories) from 1993 to 2000. Winmark offered ReTool® franchises (retail stores which sold used and new tools and small engine machinery) from June 1998 to November 2001. Winmark also offered Wirth Business Credit® franchises (businesses that offered small-ticket equipment leasing and financing services) from October 2005 to February 2011. Winmark no longer offers Disc Go Round®, It's About Games, Computer Renaissance®, ReTool®, or Wirth Business Credit® franchises.

Item 2

BUSINESS EXPERIENCE

Winmark Corporation's principal business address is 605 Highway 169 North, Suite 400, Minneapolis, Minnesota 55441. All Winmark executive and management positions described in this Item are located at Winmark's principal business address.

Chair of the Board, Director and Chief Executive Officer: Brett D. Heffes

Brett Heffes was elected Chair of the Board of Winmark in March 2020. Mr. Heffes was appointed to our board of directors and has served as Chief Executive Officer of Winmark since February 2016. He was President of Winmark from February 2011 to February 2016 and served as President of Finance and Administration of Winmark from December 2007 to February 2011. From November 2002 to September 2008, Mr. Heffes served as Chief Financial Officer and Treasurer of Winmark.

Chief Operating Officer: Renae M. Gaudette

Renae Gaudette has served as Chief Operating Officer of Winmark since February 2022. Ms. Gaudette served as President of Franchising of Winmark from March 2020 to February 2022. She was Winmark's Vice President of Franchising for the Once Upon A Child®, Plato's Closet®, Music Go Round® and Style Encore® Divisions from February 2014 to March 2020, and Play It Again Sports® Division from July 2016 to March 2020. She has been employed by Winmark in various positions since 1995, including Director of Plato's Closet® Division from March 2009 to January 2014.

Chief Financial Officer: Anthony D. Ishaug

Anthony Ishaug has served as Chief Financial Officer of Winmark since September 2008 and Treasurer since November 2009.

Chief Marketing Officer: Lisa Hake

Lisa Hake has served as the Chief Marketing Officer of Winmark since October 2025. Before joining Winmark, Ms. Hake held the position of Vice President of Marketing & Communications at Great Clips in Minneapolis, Minnesota, where she served from July 2017 until September 2025.

Vice President, Technology: Ryan D. Baune

Ryan Baune has served as the Vice President of Technology of Winmark since February 2025. Prior to joining Winmark, Ryan Baune served as Vice President of Technology at Taco John's International in St. Louis Park, Minnesota, from January 2024 to February 2025. Earlier, he was Chief Technology Officer at Steele Brands in Wayzata, Minnesota, between March 2022 and December 2023. He also worked at Buffalo Wild Wings in Minneapolis, Minnesota, from February 2014 to December 2021, including 4 years as Vice President of Restaurant Technology.

Vice President, Operations: Bradley W. Spencer

Brad Spencer has served as Vice President of Operations of Winmark since March 2020. Mr. Spencer was Director of the Once Upon A Child® Division of Winmark from October 2018 to March 2020 and Director of the Plato's Closet® Division of Winmark from March 2017 to March 2020. He was previously the Director of the Once Upon A Child® Division of Winmark for the period of January 2013 to March 2017. From March 2006 to January 2013, he was a Field Operations Manager for Winmark.

Vice President, Franchise Development: Shannon M. Hoppe

Shannon Hoppe has served as Vice President of Franchise Development of Winmark since December 2023. Ms. Hoppe was Sr. Director of Franchise and New Store Development of Winmark from October 2021 to December 2023. She was Director of Training and New Store Development of Winmark from March 2017 to October 2021 and Training Manager of Winmark from May 2012 to March 2017.

Vice President, Marketing: Sarah A. Broadwater

Sarah Broadwater has been Vice President of Marketing of Winmark since December 2023. Ms. Broadwater was Director of Marketing of Winmark from September 2016 to December 2023. She was previously a Marketing Manager of Winmark from November 2013 to September 2016 for Winmark

Director: Jenele C. Grassle

Jenele Grassle has been a member of Winmark's board of directors since January 2001.

Director: Lawrence A. Barbetta

Lawrence Barbetta has been a member of Winmark's board of directors since April 2012. Mr. Barbetta currently serves as Chairman of the Board and Chief Executive Officer of eLab Analytics in Wayzata, Minnesota, a position he has had since 2008.

Director: Gina D. Sprenger

Gina Sprenger has been a member of Winmark's board of directors since January 2021. Ms. Sprenger served as Chief Strategic Retail Officer for Fanatics, Inc. in Jacksonville, Florida from January 2020 to September 2022.

Director: Percy C. Tomlinson, Jr.

Percy Tomlinson, Jr. has been a member of Winmark's board of directors since December 2021 and serves as Lead Director. Mr. Tomlinson has also served as an Operating Partner with Blue Wolf Capital Partners LLC in New York, New York since September 2018. He served as Chief Executive Officer and Board Member of Alliance HealthCare Services in Irvine, California from October 2013 to August 2018.

Director: Amy C. Becker

Amy Becker was appointed to Winmark's board of directors in November 2022. Ms. Becker has also served as the Chief Legal Officer and Corporate Secretary at Donaldson Company, Inc. in Bloomington, Minnesota since September 2022. She served as Vice President, General Counsel and Secretary at Donaldson Company, Inc. from August 2014 to November 2022.

Director: Philip I. Smith

Philip Smith was appointed to Winmark's board of directors in March 2023. He has also served as Executive Chairman of Intricon Corporation in Arden Hills, Minnesota since June 2022 and as an Operating Partner of Altaris, LLC, a New York based investment firm since June 2022. Mr. Smith served as Managing Director with Kroll based in New York, New York from April 2017 to June 2022.

Item 3

LITIGATION

No litigation is required to be disclosed in this Item.

Item 4

BANKRUPTCY

No bankruptcy information is required to be disclosed in this Item.

Item 5

INITIAL FEES

You must pay to Winmark "Initial Fees" to cover the cost of goods and services that Winmark provides to you before your Store opens. The Initial Fees include the Initial Franchise Fee and the initial cost of Winmark's point-of-sale system and proprietary software. Each component of the Initial Fees is described below:

Initial Franchise Fee. If you are opening a single Store, you must pay an "Initial Franchise Fee" of $25,000 to Winmark. The Initial Franchise Fee is $15,000 if you are currently opening a second or subsequent Store or if you are an existing franchisee of one of Winmark's other franchised concepts. You must sign a separate Franchise Agreement for each Store, and you must pay the Initial Franchise Fee for each Store in a lump sum to us when you sign the Franchise Agreement for that Store. The Initial Franchise Fee is non-refundable.

Point-of-Sale (POS) System. You must use in your Store the point-of-sale system ("POS System") which Winmark has selected for your Business System, and you must enter into a Software License Agreement with Winmark for use of Winmark's proprietary software program (the "Proprietary Software"). The initial cost of the POS System and Proprietary Software payable in a lump sum to Winmark will range from $23,200 to $30,900 for each Store. This amount is not

refundable. You will generally purchase the POS System and Proprietary Software four weeks prior to the open to buy period. See Item 11 for additional information regarding the POS System and Proprietary Software.

The total amount of your Initial Fees will depend on the goods and services that Winmark provides to you.

Item 6

OTHER FEES

Type of Fee	**Amount** (See Note 1)	**Due Date**	**Remarks**
Continuing Fee	5% of your "Gross Sales" See Note 2	On or before Wednesday of each week for the previous week	See Note 3
Marketing Fee	$1,500 per year	January 1 of each year	See Note 4
Cooperative Advertising	Minimum required amount when combined with Advertising Fee and local marketing expenses is 6% of your Gross Sales	Established by Winmark or franchisees	See Note 5
Local Marketing Expenses	Minimum required amount, when combined with Advertising Fee and cooperative advertising expenses, is 6% of your Gross Sales.	Minimum amount must be spent during each calendar year.	See Note 6
North American Ad Fund	Beginning January 31, 2027, you will pay to the Ad Fund 2% of your Gross Sales, but may be increased to 3% of your Gross Sales	On or before Wednesday of each week for the previous week	See Note 7
Transfer Fee	$10,000	Before completion of transfer	See Note 8
Audit Expenses	Cost and expenses related to audit	After inspection or audit	Payable only if under-statement is greater than 2%
Renewal Fee	$10,000	At least 30 days before expiration of Franchise Agreement	
Software Fee	$295 per month (plus applicable taxes)	First day of each month	See Note 9
Technology Fee	Currently $0	Periodically, if established	See Note 10
Remodeling Expenses	Will vary under circumstances	When incurred	See Note 11

Type of Fee	**Amount** (See Note 1)	Due Date	Remarks
Insurance	Will vary under certain circumstances.	When Winmark requests reimbursement	Payable to Winmark if you fail to pay insurance premium and Winmark pays it for you
Inventory	Will vary under circumstances	When incurred	See Note 12
Interest Expenses	Lesser of 18% per year or maximum rate permitted by law	When due	Payable if Continuing Fee or other amounts due Winmark are not timely paid
Costs and Attorneys' Fees	Will vary under circumstances	When incurred	Winmark may recover costs and reasonable attorneys fees if you lose in a dispute with Winmark

Notes:

(1) Except where otherwise noted, all fees are payable to Winmark, are uniformly imposed and are non-refundable.

(2) "Gross Sales" means the total revenues you receive from the sale of goods and services, whether by cash or by check, credit card or trade, in connection with the Store, less customer refunds and returns. Gross Sales includes any sales permitted through the Internet. Gross Sales do not include wholesale transactions from Once Upon A Child® franchisees to other Once Upon A Child® franchisees in good standing with Winmark. Gross Sales will not include sales tax collected from customers and actually paid to appropriate tax authorities.

In certain situations, other franchisees may be paying a lower percentage rate for continuing fees than you are. All new franchisees are required to pay the percentage rate stated in this disclosure document. However, a franchisee with an earlier Franchise Agreement may have been required to pay a lower percentage rate than the stated amount or may be required to pay less upon renewal of their Franchise Agreement. In the future, Winmark may change the continuing fees for new and renewing franchisees unless your Franchise Agreement specifically grants you the right to renew your Franchise Agreement at a lower rate.

(3) Winmark requires you to allow us to withdraw continuing and other fees directly from your bank account.

(4) Your initial payment will be prorated based on the effective date of your Franchise Agreement and invoiced immediately. Winmark may, with a minimum of 60 days' prior written notice, increase the yearly Marketing Fee. Said fee will not increase more than $1,000 during the term of the Franchise Agreement.

(5) Winmark or local Once Upon A Child® franchisees may establish an advertising cooperative in your area. The local advertising cooperative will establish the amount of cooperative advertising fees; however, your required contribution will not be less than 0.5% of Gross Sales, regardless of any vote or bylaw of the cooperative. If a Company-owned store is a member of your cooperative, it will have voting power equal to that of franchised stores. Company-owned stores will not have controlling voting power in any local cooperative. There are currently no Company-owned Once Upon A Child® stores.

(6) To the extent your annual contributions to Advertising Fees and cooperative advertising programs are less than 6% of the Gross Sales for your Store, you must conduct additional advertising and marketing activities in your local geographic area. Your local marketing expenditures may include placement costs for advertising, merchandising, sales promotion and other forms of marketing at the local level, but will not include internal salaries or wages or any other costs not approved by Winmark. Your local advertising activities, however, will not eliminate your obligations to contribute to cooperative advertising programs. If you do not spend at least 6% of Gross Sales for a calendar year on Advertising Fees, approved cooperative advertising or local advertising, as applicable, Winmark may require that you pay Winmark the difference between what you should have spent for advertising during the calendar year and what you actually spent. In such case, Winmark will spend such amount as follows: deposit into the Ad Fund any Advertising Fees that should have been paid by you for the year, and spend any remaining amount on any type of advertising or marketing that Winmark deems appropriate for your business, although Winmark will use reasonable efforts to spend such remaining amount in your local geographic area.

(7) As further described in Item 11, Winmark has implemented an Ad Fund. As a result, beginning on January 31, 2027, you must pay Winmark an Advertising Fee of 2% of Gross Sales of your Store. Thereafter, Winmark may, with a minimum of 60 days' prior written notice, adjust the frequency and/or amount of the Advertising Fee to 3% of Gross Sales of your Store, and/or modify the frequency and minimum amounts you must spend on approved regional cooperative advertising and local marketing, provided the total of the Advertising Fee along with the minimum required amount you must spend on approved regional cooperative advertising and local marketing not exceed 6% of Gross Sales for your Store. You may, at your discretion, spend more than 6% of your Store's Gross Sales on advertising and marketing activities.

(8) This fee is payable when the Franchise Agreement or a substantial portion of the assets of the Store or any controlling interest in the franchisee is transferred.

(9) This fee covers services, including its maintenance and repair services, as well as for any updates, modifications and enhancements to the Software which Winmark elects to release. Your obligation to pay the Software Fee under the Software License Agreement will commence on the first day of the month following the opening of your Store, and remain in full force and effect until the Software License Agreement has expired or is terminated or transferred under its provisions herein. Winmark may, with a minimum of 60 days' prior written notice, change the frequency and/or the amount of the Software Fee. The Software Fee is subject to an annual increase of ten percent (10%). Adjustments are compounded

annually and cumulative, which may result in increases in any given year of greater than ten percent (10%) to adjust for prior years when no increase, or an increase of less than the permitted percentage increase, was implemented.

(10) As of the date of this Disclosure Document, Winmark does not charge a technology fee. Winmark may, however, with a minimum of 60 days prior written notice, establish a periodic technology fee for technology-related services provided by Winmark including, without limitation, services related to Winmark's extranet platform, current and future training platforms, and current and future social and digital media management platforms. As Winmark does not charge a technology fee at this time, Winmark has not determined the frequency or amount of the fee (if established), but estimates that the amount of the fee will be between $500 and $2,500 per year, per Store. If a technology fee is established, Winmark may, with a minimum of 60 days' prior written notice, subsequently change the frequency and/or the amount of the technology fee. Further, if a technology fee is established, it will be subject to an annual increase of ten percent (10%). Adjustments will be compounded annually and cumulative, which may result in increases in any given year of greater than ten percent (10%) to adjust for prior years when no increase, or an increase of less than the permitted percentage increase, was implemented.

(11) You must modernize your Store upon notice from Winmark, although Winmark cannot require you to do so more than once every 5 years. The modernization must conform to the standards that Winmark requires at that time for similarly situated new Once Upon A Child® Stores. The scope of modernization may range from simply repainting the Store to completely refurbishing the entire Store, including replacement of fixtures, sign supplies, equipment and POS System. Winmark cannot estimate the current costs for a modernization project because the scope and extent of the modernization will vary based on the then current brand standards, the condition of the Store and the cost of labor and materials at that time. You may make these payments in whole or in part to Winmark approved third parties and/or Winmark preferred vendors. Before you modernize your Store, you must submit your modernization plans to Winmark for our approval.

(12) You will need to replenish your Store inventory (both new and used items) regularly. Your quarterly costs for inventory will vary significantly, depending on such factors as seasonal changes in demand and your Store sales, although these costs generally range from $65,000 to $80,000.

[INTENTIONALLY LEFT BLANK]

Item 7

ESTIMATED INITIAL INVESTMENT

YOUR ESTIMATED INITIAL INVESTMENT

TYPE OF EXPENDITURES See Note 1	AMOUNT See Note 2	METHOD OF PAYMENT	WHEN DUE	TO WHOM PAYMENT IS TO BE MADE
INITIAL FRANCHISE FEE (See Note 3)	$25,000 See Note 3	Lump sum	When you sign the Franchise Agreement	Winmark
FIXTURES AND SUPPLIES	$60,000 to $75,000 See Note 4	Lump sum See Note 4	Before opening See Note 4	Third-party suppliers
SIGNS	$10,000 to $15,000 See Note 5	Lump sum	Before opening	Third-party suppliers
SECURITY SYSTEM AND/OR CAMERAS	$1,500 to $4,000 See Note 6	Lump sum See Note 6	Before opening	Third-party suppliers
POINT-OF-SALE (POS) SYSTEM	$23,200 to $30,900 See Note 7	Lump sum See Note 7	Upon placement of order - before training See Note 7	Winmark
LEASEHOLD IMPROVEMENTS	$11,000 to $21,000 See Note 8	As incurred	Before opening	Third-party contractors and architects
BUILD-OUT	$35,000 to $55,000 See Note 9	As incurred	Before opening	Third-party contractors and architects
DEPOSITS AND BUSINESS LICENSES	$5,000 to $15,000 See Note 10	Lump sum	Before opening	Landlord, utility companies and government agencies
OPENING INVENTORY	$75,000 to $85,000 See Note 11	As incurred	Prepaid at time of order before opening	Third-party suppliers and consumers
MISCELLANEOUS PRE-OPENING EXPENSES	$50,000 to $80,000 See Note 12	As incurred	Before opening	Third-party suppliers and utility companies
RENT – FIRST 3 MONTHS	$20,000 to $30,000 See Note 13	As incurred	As incurred	Landlord
ADDITIONAL FUNDS - 3 MONTHS	$40,000 to $50,000 See Note 14	As incurred	As incurred	Winmark, employees and third-party suppliers
TOTAL See Note 15	$355,700 to $485,900			

Notes:

(1) The typical size of a Once Upon A Child® Store ranges from 3,500 to 4,500 square feet. For several items discussed below, your cost will increase as the number of square feet increases.

(2) Except where otherwise noted, all fees that you pay to Winmark are nonrefundable. Third-party lessors, contractors, and suppliers will decide if payments to them are refundable. Neither Winmark nor an affiliate finances any part of the initial investment. (See Item 10.)

(3) The Initial Franchisee Fee for new Once Upon A Child® franchisees is $25,000. The Initial Franchise Fee is $15,000 for a second or subsequent store or for an existing franchisee of one of Winmark's other franchised concepts.

(4) Your investment in fixtures and supplies necessary to operate the Store is highly variable. Your exact investment depends on several factors, including the size and condition of the premises, inventory levels, transportation costs, financing costs and similar factors beyond Winmark's or your control. The cost will increase as the number of square feet increases.

(5) This item is for interior and exterior signs for the Store. All signs must meet Winmark's standards and comply with your landlord's requirements as well as any local government regulations. You must purchase all interior and exterior signs through Winmark's approved, preferred third-party suppliers.

(6) We require that you purchase a security system that includes security cameras, motion detectors, entrance security and glass breakage detectors. You must purchase a minimum of 4 cameras depending on the size of your Store.

(7) You must use in your Store the POS System which Winmark has selected for the Business System. (See Item 11.) You must obtain a license for the Proprietary Software from Winmark. The estimated amount includes the $6,000 software license fee that you pay Winmark for the Proprietary Software. It does not include sales tax and shipping costs. You must obtain the computer hardware components through Winmark.

(8) You will need to lease the premises for your Store. Rent is addressed in Note 13 below. Typical locations for your Store are smaller free-standing locations and strip shopping malls. You will need to make certain leasehold improvements to the leased premises for your Store to comply with Winmark's approved plans and standards. The estimated cost of leasehold improvements could include: flooring, slat wall, lighting, and décor. The exact cost will depend upon several factors, including the condition of the premises, whether you elect to do more than the minimum required renovations, the landlord's agreement to reimburse you for certain improvements and other economic factors.

(9) The build-out cost refers to the physical labor expense of building the store location to Winmark's approved brand standards. This may include installation of slat wall, wall standards, counter configuration, building store fixturization, installing flooring, painting,

etc. The exact cost will depend upon several factors, including the condition of the premises, cost of contracting and permitting.

(10) This amount includes utility and security deposits and business licenses. Deposits are generally refundable, but license fees are not.

(11) This amount assumes your opening inventory will include both new and used children's apparel, toys, equipment, furniture and accessories. Winmark strongly recommends that you have a minimum inventory level between $16.66 and $24.28 per square foot of retail selling space in inventory when you open your Store and encourages you to have a much larger amount of inventory. Winmark further recommends that 90% of the minimum recommended inventory be used inventory. This amount does not reflect amounts needed to replenish inventory during the initial stage of operation. Winmark may refuse to allow you to open your Store if you have less than $75,000 in used inventory. The mix of inventory offered at your Store will be subject to seasonal changes. If you open your Store shortly before or during the high point of these seasonal changes (late spring, late summer and early fall), you should expect to experience additional inventory expenses during the initial stage of operation (beyond the opening inventory costs identified in the Table).

(12) This amount includes lodging, meals and travel expenses for 2 persons attending the initial training program and the cost for participation in an online financial management course (currently $395) during the initial training program (see Item 11), telephone and high-speed internet hook-up, legal expenses, initial financing costs, building permits, pre-opening and buy day labor expenses, pre-opening and buy day advertising expenses, website development costs, shipping costs and accounting service expenses.

(13) This amount estimates the rent expense you will incur during the first 3 months of Store operations. Rent is estimated to be approximately $80,000 to $120,000 per year depending on factors such as size, condition and location of the leased premises. At times, franchisees are able to negotiate 2-4 months free rent with the landlord upon commencement of the lease. What you pay in rent will depend on local rental rates.

(14) This amount estimates the expenses you will incur during the first 3 months of Store operations, including initial wages and fringe benefits, insurance premiums, advertising, taxes, office, paper and cleaning supplies, and interest payments on any business loans. It does not include inventory costs beyond the opening inventory costs identified in the Table and does not include your compensation during this 3-month period.

(15) This total is an estimate of your pre-opening initial investment and the expenses you will incur during the first 3 months of Store operations. This total is based on Winmark's estimate of nationwide average costs and prevailing market conditions and Winmark's 37 years of experience in the franchise retail business and our 33 years of experience in this specific business.

Item 8

RESTRICTIONS ON SOURCES OF PRODUCTS AND SERVICES

You must license the Proprietary Software and purchase the computer hardware components for the POS System from us. Your purchase (or license) of the Proprietary Software and purchase of computer hardware components will represent less than 7% of the cost to establish your Store. The cost of the computer hardware components reflects Winmark's costs related to those items. Winmark does not mark up the cost of the computer hardware components to secure any additional revenue. Winmark does, however, charge a handling fee of approximately 4% on computer hardware component purchases.

Most of Winmark's officers own an interest in Winmark, the franchisor and, as further described in this Item 8, Winmark is an approved supplier of certain items to the Once Upon A Child® franchise system. Winmark's officers may also own an interest in other approved or "recommended" suppliers that: (1) is held indirectly through a mutual fund, 401(k) plan or similar mechanism by which the officer does not have the ability to manage the ownership of individual company stock or other interests; or (2) represents fewer than 1,000 units or shares of a supplier entity and less than 1% of the total outstanding equity interest in that supplier. Except as described in the 2 preceding sentences, Winmark's officers do not own an interest in an approved or "recommended" supplier.

To insure a uniform image and quality of products and services throughout the Once Upon A Child® system, you must maintain Winmark's quality standards. Although you will not lease your real estate from Winmark, you must obtain Winmark's consent to the location of your Store and Winmark will review the lease to insure it contains provisions designed to protect Winmark's interests (see Item 11). You must comply with Winmark's then-current approved standards in constructing and equipping your Store. You must use equipment (including hardware and certain software programs for the POS System), signs, fixtures, furnishings, products, supplies and advertising and sales promotion materials which meet Winmark's standards. In addition, you may sell from your Store only those categories of products and services that Winmark approves. Winmark periodically publishes for franchisees a list identifying approved product categories for use in a Once Upon A Child® store. Winmark may periodically update and alter these categories of products and services you may sell at Once Upon A Child® stores. Winmark does not establish standards for specific types of children's apparel, toys, equipment, furniture, accessories and other items sold in your Store. You may purchase products within an approved category from any legal and available source of supply.

While Winmark will provide you with a list of "recommended" suppliers for various items, Winmark does not currently maintain a list of approved suppliers nor does it maintain any criteria for approving suppliers of inventory. Any supplier who is able to provide items meeting Winmark's standards (if any) is, in effect, an approved supplier. Winmark may verify that the item the supplier provides meets Winmark's standards (if any). Winmark will provide you with a list of approved, preferred or designated suppliers of services. We do not provide material benefits to you based on your purchase of particular products or services or use of particular suppliers.

Third party vendors charge franchisees directly for products or services. We may offer services in the future, for which we may charge. Winmark has negotiated or will negotiate programs with a number of children's apparel, toy, equipment, furniture and accessory manufacturers and suppliers so that franchisees may benefit from volume purchasing, prepaid freight programs and favorable terms of purchase and return of defective merchandise.

In operating your Store, you will purchase used goods from your customers. These used goods are required to meet Once Upon A Child® buying standards, must fall within an approved category of goods, are not recalled products and are not determined to be unsafe upon reasonable inspection. Neither you nor any entity you or your owners have direct or indirect ownership interest in may act as, or be engaged as, a vendor, supplier, or service provider to your Store, or any other Once Upon A Child® store, or to the Once Upon A Child® system.

Winmark ordinarily establishes general standards for flooring, fixtures, signs, computer hardware and non-proprietary software used in your Store. Winmark periodically modifies or adjusts these standards as needed. Winmark will make these standards available for your inspection at Winmark's corporate headquarters (subject to your execution of a confidentiality agreement).

Winmark is an "approved supplier" (i.e., a supplier that provides items meeting Winmark's general standards for those items) for certain items used in your Store. These items include signs, advertising and sales promotion materials, and periodically other classes of products and supplies that you may use in operating your Store. Except for the Proprietary Software and computer hardware components discussed above (for which Winmark is generally the only source of supply), you may purchase any products, equipment, advertising, and promotional materials and other items from Winmark or any other manufacturer or supplier who can provide items meeting Winmark's standards (if any). You must, however, purchase your exterior and interior signs, carpet and flooring from an approved supplier designated by Winmark. In addition, you must use, at your expense, an approved supplier designated by Winmark for broadcast media placement and online advertising for your pre-opening and first year marketing activities. Further, you must use, at your expense, one of the approved suppliers designated by Winmark for accounting and bookkeeping services related to the operation of your Store.

During Winmark's last fiscal year, Winmark derived revenues of $3,654,540 from the sale of products, equipment and other items subject to Winmark's standards (including revenues of $2,560,780 from the sale of computer hardware components, computer software and licensing of the Proprietary Software to the franchisees of all of its franchised brands and revenues of $1,093,760 from inventory sold to Play It Again Sports® franchisees through the Play It Again Sports® buying group), or less than 5% of Winmark's total revenues of $86,055,700, as stated in Winmark's Consolidated Statement of Operations for the year ended December 27, 2025. Revenues received from the sale of computer hardware components, computer software and licensing of the Proprietary Software to Once Upon A Child® franchisees alone during the year ended December 27, 2025 were $1,083,190. During Winmark's last fiscal year, Winmark did not have any affiliates that derived any revenue, rebates or other material consideration based on a franchisee's required purchases or leases.

You must purchase and maintain, at your expense, comprehensive general liability insurance in an amount Winmark will designate periodically, but at least $1 million per occurrence and $2 million in the aggregate. This insurance must insure Winmark, you and any other person Winmark designates from liability for all damage or injury. You must also purchase business interruption insurance, business personal property insurance, money and securities insurance, and building insurance. In addition, you must maintain any other insurance as may be required under law.

Although Winmark provides certain administrative, technical, and advisory services and data to a limited number of suppliers, Winmark does not receive a fee from any suppliers as a result of transactions with franchisees. Winmark may receive a rebate from the vendor of the Constant Contact marketing program for franchisee participation which may be equal to 40% of the billed revenue for Constant Contact or an estimated total of approximately $295,000 per year.

Winmark estimates that the purchase or lease of equipment (including computer hardware and certain software), signs, fixtures, furnishings, products, supplies, and advertising and sales promotion materials (see Item 11 for information on advertising and sales promotion materials) which meet Winmark's standards (including those standards establishing general categories of goods and services that you may offer in your Store) will represent approximately 45% to 55% of the cost to establish your Store and 45% to 65% of the cost to operate your Store.

Winmark is not currently aware of any purchasing or distribution cooperatives in the Once Upon A Child® system that offer to you certain products used in your Store.

Item 9

FRANCHISEE'S OBLIGATIONS

This table lists your principal obligations under the franchise and other agreements. It will help you find more detailed information about your obligations in these agreements and in other items of this disclosure document.

Obligation		Section in Agreement	Disclosure Document Item
a.	Site selection and acquisition/lease	Sections 7(A) and 8(O) of Franchise Agreement	Item 11
b.	Pre-opening purchases/lease	Sections 6(D) and 8(D), (O) and (P) of Franchise Agreement	Items 5, 7, and 8
c.	Site development and other pre-opening requirements	Section 8(B) of Franchise Agreement	Items 5, 7, and 11
d.	Initial and ongoing training	Sections 7(D) and 8(L) of Franchise Agreement	Items 7 and 11
e.	Opening	Section 15(A)(1) of Franchise Agreement	Items 5 and 11

Obligation		Section in Agreement	Disclosure Document Item
f.	Fees	Sections 2(B)(4), 4, 5, 6, 8(P), 8(Q), 14(C)(6) and Exhibit B of Franchise Agreement	Items 5, 6, 7 and 11
g.	Compliance with standards and policies/Operating Manual	Sections 8(C), (I) and (N) of Franchise Agreement	Items 11 and 16
h.	Trademarks and proprietary information	Sections 3 and 9 of Franchise Agreement	Items 13 and 14
i.	Restrictions on products/services offered	Sections 1 and 8(D) and (P) of Franchise Agreement	Items 8, 11 and 16
j.	Warranty and customer service requirements	Section 8(D) of Franchise Agreement	Not Applicable
k.	Territorial development and sales quotas	Section 1(B) of Franchise Agreement	Item 12
l.	Ongoing product/service purchases	Section 8(D) of Franchise Agreement	Items 8 and 11
m.	Maintenance, appearance and remodeling requirements	Sections 2(B)(3) and 8(B) and (E) of Franchise Agreement	Item 11
n.	Insurance	Section 10 of Franchise Agreement	Items 6 and 8
o.	Advertising	Section 6 of Franchise Agreement	Items 6, 7 and 11
p.	Indemnification	Section 11 of Franchise Agreement	Not Applicable
q.	Owner's participation/ management/staffing	Sections 7(D) and 8(A) and (J) of Franchise Agreement	Items 11 and 15
r.	Records and reports	Sections 12(A) and (B) of Franchise Agreement	Item 6
s.	Inspections and audits	Section 12(C) of Franchise Agreement	Item 6
t.	Transfer	Sections 13 and 14 of Franchise Agreement	Items 6, 15 and 17
u.	Renewal	Section 2(B) of Franchise Agreement	Items 6 and 17
v.	Post-termination obligations	Section 17 of Franchise Agreement	Item 17
w.	Non-competition covenants	Section 18 of Franchise Agreement	Item 17
x.	Dispute resolution	Sections 18(D) and 19 of Franchise Agreement	Item 17
y.	Additional stores	Additional Store Addendum to Once Upon A Child® Franchise Agreement	Items 1, 5 and 7
z.	Owner/Shareholder/Spouse Guarantee	Sections 9(A), 12(C), 14(B), (C) and (D), 17(A), 18(A), (B) and (C) and 19(C) of Franchise Agreement and Exhibit C to Franchise Agreement	Item 15

Item 10

FINANCING

Winmark does not offer direct or indirect financing. We do not guarantee your note, lease or obligation.

Item 11

FRANCHISOR'S ASSISTANCE, ADVERTISING, COMPUTER SYSTEMS AND TRAINING

Except as listed below, Winmark is not required to provide you with any assistance.

Pre-opening Assistance. Before you open your Store, Winmark will:

(1) Provide assistance in your evaluation of a site for the Store and leasing issues related to the Store site (Franchise Agreement - Section 7(A).

(2) Provide you with specifications for the layout and design of the Store (Franchise Agreement - Section 7(B)).

(3) Provide you with a list of Winmark-approved suppliers for standard fixtures, equipment, supplies, and signage, and brand standard guidelines for certain fixtures and equipment. Winmark does not deliver, install, or otherwise provide these items directly, except for the point-of-sale system (Franchise Agreement - Section 7(C) and as described in Item 8 above).

(4) Provide the mandatory training program described below, including but not limited to, the pricing model built into the point-of-sale system, new and used product purchasing and the buyer certification process. While the point-of-sale system provides a guideline for pricing, Winmark does not determine the sales price for inventory in the Stores (Franchise Agreement - Section 7(D)).

(5) Provide you with hard or electronic copies of the confidential Manuals. You must keep the Manuals confidential and return them when the Franchise Agreement terminates (Franchise Agreement - Section 7(F)).

(6) Provide pre-opening assistance consisting of 1-2 days, typically 3-5 weeks prior to your actual Store opening (Franchise Agreement - Section 7(E)).

(7) Provide Store opening assistance on the day before and the day of the initial opening of your Store. Winmark need not provide this assistance if you are an existing franchisee and are opening an additional Store (Additional Store Addendum, Section 2). Winmark is not liable for damages arising out of your failure to open your Store by a particular date (Franchise Agreement - Section 7(E)).

(8) Assist you in developing a business plan (Franchise Agreement - Section 7(G)).

Ongoing Assistance. During the operation of your Store, Winmark will:

(1) Provide field consultants who conduct periodic evaluations of your Store and provide to you written reports to assist you in Store operations (Franchise Agreement - Section 7(H)).

(2) Provide, at your written request, advisory services relating to Store operations (Franchise Agreement - Section 7(H)).

(3) Periodically make available all changes and additions to the Business System generally made available to all franchisees (Franchise Agreement - Section 7(H)).

(4) Periodically furnish you with updated and revised material for your confidential Manuals, which is also available on the brand extranet site (Franchise Agreement - Section 7(H)).

(5) Develop advertising and marketing materials (Franchise Agreement - Section 7(H)).

Marketing Programs. Winmark establishes and conducts various marketing programs as follows.

You must pay Winmark a Marketing Fee of $1,500 per year payable on January 1 of each year. Winmark may, with a minimum of 60 days' prior written notice, increase the yearly Marketing Fee. Said fee will not increase more than $1,000 during the term of the Franchise Agreement. Winmark will use all Marketing Fees to conduct advertising research and public relations campaigns, develop websites and other online media programs, develop marketing materials such as television, radio, digital, social and print advertising production and promotional materials for use in each franchisee's local market, and implement advertising and marketing campaigns. Winmark may contract with outside marketing agencies and production companies to produce certain advertising, marketing and promotional materials. You may develop advertising and marketing materials for your own use, at your own cost, if you follow the Brand Style Guidelines and your materials are factually correct, accurately depict the Trademarks, and communicate the brand position and character that Winmark has established for Once Upon A Child® Stores. If you develop advertising or marketing materials, you must provide a copy of the materials to Winmark for our review and approval (in writing) before you use the advertising or marketing materials. If you desire to advertise or market on the Internet or in apps, you must follow Winmark's Internet Code of Conduct and the Brand Style Guidelines.

Winmark has established the Once Upon A Child Marketing Committee ("Committee") that serves in an advisory capacity to provide franchisees a forum to discuss marketing-related matters, including advertising strategies, brand positioning and promotional campaigns. The Committee includes representatives of qualified Once Upon A Child® franchisees, as well as Winmark professionals. When developing marketing strategy and allocating the use of Marketing

Fees, Winmark may collaborate with the Committee and may also consult with its Once Upon A Child® Franchisee Advisory Council ("FAC"). Winmark appoints franchisees to serve as members of the FAC. All FAC and Committee members (jointly, "Members") must be in good standing and remain in good standing during their term. All Members serve for a term determined by Winmark. The FAC serves in an advisory capacity to, among other objectives, provide advice on advertising, research and promotional activities to Winmark and its outside advertising agencies. Winmark has the power to form, change or dissolve the Committee and/or FAC in its sole discretion.

Each new Once Upon A Child® franchisee must pay the Marketing Fee. Your Marketing Fee for the first year of your Business will be prorated from the effective date of your Franchise Agreement. Other franchisees pay the same amount or, for some franchisees under earlier versions of the Once Upon A Child® Franchise Agreement, a lesser amount, for a Marketing Fee. In addition, any future Winmark-owned units will also pay the Marketing Fee on the same basis as franchisees. Winmark administers the use of Marketing Fees collected from franchisees. Winmark does not prepare a financial statement as to the collection and use of Marketing Fees, nor are the Marketing Fees audited. Winmark will, however, provide to you, at your request, an accounting of the most recently completed fiscal year. Winmark does not receive an administrative fee to cover related sales promotion, marketing and administrative expenses.

During Winmark's 2025 fiscal year, Winmark spent 100% of the Marketing Fees Winmark collected on production of advertising and marketing programs as outlined above.

Winmark is not obligated to spend any amount of the Marketing Fee on advertising in the area or territory where you are located. Winmark will carry over for future use Marketing Fees not spent in any fiscal year. Winmark does not use Marketing Fees for advertising principally directed at the sale of franchises.

You also must participate in and contribute to the local advertising cooperative established in the Designated Market Region (DMR) where your Store is located, if the DMR contains 2 or more unaffiliated franchisees. Your required contribution will not be less than 0.5% of Gross Sales, regardless of any vote or bylaw of the cooperative. You will not be obligated to contribute more than 6% of the Gross Sales for your Store to your local advertising cooperative.

Each local advertising cooperative must adopt written advertising cooperative bylaws which follow the format Winmark has approved. You may request a copy of the bylaws of the cooperative (if one has been established) for your market area from the cooperative president or Winmark. Each cooperative will determine its own voting procedures so long as those procedures are consistent with the general operating rules Winmark has established. The members of the local cooperative and their elected officials are responsible for administering the local cooperative. Winmark strongly recommends, but does not require, that advertising cooperatives prepare annual financial statements and make those financial statements available to all franchisees in that advertising cooperative. Winmark has the power to establish advertising cooperatives and the bylaws, policies and rules under which the advertising cooperatives will operate.

To the extent your annual contributions to Advertising Fees and cooperative advertising programs are less than 6% of the Gross Sales for your Store, you must conduct additional advertising and

marketing activities in your local geographic area. Your local marketing expenditures will include placement costs for advertising, merchandising, sales promotion and other forms of marketing at the local level, but will not include internal salaries or wages or any other costs not approved by Winmark.

Winmark has announced that effective October 13, 2026, it is implementing a North American Ad Fund ("Ad Fund") for all Once Upon A Child® franchisees in the United States and Canada. The Ad Fund will be used to provide advertising and promotional materials and services to you and other Once Upon A Child® stores, as well as conduct national advertising or promotional campaigns. As further described in Item 6, beginning January 31, 2027, you will be required to pay Winmark an Advertising Fee of 2% of Gross Sales of your Store, which will be calculated weekly using the sales reports submitted for your Store as described in Section 5(B) of the Franchise Agreement. Winmark may, with a minimum of 60 days' prior written notice, adjust the frequency and/or amount of the Advertising Fee to 3% of Gross Sales of your Store. In addition, Winmark may, with a minimum of 60 days' prior written notice, modify the frequency and/or minimum amounts you must spend on approved regional cooperative advertising and local marketing. While you may elect to spend more than 6% of Gross Sales on advertising and marketing, the combined minimum required amounts for the Advertising Fee, approved regional cooperative advertising and local marketing will not exceed 6% of Gross Sales for your Store. Other franchisees may pay a greater or lesser Advertising Fee. In addition, any future Winmark-owned Once Upon A Child® store will also pay the Advertising Fee on the same basis as franchisees.

The Ad Fund will be administered and managed by Winmark. The Ad Fund is not a trust or escrow account, Winmark has no fiduciary obligation to you or any other Once Upon A Child franchisee with respect to the Ad Fund, and Winmark is not required to segregate the Advertising Fees and other funds it receives into a separate restricted account. Winmark will not prepare a financial statement as to the collection and use of the Ad Fund, nor will it be audited. However, Winmark will provide you with an annual unaudited statement of the receipts and disbursements of the Ad Fund. Winmark will not be obligated to spend any amount on advertising in the area or territory where you are located. Winmark may collect an administrative fee to cover related sales promotion, marketing and administrative expenses. Reasonable disbursements from the Ad Fund may be made solely for the payment of expenses incurred in connection with the general promotion of the Marks and the Business System, including the cost of formulating, developing and implementing advertising and promotional campaigns; and the reasonable costs of administering the Ad Fund, including accounting and other professional expenses and the actual costs of salaries and fringe benefits paid to employees of Winmark or its affiliates, or contractors engaged in administration of the Ad Fund. Winmark will not use the Advertising Fees to sell additional franchises. Winmark may spend, on behalf of the Ad Fund, in any fiscal year, an amount that is greater or less than the aggregate contribution of all Once Upon A Child® stores to the Ad Fund in that year. Any Ad Fund contributions Winmark collects but does not spend in any fiscal year will be carried forward to the next fiscal year. If Winmark incurs Ad Fund expenses in excess of Ad Fund contributions it collects during any fiscal year, Winmark will carry those expenses forward and pay them using Ad Fund contributions it collects during the next fiscal year. Winmark or its affiliates may make loans to the Ad Fund bearing interest to cover any deficits of the Ad Fund and cause the Ad Fund to invest any surplus for future use by the Ad Fund. If Winmark or its affiliates make a loan to the Ad Fund, Winmark may use any subsequent contributions to the

Ad Fund to pay back the loan and any interest. Winmark may, with a minimum of 60 days' prior written notice, modify or discontinue the Ad Fund, however, Winmark will not discontinue the Ad Fund for any reason until all the monies in the Ad Fund have been expended.

Winmark has established the Winmark Technology Council ("Council") to serve in an advisory capacity regarding technology programs, systems, and policies across Winmark's franchise systems. Winmark may change or discontinue the Council at any time in its sole discretion.

Point-of-Sale System. You must install a computerized point of sale system ("POS System") purchased through Winmark Corporation. This system is periodically modified in response to business operations, marketing conditions, and changes in technology. As of March 1, 2026, the POS System includes the following minimum components:

One dedicated Business Server with the minimum of three Desktop Computers ("register station") for use with your required software as described below. The number of register stations you need will be determined by Winmark based on the size and location of your Store and other operational requirements. The following are the major components of the required POS System:

- Winmark configured Business Server
- Winmark configured Register station / POS computers
- Flat-Panel LED Touch Screen Monitor (one required for each register station)
- Gigabit Ethernet Network Switch
- Firewall device
- Keyboard, Video, and Mouse Switchbox (one required)
- Uninterruptible Power Supply / Battery Backup (one required for the Business Server and each register station)
- Thermal Receipt Printer (one required for each register station)
- Thermal Label Printer (two required)
- Cash Drawer (one required for each register station)
- Barcode Scanner (one required for each register station)
- Pole Display Device (one required for each register station)
- Point-of-Sale (POS) System
- Server Operating System License
- Workstation Operating System License (one required for each register station)
- Remote Software
- Imaging Software
- Antivirus Software
- Database Software

Another required component to the POS System, which must be obtained from a local internet service provider (ISP), is a broadband internet connection:

- DSL, Cable or other Dedicated high-speed internet connection with minimum download speeds of 20 MB and upload speeds of 5 MB (No 5G)

- An Internet Browser
- E-mail Address

The initial cost of purchasing the POS System from Winmark currently ranges from $23,200 to $30,900 (see Item 7).The POS software is owned by Winmark. You must obtain a license for it from Winmark. Winmark will provide ongoing maintenance, repairs and updates to the POS software (Software License Agreement, Section 1(E)).

You must pay Winmark a Software Fee of $295 (plus applicable taxes) per month payable on first day of each month. The Software Fee covers services relating to the Proprietary Software, including without limitation its maintenance and repair services, as well as for any updates, modifications and enhancements to the Proprietary Software which it elects to release (Software License Agreement, Section 1(E) and Franchise Agreement, Section 8(P)). Your obligation to pay the Software Fee will commence on the first day of the month following the opening of your Store. Winmark may, with a minimum of 60 days' prior written notice, change the frequency and/or the amount of the Software Fee, subject to the limitations described in Item 6 and Section 1(E) of the Software License Agreement. Technology is constantly changing. Winmark may require you to update your POS System every 5 years or more often depending on changes in technology and Winmark's current standards. There are no contractual limitations on the frequency and cost of this requirement (Software License Agreement, Section 1(E) and Franchise Agreement, Section 8(P).

Winmark, or a third-party vendor that Winmark selects, will provide you with Proprietary Software and the rest of the POS System components. Winmark currently has independent access to certain operational and financial information and data produced by your POS System. There are no contractual limitations on Winmark's right to access the information and data (Franchise Agreement, Section 8(P)).

Although Winmark does not charge a Technology Fee as of the issuance date of this disclosure document, Winmark may, upon a minimum of 60 days' prior written notice, charge you a periodic Technology Fee for technology-related services provided by Winmark which may include services related to Winmark's extranet platform, current and future training platforms, and current and future social and digital media management platforms (Franchise Agreement, Section 8(Q)). Winmark estimates that, if established, the amount of the technology fee will be between $500 and $2,500 per year, per Store. If a technology fee is established, Winmark may, with a minimum of 60 days' prior written notice, subsequently change the frequency and/or the amount of the technology fee, subject to the limitations described in Item 6 and Section 8(Q) of the Franchise Agreement.

Site Selection. If you already have a potential site for a Once Upon A Child® Store, you may propose the location to Winmark. We may consent to the site after we have independently evaluated it. If you do not have a proposed site, Winmark will furnish you with its general site selection and evaluation criteria. Winmark will review and approve the area where a franchisee may select a site and will provide you with a map of the approved area. You are solely responsible, however, for locating and obtaining a site in the approved area which meets Winmark's standards and that is acceptable to Winmark. Winmark does not own or lease and sublease the Store location

to its franchisees. You will deal directly with your Landlord when leasing the premises for your Once Upon A Child® store.

You must obtain Winmark's consent to the proposed site for your Store. The general site selection criteria on which Winmark bases its approval and which you should consider include traffic patterns, ease of ingress and egress, local competition, physical attractiveness of the facility, reputation of the shopping area, population of the surrounding area, demographic surveys and buyer behavior information, size and rental cost of property and similar factors. Winmark typically will approve a site within 48 hours after receiving a site approval request from its franchisees. You should determine if there are acceptable sites in your proposed development area prior to executing the Franchise Agreement. If Winmark and you cannot agree on a site for your Store, Winmark may allow you to consider sites within another development area in or near your Exclusive Area. If you and Winmark cannot agree on a site location, the Franchise Agreement will be terminated and you will not receive a refund of the Initial Franchise Fee.

Development Time. The typical length of time between Winmark's acceptance of the Franchise Agreement and the opening of your business is approximately 9-12 months. Once the Franchise Agreement is executed, by its terms you will have up to 12 months to open your Store. The factors that may affect the store opening process may include permitting delays, construction and build-out delays, sign, equipment and inventory acquisition, lease negotiations and financing or staffing issues. You will be in default of your Franchise Agreement if you fail to open your Store within the 12-month period.

Training. Winmark conducts its 2-part training program at Winmark's training center in Minneapolis and through online training sessions. The training program is typically offered 12 times per year. The first session of the training program, Resale University™ 101 Training, covers several aspects of set up and opening of a franchised retail business, including real estate matters, business plan development, buying used products, Winmark's preferred vendor program and other topics Winmark may select. The first session will take place over a period of 4 days. At Resale University™ 101 Training, you will be required to register for an online financial management course conducted by Winmark's third party vendor. This course will educate you on how to understand your financial statements and utilize the information to build your business. The second session of the Once Upon A Child® training program, Resale University™ 201 Training, is attended after securing financing, executing a lease for a retail site and completing the online financial management training program. It is conducted over a period of at least 5 days and will include instruction on sales, customer service, marketing, advertising, computer operation and store inventory, staff and financial management, as well as topics Winmark may select. Winmark will not allow you to open your Store unless you successfully complete both sessions of the training program to Winmark's satisfaction. If you are an existing Winmark franchisee and are opening an additional store, Winmark may require you to attend Winmark's training program.

TRAINING PROGRAM

First Session (Resale University™ 101 Training)

Subject	Hours of Classroom Training	Hours of "Hands-On" Training	Location
Business Planning	1	5	Minneapolis, MN
Real Estate	1.5	0	Minneapolis, MN
Legal Structure & Financing	1.5	0	Minneapolis, MN
Store Development and Trade Look Standards	2.0	0	Minneapolis, MN
Accounting & Bookkeeping	1.5	0	Minneapolis, MN
Introduction to Advertising & Local Marketing	4	0	Minneapolis, MN
Service Vendor Overview	2	0	Minneapolis, MN
Winmark Connect & Learning Management System	1	0	Minneapolis, MN
Introduction to Buying Used Product	2.5	0	Minneapolis, MN
Product Knowledge	2.5	0	Minneapolis, MN
New Product Assortment	1	0	Minneapolis, MN
In Store Training	0	2	Minneapolis, MN
TOTALS	20.5	7	

Second Session (Resale University™ 201 Training)

Subject	Hours of Classroom Training	Hours of "Hands-On" Training	Location
Store Operations	4	0	Minneapolis, MN
Marketing & Social Media	2	4	Minneapolis, MN
POS System Training	1	4	Minneapolis, MN
Buyer Certification	4	3	Minneapolis, MN
Employee Management	2	0	Minneapolis, MN
Loss Prevention	1.5	0	Minneapolis, MN
Customer Service	1.5	0	Minneapolis, MN
Financial Management	1.5	0	Minneapolis, MN
Business Plan Updates	0	1.5	Minneapolis, MN

Subject	Hours of Classroom Training	Hours of "Hands-On" Training	Location
Inventory Management	1.5	0	Minneapolis, MN
Visual Merchandising	1	0	Minneapolis, MN
New Product Assortment	1	0	Minneapolis, MN
TOTALS	21	12.5	

The instructional materials include the Once Upon A Child® Operations Manual, the electronic POS User's Guide and Guide to POS Reports, the Buyer Certification Manual, lecture, classroom discussion, hands-on demonstration and practice.

Micaela Elzea, Director of Training and New Store Development, is responsible for the training department. Micaela joined Winmark in April of 2013 as a New Store Development Manager and was promoted in 2016 to Plato's Closet Field Operations Manager In 2018, Micaela returned to the training department as a Training Manager and was promoted to Senior Training Manager in 2021. Most recently, Micaela was promoted to the Director of Training and New Store Development in July 2024 in which she oversees training for all brands. Other Winmark employees may also participate in providing and conducting aspects of the training program. All instructors will typically be employed by Winmark for a minimum of 2 months and have a minimum of 2 years' experience in the topic they are teaching.

Winmark does not charge a fee for the training program. You are, however, responsible for travel and living expenses that you and your representatives (if any) incur while attending the training program and the cost for participating in the online financial management course. See Item 7 for additional information on those expenses. Winmark currently does not require franchisees to attend any additional training programs.

Brand Operations Manual. Winmark provides you with an electronic copy of its confidential Once Upon A Child® Operations Manual. The Operations Manual is subject to periodic updates and changes and the number of pages per section may vary. The Operations Manual, as of March 1, 2026, is divided into the following subjects:

Subject	Number of Pages
General Information	1
Company Structure	6
Store Operations	20
Inventory Management	4
Employee Management	7
Advertising & Marketing	9
TOTAL	47

In addition, Winmark will provide electronic access to the following guides:

Loss Prevention Manual
Buyer Certification Manual

Title	Total Number of Pages
Loss Prevention Manual	50
Subject	**Number of Pages**
Introduction	2
Communication	11
Sort & Evaluate	6
Pricing & Computer Entry	5
Presenting the Offer	5
Processing the Completed Buy	6
Buying Situations	16
Safety	11
TOTAL	62

Visual Merchandising Guide

Subject	Number of Pages
Goals & Strategies of Merchandising	2
Floor Layout & Fixtures	8
Merchandising Standards	8
In-Store Signage	12
TOTAL	30

Store Standards Manual

Subject	Number of Pages
Store Standards	10
Expansion & Relocation Process	1
Multi-Store Request Process & Standards	1
Renewal Process Standards	2
Brand Standards Checklist	3
TOTAL	17

Winmark will also provide you with access to the electronic POS User's Guide and Guide to POS Reports. The current POS User's Guide, as of March 1, 2026, is divided into the following subjects:

Subject	Number of Pages
Overview	30
Miscellaneous	8
Registers	86
Maintenance	150
Reports	76
Order/Receiving	30
Closing	14
Configuration	40
Help	6
Accounting Export Interface	66
Helpful Technical Information	12
Glossary	2
Index	9
TOTAL	529

The Guide to POS Reports, as of March 1, 2026, is divided into the following subjects:

Subject	Number of Pages
Overview	7
Inventory Reports	44
Sales Reports	28
Buy Reports	22
Misc. Reports	16
Ord/Rec Reports	10
Cycle Count Menu Reports	20
Closing Reports	33
TOTAL	180

Winmark will provide you with access to the electronic New Product Buying Guide. The current New Product Buying Guide, as of March 1, 2026, is divided into the following subjects:

Topic	Number of Pages
Assortment Planning	21
Juvenile Products	37
Toys	20
Accessories	13
Purchase Order Worksheets	53
Freight	15
TOTAL	159

Winmark Connect, the Once Upon A Child® extranet, Winmark's tool resource and reporting site, provides a location for additional support items covering all aspects of the Once Upon A Child® business. Content is continuously updated to meet the changing business environment.

Item 12

TERRITORY

You will receive an "Exclusive Territory" surrounding the location of the Store when granted a Once Upon A Child® franchise. Exhibit A to the Franchise Agreement describes the Exclusive Territory. Computer modeled mapping which factors in population density and average household income and consumer traffic patterns will determine the boundaries of the Exclusive Territory, which is typically a 3 to 5 mile radius around your Store. Winmark will designate a development area within your Exclusive Territory. You can select a site for your Store within this development area, subject to Winmark's consent to that site. The Exclusive Territory for Stores located in urban areas (metropolitan areas with a population in excess of 250,000 persons) generally will have a minimum population of 75,000 to 100,000 persons. The Exclusive Territory for Stores located in all other areas generally will have a minimum population of 50,000 persons. Winmark will not establish another franchised or company-owned Once Upon A Child® Store at a physical location in your Exclusive Territory. Although Winmark does not do so as of the issuance date of this disclosure document, Winmark reserves the right to distribute products through alternative channels of distribution, including the Internet (or any other existing or future form of electronic commerce), using the Trademarks inside or outside of the Exclusive Territory so long as these activities are not solely for Winmark's benefit but provide some benefit (as described in the Franchise Agreement) to Once Upon A Child® franchisees. Winmark also reserves the right to distribute products through alternative channels of distribution or establish franchised or company-owned businesses selling similar products or services under a trademark different from the Trademarks inside or outside of the Exclusive Territory.

You do not need to achieve a certain sales volume or market penetration to retain the Exclusive Territory under the Franchise Agreement. You may relocate the Store only with Winmark's prior written consent, which Winmark will not unreasonably withhold. Winmark will approve relocation within the Development Area if the retail area demographics meet our requirements and the financial model continues to work in the new location. In addition to the

criteria listed above, Winmark will approve relocation outside the Development Area but inside the Exclusive Territory if we determine that the new location's proximity to other Once Upon A Child® stores will not impact their store sales or customer base. Winmark will only allow a relocation outside of the Exclusive Territory if there are no viable locations within the Exclusive Territory and the new location is a reasonable distance from the existing Exclusive Territory so not to affect the existing customer base or interfere with the Exclusive Territory or sales of other franchisees.

You may advertise outside your Exclusive Territory and may serve customers from outside your Exclusive Territory. Likewise, Winmark and other Once Upon A Child® franchisees may, without any compensation to you, advertise within your Exclusive Territory and may serve customers who reside within your Exclusive Territory without compensation to you. You may not use alternative channels of distribution, including the Internet, catalog sales, telemarketing or other direct marketing methods to make sales inside or outside your Exclusive Territory unless specifically authorized by Winmark.

Winmark will not grant to you any options, rights of first refusal or similar rights to acquire additional franchises within a particular territory. Except as disclosed in this Item 12 or as specifically allowed by the Franchise Agreement, Winmark cannot alter your territory rights.

Item 13

TRADEMARKS

Winmark grants you the right to operate a Store under the name Once Upon A Child®, a federally registered trademark. You must also use other trademarks, service marks, trade names and commercial symbols (collectively, "Trademarks") which Winmark develops or requires to identify your Store and its goods and services.

The following schedule lists only the principal Trademarks that Winmark licenses you to use:

Trademark, Service Mark or Design	U.S. Reg. No.	Principal/ Supplemental Register	Date of Registration	Comment
ONCE UPON A CHILD	1,668,930	Principal	12/17/91	Section 8/15 Affidavit filed; Renewed
ONCE UPON A CHILD and design	1,821,841	Principal	2/15/94	Section 8/15 Affidavit filed; Renewed
ONCE UPON A CHILD and design	1,856,930	Principal	10/04/94	Section 8/15 Affidavit filed; Renewed
KIDS' STUFF WITH PREVIOUS EXPERIENCE	1,926,022	Principal	10/10/95	Section 8/15 Affidavit filed; Renewed

Your use of the Trademarks and any goodwill is to Winmark's exclusive benefit and you retain no rights in the Trademarks. You retain no rights in the Trademarks when the Franchise Agreement expires or terminates. You may make changes or substitutions to the use of the Trademarks only if Winmark directs you to do so. If Winmark requires that you modify or discontinue using a trademark, you will not have any rights to compensation.

There are no currently effective determinations of the Patent and Trademark Office, the Trademark Trial and Appeal Board, the trademark administrator of any state or any court, or any pending infringement, opposition or cancellation proceeding, or any pending material litigation, involving any Trademarks that are relevant to Once Upon A Child® operations in this state. There are currently no agreements in effect that significantly limit Winmark's rights to use or license the use of any Trademarks listed in this Item 13 in any manner material to the franchise. Winmark is unaware of any superior rights or infringing uses which could materially affect your use of the Trademarks.

Winmark is not required to protect you against infringement or unfair competition claims arising out of your use of the Trademarks, or to participate in your defense or indemnify you. Winmark reserves the right to control any trademark litigation and will take the action Winmark believes appropriate if a third party infringes Winmark's Trademarks. You must notify Winmark promptly if you become aware of any infringement or unauthorized use of the Trademarks and cooperate with any action that Winmark takes. Winmark will pay the cost and expense of all litigation that Winmark incurs, including attorneys' fees, specifically related to the Trademarks. However, Winmark is not required to take affirmative action when notified of these uses or claims. If any party claims that its rights to use any of the Trademarks are superior and Winmark confirms that claim, you must, at your expense, immediately make the changes and use the substitutions to the Trademarks as Winmark requires.

Item 14

PATENTS, COPYRIGHTS AND PROPRIETARY INFORMATION

There are no patents or copyrights currently registered or pending which are material to the Once Upon A Child® franchise offered, although Winmark does claim copyright protection for each of its Once Upon A Child® Manuals, and for various sales promotion and other materials periodically published or located on its extranet website or a third-party applications as designated by Winmark. You must keep confidential during and after the term of the Franchise Agreement all information contained in the Manuals as well as any other information that Winmark may designate as confidential. The term "you," as used in this Item 14, means you (the franchisee), as well as your Personal Guarantors and owners, as applicable. This additional confidential information includes certain inventory pricing and management information, supplier lists and various marketing strategies. You cannot duplicate or provide any information contained in the Manuals to any party other than, during the term of the Franchise Agreement, those of your employees who need to know that information. When the Franchise Agreement terminates or expires, you must return to Winmark all copies of each Manual and all other material Winmark has provided to you, specifically those copyrighted or designated as confidential. You may not use confidential information for the purpose of machine learning, augmented human intelligence

development, training any artificial intelligence ("AI") model, algorithm improvement, or similar data aggregation activities without the express written consent of Winmark. Such uses shall not be deemed related to the performance of the Franchise Agreement and are expressly prohibited. You shall not, without prior written consent by Winmark, input any confidential information into any generative AI platform, or disclose such information to any provider or source of generative AI services. You shall opt out of allowing any provider or source of generative AI to utilize confidential information for training of any AI model or for other purposes.

The Proprietary Software is the proprietary property of Winmark. (See Item 11.) You must keep confidential during and after the term of the Software License Agreement all information relating to the Proprietary Software. You cannot duplicate the Proprietary Software, although you can maintain one extra copy for backup purposes. When the Software License Agreement terminates, you must return all copies of the Proprietary Software to Winmark or destroy all copies of the Proprietary Software.

Winmark does not contract with individual franchisees to protect the copyrights, to protect individual franchisees against infringement or unfair competition claims arising out of the franchisee's use of the copyrights, or to participate in the franchisee's defense or indemnify the franchisee. Winmark reserves the right to control any copyright litigation and will be the sole judge as to whether any suit will be brought or settled when any person or entity infringes Winmark's copyrights.

Item 15

OBLIGATION TO PARTICIPATE IN THE ACTUAL OPERATION OF THE FRANCHISED BUSINESS

If you are an individual, you must be the on-site owner/operator and personally manage the Store unless you receive Winmark's prior consent to delegate your authority to manage the Store. If you operate more than one Store, you may delegate your management duties for additional Stores to one or more managers. Winmark may require Store Managers for franchisees operating multiple stores to attend the second session (Resale University™ 201) of the new store training program.

Although Winmark does not prohibit you from being employed by a company other than the Once Upon A Child® business, your primary job responsibility must be the operation of the Store. If you are a corporate entity or a partnership, one individual must retain at least 50% of the equity and voting interest in the corporation entity or partnership and will be obligated to personally manage and operate the Store.

Each individual who owns a 10% or greater interest in the franchisee entity is considered a principal owner and all principal owners and their spouses must sign the Personal Guaranty attached to the Franchise Agreement. These people agree to discharge all obligations of the franchisee to Winmark under the Franchise Agreement and are bound by all its provisions, including maintaining the confidentiality of proprietary information described in Item 14.

In addition, the franchisee, all Personal Guarantors and the owners of any part of the franchise entity must abide by the noncompete and confidentiality covenants described in Item 17. In addition, all of your employees who have managerial duties at the Store, as well as all corporate officers and directors of a corporate franchisee entity (all partners in a partnership), must sign a written agreement to maintain the confidentiality of Winmark's trade secrets described in Item 14.

Item 16

RESTRICTIONS ON WHAT THE FRANCHISEE MAY SELL

You must offer and sell only those goods and services that Winmark has approved. You also must offer all goods and services that Winmark designates as required for all franchisees. Winmark may, at its discretion, add new goods and services, based upon its evaluation of various factors, including customer demands, the geographic location of your Store and any other factor which Winmark deems important to the operation of your Store. Winmark's right to modify the approved list of goods and services to be offered at a Once Upon A Child® Store is not limited.

You may offer the sale of the approved goods and services from your Store location to any person. Unless specifically authorized by Winmark, you may only deliver merchandise or offer services at a site other than your Store location to customers residing in your Exclusive Territory or to locations within your Exclusive Territory.

You may not sell or accept in trade any infant formula, used infant/child car seats or products that you believe may be stolen or that have been recalled or otherwise not approved for sale by the U.S. Consumer Products Safety Commission or the National Highway Traffic Safety Administration. You may use only approved advertising and promotional materials.

Item 17

RENEWAL, TERMINATION, TRANSFER AND DISPUTE RESOLUTION

THE FRANCHISE RELATIONSHIP

This table lists certain important provisions of the franchise and related agreements. You should read these provisions in the agreements attached to this disclosure document.

Provision		Section in Agreement (1)	Summary
a.	Length of the franchise	Section 2(A); Section 3 of Software License Agreement	Franchise Agreement: 10 years. Software License Agreement: Coterminous with Franchise Agreement.
b.	Renewal or extension of the term	Section 2(B)	If you meet the renewal requirements set forth in the Franchise Agreement, you can renew the Franchise Agreement for additional 10 year period(s).

Provision		Section in Agreement (1)	Summary
c.	Requirements for you to renew or extend	Section 2(B)	Provide advance notice in writing, sign then current Franchise Agreement, pay renewal fee, remodel, meet all current standards, secure extension of lease and be in compliance with current Franchise Agreement during the term of the Agreement. You may be asked to sign a Franchise Agreement with materially different terms and conditions than your original Franchise Agreement.
d.	Termination by you	Section 16(A)	If you are complying with the Franchise Agreement, and Winmark fails to cure a material default within 30 days after Winmark's receipt of written notice, subject to state law.
e.	Termination by Winmark without cause	Not Applicable	
f.	Termination by Winmark with cause	Sections 15(A) and (B); Section 3 of Software License Agreement	Franchise Agreement: Winmark can terminate the Franchise Agreement only if you default. Software License Agreement: Winmark can terminate the Software License Agreement only if you default under the Software License Agreement or if the Franchise Agreement terminates.
g.	"Cause" defined – curable defaults	Sections 15(A) and (B)	You have 30 days to cure a violation of any material provision of the Franchise Agreement, non-payment of amounts owed to Winmark or any applicable local advertising cooperative, failure to abide by Winmark's standards and requirements in operating the Store, an assignment of assets to creditors and the expiration or termination of the Store's lease.

Provision		Section in Agreement (1)	Summary
h.	"Cause" defined – non-curable defaults	Sections 15(A) and (B); Section 3 of Software License Agreement	Franchise Agreement: Failure to open the Store within 12 months after you sign the Franchise Agreement, insolvency, conviction of felony or violation of a statute which harms the Store's reputation, failure to operate the Store for 7 consecutive days without Winmark's prior written consent (unless due to an act of God, war, strikes or riots), inform Winmark of your intent to permanently or indefinitely cease operating the Store, otherwise abandon the franchised business, intentionally falsify any information provided to Winmark, repeated defaults even if cured, defaults which cannot be cured, repeatedly deceives Store customers, defaults which impair the goodwill associated with Winmark's trademarks, uncured defaults in any other agreement with Winmark, our subsidiaries or affiliates, frequent and/or severe complaints from customers and/or employees, failure to fully cooperate and timely complete audit and violation of the in-term covenant not to compete. Software License Agreement: If the Franchise Agreement terminates, you breach any term of the Software License Agreement or you become insolvent.
i.	Your obligations on termination/expiration /non-renewal	Section 17; Section 3 of Software License Agreement	Franchise Agreement: Pay all amounts due Winmark, including fees that would be owed through the end date of the Franchise Agreement's remaining term, return manuals and other materials to Winmark, disconnect the telephone number or assign it to Winmark, redecorate the Store premises, return or destroy all copies of the Proprietary Software, disconnect any store-related Internet website and remove all signs containing any Trademarks (also see r, below). Software License Agreement: All of your rights in the Proprietary Software terminate and you must return all copies of the Proprietary Software to Winmark.
j.	Assignment of contract by Winmark	Section 14(A); Section 8(C) of Software License Agreement	Assignee must fulfill Winmark's obligations under the agreement assigned.
k.	"Transfer" by you – defined	Section 14(C); Section 8(C) of Software License Agreement	Franchise Agreement: Includes any transfer of the Store, or its assets, your interest in the Franchise Agreement or any significant ("controlling interest") ownership change in you; also includes a transfer of all of an owner's interest in you. Software License Agreement: You cannot transfer your interest in the Software License Agreement.

Provision		Section in Agreement (1)	Summary
l.	Winmark's approval of transfer by you	Section 14(C)	Winmark has the right to consent to all transfers of the Franchise Agreement but will not unreasonably withhold consent.
m.	Conditions for Winmark's approval of a Material Transfer or other transfer, or release of a Personal Guarantor	Sections 14(C) and (D)	In the case of a Material Transfer: New franchisee must qualify and complete training, pay transfer fee, you must pay all amounts owed to Winmark and be in good standing, new franchisee assumes existing Franchise Agreement or (at Winmark's option) signs then-current agreement, Winmark has determined that the purchase price and payment terms will not adversely affect the new franchisee's operation of the Store, if the transfer is financed by you, you agree that all of the new franchisee's obligations under promissory notes, agreements or security interests in the Store are subordinate to the new franchisees obligation to pay fees owed to Winmark under the Franchise Agreement, agreement to comply with all applicable post-termination obligations in the Franchise Agreement and the Software License Agreement, including those relating to confidentiality and non-competition, as if these agreements were terminating on the effective date of the Material Transfer. We may also require any transferring owner or Personal Guarantor to agree that they will continue to guaranty certain obligations of the new franchisee and/or will continue to comply with certain provisions of the Franchise Agreement and Software License Agreement, including those relating confidentiality and non-competition, until we specifically release them, at which point we may require the released party to agree to comply with all applicable post-termination obligations in the Franchise Agreement and the Software License Agreement, including those relating to confidentiality and non-competition, as if these agreements were terminating on the effective date of the release. In the case of a transfer of all of an owner's interest in you or our release of a Personal Guarantor: Prior owner or Personal Guarantor, as applicable, must agree to comply with all applicable post-termination obligations in the Franchise Agreement and the Software License Agreement, including those relating confidentiality and non-competition, as if these agreements were terminating on the effective date of the transfer or release (also see r, below).
n.	Winmark's right of first refusal to acquire your business	Section 13	Winmark can match any offer for your business.

Provision		Section in Agreement (1)	Summary
o.	Winmark's option to purchase your business	Not Applicable, except as indicated in n, above	
p.	Your death or disability	Section 13(B)	You can transfer stock to other shareholders without offering Winmark a right of first refusal; if assignee is your spouse or child, no transfer fee is required.
q.	Non-competition covenants during the term of the franchise	Section 18(A)	No direct or indirect involvement in any resale retail business involving the purchase and/or sale of used clothing and accessories or any direct or indirect involvement in any retail business selling new or used children's apparel, toy, equipment, furniture or accessories other than the one authorized in the Franchise Agreement, without Winmark's prior written consent, subject to state law.
r.	Non-competition covenants after the franchise is terminated or expires, or after a Material Transfer, departure of a franchisee owner, or release of a Personal Guarantor	Sections 18(B) and (C)	No direct or indirect involvement, whether conducted in-person or on-line, in any resale retail business involving the purchase and/or sale of used clothing and accessories or any direct or indirect involvement in any retail business selling new or used children's apparel, toys, equipment, furniture or accessories, for 2 years, which is located at the Franchised Location or any Once Upon A Child® Store, or is located within or markets into a 10 mile radius of the Store or any other Once Upon A Child® Store. If you, or an existing or former franchisee owner or Personal Guarantor, as applicable, is in breach of this provision, the non-competition period will be extended for a period of time equal to the time you or other applicable party operated a competing business, subject to state law.
s.	Modification of the agreement	Sections 3(C), 8(N) and 20(A) and (B)	No modifications generally, but Manuals, list of authorized Trademarks and required goods subject to change.
t.	Integration/merger clause	Section 20(G); Section 8 of Software License Agreement	Only the terms of the Franchise Agreement and Software License Agreement are binding (subject to state law). Any other promises may not be enforceable. Nothing in the Franchise Agreement, Software License Agreement or any related document is intended to disclaim the representations made in this Franchise Disclosure Document.
u.	Dispute resolution by arbitration or mediation	Section 19(A); Section 5 of Software License Agreement	Franchise Agreement: Except for certain claims, all disputes must be arbitrated in Minneapolis, Minnesota (subject to state law). Software License Agreement: Winmark's liability for any claim related to any software or service provided will be limited to the lesser of Licensee's actual damage or loss or the initial fee paid for the software.

Provision		Section in Agreement (1)	Summary
v.	Choice of forum	Sections 18(D) and 19; Section 8(A) of Software License Agreement	Franchise Agreement: All disputes that are subject to arbitration must be arbitrated in Minneapolis, Minnesota. If litigation is permitted, the sole forum for litigation arising under the Franchise Agreement, or any aspect of the relationship between Winmark and you will be the state or federal courts of Minnesota, with the understanding that Winmark may seek injunctive relief against you under the Franchise Agreement in the federal or state courts for the county in which the Store is located or wherever you are otherwise subject to personal jurisdiction (subject to applicable state law). Software License Agreement: Any action related to the Software License Agreement may be brought in any court in Minneapolis, Minnesota (subject to applicable state law).
w.	Choice of law	Section 20(D); Section 8(A) of Software License Agreement	Franchise Agreement: Apply law of the state where the Store is located (subject to applicable state law). Software License Agreement: Apply Minnesota law (subject to applicable state law).

(1) Unless otherwise noted, section references are to the Franchise Agreement.

Item 18

PUBLIC FIGURES

Winmark currently does not use any public figure to promote its franchise, although Winmark reserves the right to engage a public figure for endorsements in the future. No public figure is involved in the management or control of Winmark

[INTENTIONALLY LEFT BLANK]

Item 19

FINANCIAL PERFORMANCE REPRESENTATIONS

The FTC's Franchise Rule permits a franchisor to provide information about the actual or potential financial performance of its franchised and/or franchisor-owned outlets, if there is a reasonable basis for the information, and if the information is included in the disclosure document. Financial performance information that differs from that included in Item 19 may be given only if: (1) a franchisor provides the actual records of an existing outlet you are considering buying; or (2) a franchisor supplements the information provided in this Item 19, for example, by providing information about possible performance at a particular location or under particular circumstances.

The following is a financial performance representation titled "Once Upon A Child® Statement of Average Annual Sales and Gross Profit." The gross profit figures in this Item 19 do reflect the cost of sales but do not reflect the operating expenses that must be deducted from the gross profit figures to obtain your net income or profit. The best source of cost and expenses data may be from franchisees and former franchisees, some of whom may be listed in Exhibit A.

ONCE UPON A CHILD® STATEMENT OF AVERAGE ANNUAL SALES AND GROSS PROFIT

The following statement of average annual sales and gross profits includes average gross sales and gross profits during the 12 month period ended December 27, 2025 (Winmark's fiscal year) as reported by 408 of the 409 franchised Once Upon A Child® Stores located in the United States and Canada that commenced operations in each of the years 1988 through 2024, and were not transferred during 2025. This represents a subset of the 441 Once Upon A Child® Stores in the United States and Canada that were open and operating as of December 27, 2025. This statement includes information from only those Once Upon A Child® Stores in the United States and Canada that had been in operation by the same franchisee or owners for the 12-month period ended December 27, 2025. There are no material financial and operational characteristics of the U.S. Stores that differ materially from the Canadian Stores included in this financial performance representation. Canadian Stores are included in Item 19 because they are substantially similar to U.S. Stores in design and operation, franchisee obligations, square footage of Stores, inventory sourcing and franchisor obligations. No other Once Upon A Child® Stores are included in this statement due to insufficient history of operations (not in operation for the 12-month period ended December 27, 2025, or transferred during this period). There were 409 franchised Once Upon A Child® Stores which had been in operation by the same franchisee owners for the 12-month period ended December 27, 2025. 408 of the 409 of these Once Upon A Child® Stores are reflected in this Item 19. This financial performance representation does not include information for the 32 franchised Once Upon A Child® Stores that opened or transferred during the 12-month period ended December 27, 2025. No Stores closed during this period after being opened less than 12 months.

Statement of average gross sales and gross profits of 408 of the 409 franchised Once Upon A Child® Stores for the fiscal year ended December 27, 2025, as reported by Once Upon A Child® franchisees to Winmark:

Year Opened	# Stores Reported	# and % of Stores Attaining or Exceeding Average Gross Sales[1]	# and % of Stores Attaining or Exceeding Average Gross Profit[2]	2025 Average Gross Sales[3]	2025 Median Gross Sales	2025 Average Gross Profit[4] [5]	2025 Median Gross Profit	Average Gross Profit Percent-age[6]	Sales Range[7]
2024	32	6 / 19%	8 / 25%	980,314	797,305	656,116	531,052	66.93%	333,734 – 2,264,932
2023	26	9 / 35%	9 / 35%	1,158,993	1,104,468	768,892	721,452	66.34%	443,683 – 2,441,496
2022	25	8 / 32%	9 / 36%	1,137,184	1,120,721	764,014	717,710	67.18%	291,030 – 2,745,529
2021	13	6 / 46%	6 / 46%	1,295,268	1,213,415	866,377	801,097	66.89%	560,711 – 2,494,886
2020	25	10 / 40%	10 / 40%	1,120,378	1,031,363	752,813	695,448	67.19%	464,729 – 2,216,349
2019 & Prior	287	136 / 47%	133 / 46%	1,334,370	1,221,480	889,188	810,826	66.64%	268,773 – 3,660,164
TOTAL	408	175 / 43%	175 / 43%	1,268,984	1,178,261	846,489	784,890	66.71%	

(1) This percentage represents Stores Attaining or Exceeding Average Gross Sales as a percentage of Number of Stores Reported. This percentage is calculated based on the Total Store Average Gross Sales of 408 of the 409 Stores reported ($1,268,984).

(2) This percentage represents Stores Attaining or Exceeding Average Gross Profit as a percentage of Number of Stores Reported. This percentage is calculated based on the Total Store Average Gross Profit of 408 of the 409 Stores reported ($846,489).

(3) "Gross Sales" means all revenues the franchisee receives from the sale of goods and services, whether by cash or by check, credit card or trade, in connection with the Store, less sales tax and customer refunds and returns.

(4) "Cost of Goods Sold" includes the costs and expenses related to retail items. This includes freight and shrinkage (loss of product due to theft, inventory adjustments, donations, etc.).

(5) The Average Gross Profit equals Gross Sales less Cost of Goods Sold. Average Gross Profit does not reflect any expenses related to the operation of a Once Upon A Child® Store other than the Cost of Goods Sold.

(6) This figure represents Average Gross Profit as a percentage of Gross Sales.

(7) As reported by Once Upon A Child® franchisees to Winmark.

The Statement of Sales Ranges by quartile for 408 of the 409 franchised Once Upon A Child® Stores open at December 27, 2025 that had been in operation for at least 12 months by the same franchisee or owners for the 12-month period ended December 27, 2025 are as follows:

Quartile[(1)]	# of Stores	2025 Gross Sales Range by Quartile	2025 Quartile Average Gross Sales	2025 Quartile Median Gross Sales	# and % of Stores Attaining or Exceeding Quartile Average Gross Sales	2025 Quartile Average Gross Profit	2025 Quartile Median Gross Profit	# and % of Stores Attaining or Exceeding Quartile Average Gross Profit	Quartile Average Gross Profit Percent-age[(2)]
1st	102	1,554,407 - 3,660,164	2,009,668	1,876,577	35 / 34%	1,333,209	1,242,369	32 / 31%	66.34%
2nd	102	1,178,270 - 1,552,530	1,353,126	1,345,919	48 / 47%	904,011	899,487	48 / 47%	66.81%
3rd	102	872,288 - 1,178,252	1,023,906	1,032,314	58 / 57%	684,917	688,603	58 / 57%	66.89%
4th	102	268,773 - 868,153	689,235	721,647	62 / 61%	463,818	490,226	62 / 61%	67.29%

(1) "Quartile" refers to that portion of the total number of Stores open that represents 25%. For example, the first Quartile identifies those Stores which were in the top 25% of all Stores in Gross Sales.

(2) This figure represents Average Gross Profit as a percentage of Gross Sales.

Based on information reported by 408 of the 409 Once Upon A Child® Stores which had been in operation by the same franchisee or owner for the 12 month period ended December 27, 2025, the following chart sets forth the number of Stores, Average and Median Gross Sales, the lowest and highest Gross Sales amount in each range and the percentage of total number of Stores that fell within certain ranges of Average Gross Sales for 2025:

2025 Range of Average Gross Sales	# of Stores falling within noted range	Average Gross Sales Stores within noted range	# and % of Stores attaining or exceeding Average Gross Sales Stores within noted range	Gross Sales for lowest Store within noted range	Gross Sales for highest Store within noted range	Median Gross Sales for Stores within noted range	% of total number of Stores (408) within noted range
0 - $250,000	0	-	0 / 0%	0	0	0	0.00%
$250,001 - $500,000	13	396,736	8 / 62%	268,773	478,434	407,172	3.19%
$500,001 - $1,000,000	127	790,934	70 / 55%	514,226	994,908	799,492	31.13%
$1,000,001 - $2,000,000	232	1,390,122	107 / 46%	1,009,568	1,996,968	1,346,909	56.86%
$2,000,001 - $3,000,000	29	2,289,553	14 / 48%	2,000,478	2,745,529	2,288,030	7.11%
>$3,000,000	7	3,319,126	4 / 57%	3,013,242	3,660,164	3,325,880	1.72%

These results relate to specific Once Upon A Child® stores located in the United States and Canada.

Some Stores have sold or earned these amounts. Your individual results may differ. There is no assurance that you will sell or earn as much.

Winmark has written substantiation in our possession to support the information appearing in this Item 19, and will make the written substantiation available to prospective franchisees upon reasonable request.

Other than the preceding financial performance representations, Winmark does not make any financial performance representations. We also do not authorize our employees or representatives to make any such representations either orally or in writing. If you are purchasing an existing outlet, however, we may provide you with the actual records of that outlet. If you receive any other financial performance information or projections of your future income, you should report it to the franchisor's management by contacting Renae Gaudette, Chief Operating Officer at Winmark Corporation, 605 Highway 169 N, Suite 400, Minneapolis, MN 55441, 763/520-8500, the Federal Trade Commission, and the appropriate state regulatory agencies.

Item 20

OUTLETS AND FRANCHISEE INFORMATION

TABLE NUMBER 1
Systemwide Store Summary[(1)]
For Years 2023 to 2025

Store Type	Year	Stores at the Start of the Year	Stores at the End of the Year[(2)]	Net Change
Franchised	2023	406	416	+10
	2024	416	430	+14
	2025	430	441	+11
Company-Owned	2023	0	0	0
	2024	0	0	0
	2025	0	0	0
Total Stores	2023	406	416	+10
	2024	416	430	+14
	2025	430	441	+11

(1) The numbers do not include information for any other franchise programs offered by Winmark as described in Item 1. Store information for each of these franchise programs is disclosed in a separate disclosure document.

(2) The numbers are as of Winmark's fiscal year end for each of the last 3 years (December 30, 2023, December 28, 2024, and December 27, 2025).

TABLE NUMBER 2
Transfers of Stores From Franchisee to New Owners (Other than the Franchisor)
For Years 2023 to 2025

State	Year	Number of Transfers
Arizona	2023	1
	2024	1
	2025	0
California	2023	1
	2024	1
	2025	1
Colorado	2023	1
	2024	1
	2025	0
Delaware	2023	0
	2024	0
	2025	1
Florida	2023	1
	2024	2
	2025	2
Georgia	2022	0
	2024	2
	2025	0
Indiana	2023	2
	2024	1
	2025	1
Kentucky	2023	1
	2024	0
	2025	1
Louisiana	2023	1
	2024	2
	2025	0
Michigan	2023	1
	2024	0
	2025	2
Minnesota	2023	1
	2024	1
	2025	1
Mississippi	2023	0
	2024	0
	2025	1

State	Year	Number of Transfers
Montana	2023	0
	2024	0
	2025	1
New Jersey	2023	1
	2024	0
	2025	0
North Carolina	2023	2
	2024	2
	2025	0
Oklahoma	2023	0
	2024	1
	2025	0
Tennessee	2023	0
	2024	1
	2025	0
Texas	2023	4
	2024	0
	2025	2
Vermont	2023	0
	2024	1
	2025	0
Virginia	2023	1
	2024	1
	2025	0
Washington	2023	0
	2024	0
	2025	1
TOTAL U.S. ONLY	2023	18
	2024	17
	2025	14
Canada	2023	0
	2024	2
	2025	1
TOTAL U.S. AND CANADA	2023	18
	2024	19
	2025	15

TABLE NUMBER 3
Status of Franchised Stores[1]
For Years 2023 to 2025

State	Year	Stores at the Start of the Year	Stores Opened	Termina-tions	Non-Renewals	Reacquired by Franchisor	Ceased Operations/ Other Reasons	Stores at the End of the Year[2]
Alabama	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
Alaska	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
Arizona	2023	5	0	0	0	0	0	5
	2024	5	0	0	0	0	0	5
	2025	5	1	0	0	0	0	6
Arkansas	2023	3	0	0	0	0	0	3
	2024	3	1	0	0	0	0	4
	2025	4	0	0	0	0	0	4
California	2023	11	0	0	0	0	0	11
	2024	11	1	0	0	0	0	12
	2025	12	0	0	0	0	0	12
Colorado	2023	9	0	1	0	0	0	8
	2024	8	0	0	0	0	0	8
	2025	8	0	0	0	0	0	8
Connecticut	2023	7	0	0	0	0	0	7
	2024	7	1	0	0	0	0	8
	2025	8	0	0	0	0	0	8
Delaware	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
Florida	2023	29	0	0	0	0	0	29
	2024	29	2	0	0	0	0	31
	2025	31	0	1	0	0	0	30
Georgia	2023	12	0	0	0	0	0	12
	2024	12	0	0	0	0	0	12
	2025	12	0	0	0	0	0	12
Idaho	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
Illinois	2023	10	0	0	0	0	0	10
	2024	10	0	0	0	0	0	10
	2025	10	0	1	0	0	0	9

State	Year	Stores at the Start of the Year	Stores Opened	Termina-tions	Non-Renewals	Reacquired by Franchisor	Ceased Operations/ Other Reasons	Stores at the End of the Year[(2)]
Indiana	2023	18	0	0	0	0	0	18
	2024	18	0	0	0	0	0	18
	2025	18	1	0	0	0	0	19
Iowa	2023	4	0	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	1	0	0	0	0	5
Kansas	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
Kentucky	2023	8	0	0	0	0	0	8
	2024	8	0	0	0	0	0	8
	2025	8	1	0	0	0	0	9
Louisiana	2023	6	0	0	0	0	0	6
	2024	6	0	0	0	0	0	6
	2025	6	0	0	0	0	0	6
Maryland	2023	4	0	0	0	0	0	4
	2024	4	2	0	0	0	0	6
	2025	6	0	1	0	0	0	5
Massachusetts	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
Michigan	2023	16	0	0	0	0	0	16
	2024	16	0	0	0	0	0	16
	2025	16	0	0	0	0	0	16
Minnesota	2023	15	0	0	0	0	0	15
	2024	15	0	0	0	0	0	15
	2025	15	0	0	0	0	0	15
Mississippi	2023	4	0	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
Missouri	2023	9	0	0	0	0	0	9
	2024	9	0	0	0	0	0	9
	2025	9	0	0	0	0	0	9
Montana	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	1	0	0	0	0	3
Nebraska	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1

State	Year	Stores at the Start of the Year	Stores Opened	Termina-tions	Non-Renewals	Reacquired by Franchisor	Ceased Operations/ Other Reasons	Stores at the End of the Year[(2)]
Nevada	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	1	0	0	0	0	2
New Jersey	2023	7	0	0	0	0	0	7
	2024	7	0	0	0	0	0	7
	2025	7	1	1	0	0	0	7
New Mexico	2023	0	0	0	0	0	0	0
	2024	0	0	0	0	0	0	0
	2025	0	1	0	0	0	0	1
New York	2023	12	0	0	0	0	0	12
	2024	12	0	1	0	0	0	11
	2025	11	0	0	0	0	0	11
North Carolina	2023	16	1	0	0	0	0	17
	2024	17	0	0	0	0	0	17
	2025	17	1	0	0	0	0	18
North Dakota	2023	4	0	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
Ohio	2023	29	0	0	0	0	0	29
	2024	29	0	0	1	0	0	28
	2025	28	0	0	0	0	0	28
Oklahoma	2023	3	1	0	0	0	0	4
	2024	4	0	0	0	0	0	4
	2025	4	0	0	0	0	0	4
Oregon	2023	1	1	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
Pennsylvania	2023	9	2	0	0	0	0	11
	2024	11	1	0	0	0	0	12
	2025	12	1	0	0	0	0	13
Rhode Island	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
South Carolina	2023	10	0	0	0	0	0	10
	2024	10	0	0	0	0	0	10
	2025	10	1	0	0	0	0	11
South Dakota	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2

State	Year	Stores at the Start of the Year	Stores Opened	Termina-tions	Non-Renewals	Reacquired by Franchisor	Ceased Operations/ Other Reasons	Stores at the End of the Year[(2)]
Tennessee	2023	11	0	0	0	0	0	11
	2024	11	0	0	0	0	0	11
	2025	11	1	0	0	0	0	12
Texas	2023	34	0	0	0	0	0	34
	2024	34	3	0	0	0	0	37
	2025	37	1	1	0	0	0	37
Vermont	2023	1	0	0	0	0	0	1
	2024	1	0	0	0	0	0	1
	2025	1	0	0	0	0	0	1
Virginia	2023	14	1	0	0	0	0	15
	2024	15	1	0	0	0	0	16
	2025	16	0	0	0	0	0	16
Washington	2023	2	1	0	0	0	0	3
	2024	3	0	0	0	0	0	3
	2025	3	0	0	0	0	0	3
West Virginia	2023	3	0	0	0	0	0	3
	2024	3	0	0	0	0	0	3
	2025	3	0	1	0	0	0	2
Wisconsin	2023	7	1	0	0	0	0	8
	2024	8	0	0	0	0	0	8
	2025	8	2	0	0	0	0	10
Wyoming	2023	2	0	0	0	0	0	2
	2024	2	0	0	0	0	0	2
	2025	2	0	0	0	0	0	2
TOTAL U.S. ONLY	2023	352	8	1	0	0	0	359
	2024	359	12	1	1	0	0	369
	2025	369	15	6	0	0	0	378
Canada	2023	54	3	0	0	0	0	57
	2024	57	4	0	0	0	0	61
	2025	61	2	0	0	0	0	63
TOTAL U.S. AND CANADA	2023	406	11	1	0	0	0	416
	2024	416	16	1	1	0	0	430
	2025	430	17	6	0	0	0	441

(1) The numbers do not include information for any other franchise programs offered by Winmark as described in Item 1. Store information for each of these franchise programs is disclosed in a separate disclosure document.

(2) The numbers are as of Winmark's fiscal year end for each of the last 3 years (December 30, 2023, December 28, 2024, and December 27, 2025).

TABLE NUMBER 4
Status of Company-Owned Stores
For Years 2023 to 2025

State	Year	Stores at the Start of the Year	Stores Opened	Store Reacquired From Franchisees	Stores Closed	Stores Sold to Franchisees	Stores at the End of the Year[(1)]
TOTAL	2023	0	0	0	0	0	0
	2024	0	0	0	0	0	0
	2025	0	0	0	0	0	0

(1) The numbers are as of Winmark's fiscal year end for each of the last 3 years (December 30, 2023, December 28, 2024, and December 27, 2025).

TABLE NUMBER 5
Projected Openings
As of December 27, 2025

State	Franchise Agreements Signed But Store Not Opened	Projected New Franchised Stores in the Next Fiscal Year	Projected New Company-Owned Stores in the Next Fiscal Year
Alabama	1	1	0
Arizona	1	1	0
Arkansas	1	1	0
California	1	1	0
Connecticut	1	1	0
Delaware	1	1	0
Florida	3	3	0
Georgia	1	1	0
Illinois	1	1	0
Louisiana	1	1	0
Massachusetts	2	2	0
Michigan	1	1	0
Missouri	1	1	0
Montana	1	1	0
Ohio	1	1	0
Oklahoma	2	2	0
Pennsylvania	1	1	0
South Carolina	2	2	0
Virginia	2	2	0
TOTAL U.S. ONLY	25	25	0
Canada	4	4	0
TOTAL U.S. AND CANADA	29	29	0

A list of all Once Upon A Child® franchises is included in the disclosure document as Exhibit A.

Included in this disclosure document as Exhibit B is the name, city and state, and business telephone number of every franchisee who had a store transferred, terminated, not renewed or who otherwise voluntarily or involuntarily ceased to do business under the franchise agreement during the most recently completed fiscal year or who have not communicated with Winmark within the 10-week period before the issuance date of this disclosure document.

If you buy a Once Upon A Child® franchise, your contact information may be disclosed to other buyers when you leave the franchise system.

During the last three fiscal years, no current or former franchisees have signed confidentiality clauses that restrict them from discussing with you their experiences as a franchisee in our franchise system.

The Once Upon A Child® Franchisee Advisory Council is sponsored by us, but its members are nominated by franchisees. You can reach the organization at c/o Jordan Prater, 2116 Fair Park Blvd, Jonesboro, Arkansas 72401, Email: mailto:platosclosetjonesboro@gmail.com, telephone – (870) 932-0202.

There are no trademark-specific franchise associations required to be disclosed in this Item.

Item 21

FINANCIAL STATEMENTS

Winmark has a 52/53-week fiscal year that ends on the last Saturday in December. The following audited consolidated financial statements of Winmark are included in this disclosure document as Exhibit C: the consolidated balance sheets of Winmark as of December 27, 2025 and December 28, 2024, and the related consolidated statements of operations, shareholders' equity (deficit) and cash flows for each of the three years ended December 27, 2025, December 28, 2024 and December 30, 2023, together with the Report of Independent Registered Public Accounting Firm from Grant Thornton LLP dated February 25, 2026, relating to the aforementioned consolidated financial statements.

Item 22

CONTRACTS

Exhibit D - The Once Upon A Child® Franchise Agreement (including Software License Agreement, Personal Guaranty and Additional Store Addendum) is attached to this disclosure document.

Exhibit E - The Winmark Bank Draft Authorization is attached to this disclosure document.

Exhibit F - The Franchisee Questionnaire is attached to this disclosure document.

Item 23

RECEIPTS

Attached as the last pages of this disclosure document are detachable Receipts.

EXHIBIT A

List of Stores

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
ALABAMA					
Baghdadi, Jim	3718 Lorna Rd	Birmingham	AL	35216	205-277-0313
*Moore, Wendell "Shane"		Kelly Springs	AL		
Bishop, Brenda & Eric	8030 Hwy 72 W	Madison	AL	35758	256-532-9066
ALASKA					
Ede, Diana	1016 W Northern Lights Blvd	Anchorage	AK	99503	907-562-8777
Smith, Jamie	250 3rd St, Suite 4A	Fairbanks	AK	99701	907-457-5444
ALBERTA					
Savaliya, Yagnik	505 Main Street S., Unit 310A	Airdrie	AB	T4B 2B8	587-449-0485
Griffith, Susan	4625 Varsity Dr NW	Calgary	AB	T3A 0Z9	403-543-1068
Adam, Alison	8228 MacLeod Trail SE	Calgary	AB	T2H 2B8	403-543-1066
Stsibaylo, Sergey	2770 32nd Ave NE, Unit #24	Calgary	AB	T1Y 5S5	403-453-5566
Ho, Norman	3833 99th St NW	Edmonton	AB	T6E 6J1	780-428-3366
Ho, Norman	13220 St Albert Trail, #108	Edmonton	AB	T5L 4W1	780-488-3348
Maguire, Lisa	11731 105th Street	Grande Prairie	AB	T8V 8L1	780-532-8222
Choi, Hyeong Mu (Josh)	1011 1st Ave S	Lethbridge	AB	T1J 0B1	403-929-7773
Griscowsky, Shawna	3271 Dunmore Rd SE	Medicine Hat	AB	T1B 3R2	403-526-6403
Rausch, Brianne	6722 50th Ave Ste 6	Red Deer	AB	T4N 4E1	403-309-3133
Haun, Amanda	201 Kaska Rd	Sherwood Park	AB	T8A 2J6	780-417-0022
*Stsibaylo, Sergey		South Calgary	AB		
ARIZONA					
*Curtain, Adria		Flagstaff	AZ		
Smoljan, Mecque	8078 West Bell Road, Suite B3	Glendale	AZ	85308	623-556-2958
Gregory, Steven	5022 S Power Rd Ste 101	Mesa	AZ	85212	480-497-4426
Groulx, Domenica & Mark	5009 E Ray Road	Phoenix	AZ	85044	480-597-5777
Peregovits-Miller, Monika	13610 N Scottsdale Rd, Ste 5	Scottsdale	AZ	85254	480-656-0320
Spurlock, Candace	1628 E Southern Ave #1	Tempe	AZ	85282	480-745-2543
Hosto, Collin	6252 E Speedway Blvd	Tucson	AZ	85712	520-526-2953
ARKANSAS					
Martin Jr, Chesley	1400 SE Walton Blvd Ste 24	Bentonville	AR	72712	479-364-0390
Schmidt, Jerry	680 Shelby Tr, Ste 200	Conway	AR	72034	501-504-6673
Martin Jr, Chesley	3041 N College Avenue	Fayetteville	AR	72703	479-442-2240
*Deal, Andrew	2620 Rogers Ave.	Fort Smith	AR	72901	
Prater, Jordan	2116 Fair Park Blvd	Jonesboro	AR	72401	870-932-0202
BRITISH COLUMBIA					
Allan, Sara	2043 Abbotsford Way Unit 3	Abbotsford	BC	V2S 6Y5	604-744-2522
Fischer, Michelle	8249 Eagle Landing Pkwy Unit 206	Chilliwack	BC	V2R 0P9	604-792-0298
Mussbacher, Duncan	1300 Woolridge St, Unit 10	Coquitlam	BC	V3K 6Y6	778-397-6822
Clark, Michelle	#119 - 805 Notre Dame Dr	Kamloops	BC	V2C 5N8	250-371-2302
Laurie, Anthony	1780 Baron Rd	Kelowna	BC	V1X 7G9	778-484-0083
Fitzgerald, Michelle	20121 Willowbrook Dr Unit 104	Langley	BC	V2Y 0L3	604-510-6822
Christy, Kyla	6461 Metral Dr Unit 106	Nanaimo	BC	V9T 2L9	250-933-0041
*Tinker, Joanna		Prince George	BC		
*Liu, Mofei		Richmond	BC		
Whittingham, Mike	3238 King George Blvd #4	Surrey	BC	V4P 1A5	604-536-6823
*Demers, Ashley	3115 48th Ave.	Vernon	BC	V1T 3R5	778-475-1517
Nahal, Jag	1563 Pandora Avenue	Victoria	BC	V8R 6P9	250-590-9298
CALIFORNIA					
Peck, Jessica & Mellon, Emily	801 East Avenue, Ste #104	Chico	CA	95926	530-809-2295
Berzansky, Nicole	7937 Greenback Ln	Citrus Heights	CA	95610	916-725-2525
Becker, Jodie	9163 E Stockton Blvd Ste 370	Elk Grove	CA	95624	916-686-1666
Hageman, Shelby	2225 Plaza Pkwy Ste J1	Modesto	CA	95350	209-575-3554
Perry, Nolan	39644 Cedar Blvd	Newark	CA	94560	510-573-4530
Sereno, Betty	2401-H Vista Way	Oceanside	CA	92054	760-722-7896
Foster, Paul & Cheryl	10582 Foothill Blvd, Ste B-180	Rancho Cucamonga	CA	91730	909-476-1212
Marr, Andrew	2371 Athens Ave	Redding	CA	96001	530-215-1590
Gosting, Mike	384 Roseville Sq	Roseville	CA	95678	916-774-0852

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Murrieta Brown, Lisa	2752 Marconi Ave.	Sacramento	CA	95821	916-488-8861
*Hernandez, Vivian		Santa Maria	CA		
Carter, Alan	2221 N Tracy Blvd	Tracy	CA	95376	209-221-0545
Owolabi, Iyanuoluwa	2041B Harbison Dr	Vacaville	CA	95687	707-448-1212
COLORADO					
Hubbard, Jason	8025 Sheridan Blvd Ste M	Arvada	CO	80003	303-427-5437
Link, Kris	8253 S Quebec St, Ste 100	Centennial	CO	80112	720-464-6822
Shideler, Steve & Porscha	6948 N Academy Blvd	Colorado Springs	CO	80918	719-599-5966
Springer, Chandi	4519 S College Ave	Fort Collins	CO	80525	970-266-9999
Deimling, Don	2454 Hwy 6 and 50 Unit 111A	Grand Junction	CO	81505	970-243-0566
Thompson, Stephanie and Jesse	2000 35th Avenue, Unit #A2	Greeley	CO	80634	970-301-4865
Proto, Marie	8996 W. Bowles Ave., Unit K-1	Littleton	CO	80123	303-973-3337
Ricker, Alicia	700 Ken Pratt Blvd	Longmont	CO	80501	303-772-5437
CONNECTICUT					
Gaer, Brian	99 Farmington Ave, Suite 14	Bristol	CT	06010	860-584-8131
Maunsell, Diana	67 Newtown Rd	Danbury	CT	06810	203-791-2393
Scott, Cami	25 Palomba Dr	Enfield	CT	06082	860-745-9599
Gaer, Brian	410 Middle Tpk W	Manchester	CT	06040	860-649-1577
Gaer, Brian	533 S Broad St Ste 10	Meriden	CT	06450	203-235-1850
*Rossi, Lauren		Norwalk	CT		
Gaer, Brian	575 Boston Post Rd	Orange	CT	06477	203-876-7981
Mikush, Brandolyne	835 Wolcott St	Waterbury	CT	06705	203-527-5614
Gaer, Brian	1047 Silas Dean Hwy	Wethersfield	CT	06109	860-571-8773
DELAWARE					
Gracey, Chandi	1259 N Dupont Hwy	Dover	DE	19901	302-678-1155
*Fox, Jenna		Rehoboth Beach	DE		
Moran, Eric	3220-B Kirkwood Hwy	Wilmington	DE	19808	302-633-3336
FLORIDA					
Drake, Bill & Dana	380 S State Rd 434, Suite 1025	Altamonte Springs	FL	32714	407-960-7902
Weston, Dawn & Jim	752 W Lumsden Rd	Brandon	FL	33511	813-654-8813
Fike, Deb & Gary	1500 NE Pine Island Rd	Cape Coral	FL	33909	239-984-2218
Suy, Simon	29870 US Hwy 19N	Clearwater	FL	33761	727-308-8631
Carlson, Daniel	2525 W International Speedway Blvd, Ste 130	Daytona Beach	FL	32114	386-281-5731
Fike, Deb & Gary	9359 Ben C Pratt/Six Mile Cypress	Fort Myers	FL	33966	239-274-0039
Watson, Sabrina	13141 City Station Dr Ste 155	Jacksonville	FL	32218	904-647-1270
Blalock, Jeanne	9400 Atlantic Blvd	Jacksonville	FL	32225	904-724-2020
Watson, Sabrina	6000 Lake Gray Blvd	Jacksonville	FL	32244	904-573-0760
Steffen, Brandi	9735 Old St Augustine Road	Jacksonville	FL	32257	904-886-7071
Hogan, Navneet	1202 N John Young Parkway	Kissimmee	FL	34741	407-855-1115
Shahata, Mariam	4272 US Hwy 98 N	Lakeland	FL	33809	863-858-6822
Rosa, Ben	10500 Ulmerton Rd Suite 292	Largo	FL	33771	727-586-4606
Botello, Margaret	1873 W New Haven Ave	Melbourne	FL	32904	321-674-1535
Fike, Deb & Gary	13560 Tamiami Trail N	Naples	FL	34110	239-596-6096
Hinton, Jay	8937 W Colonial Dr	Ocoee	FL	34761	407-297-9499
Caceres, Candy	730 Sand Lake Rd	Orlando	FL	32809	407-251-8781
Wombles, Christina	422 N Alafaya Trail, Ste 103	Orlando	FL	32828	407-413-5823
Butler, Bridgette	4835 E. Colonial Dr.	Orlando	FL	32803	407-292-3500
Prata, Alessandro	8155 Red Bug Lake Road, Ste #105	Oviedo	FL	32765	407-542-8112
Breier, Sandra	640 W 23rd St, Unit 14	Panama City	FL	32405	850-215-3500
Bishop, Brenda & Eric	6249 N Davis Hwy	Pensacola	FL	32504	850-791-6802
*Gelissen, Shaun		Plant City	FL		
Fike, Deb & Gary	1825 Tamiami Tr	Port Charlotte	FL	33948	941-764-8121
Williams, Kalvin	10323 Southern Blvd	Royal Palm Beach	FL	33411	561-429-5331
Szigeti, Denise	2300 Bee Ridge Road, Ste 105	Sarasota	FL	34239	941-259-3943
*Hirst, Franklin	7421 Spring Hill Dr.	Spring Hill	FL	34606	
*Florencio, Rodrigo		St. Augustine	FL		
Bourassa, Martha "Jeanette"	1101 NW 21st Street	Stuart	FL	34994	772-692-6946

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Levering, Brian & Melissa	19651 Bruce B Downs Blvd, Suite C5	Tampa	FL	33647	813-388-2985
Weston, Kate	3920 Britton Plaza	Tampa	FL	33611	813-832-4444
Whitehead, Jodie	14317 N Dale Mabry Hwy	Tampa	FL	33618	813-358-3123
Hogan, Navneet	335 Cypress Gardens Blvd.	Winter Haven	FL	33880	863-875-2085
GEORGIA					
Poole, Tracye	3999 Austell Rd, Suite 401	Austell	GA	30106	678-540-6610
Truong, Tran	1999 Mall of Georgia Blvd, Ste B500	Buford	GA	30519	770-904-2609
Moring, Alexis	1443 Riverstone Pkwy, Unit 30	Canton	GA	30114	678-324-8023
*Estes, Mark	294 Nelson Street	Cartersville	GA	30120	763-413-1308
Johnson, Joan	2521 Airport Thruway	Columbus	GA	31904	706-507-3737
Spartis, Allison	2864 Chapel Hill Road #14B	Douglasville	GA	30135	678-742-8712
Regnery, Susan	3675 Satellite Blvd Ste 550	Duluth	GA	30096	678-473-0212
Nguyen, Loan	975 Dawsonville Highway	Gainesville	GA	30501	678-696-5389
Reese, Mike	7147 Mt Zion Blvd	Jonesboro	GA	30236	770-740-5172
Nguyen, Loan	1195 Scenic Hwy	Lawerenceville	GA	30045	770-680-5457
McNitt, Mark	50 Barrett Pkwy, Suite 1055	Marietta	GA	30066	770-528-5541
Spartis, Allison	19-B Millard Farmer Industrial Blvd	Newnan	GA	30263	770-755-7555
Byers, Heidi & Hines, Peggie & Todd	1100 Eisenhower Dr, Suite 21	Savannah	GA	31406	912-351-0555
IDAHO					
Spaulding, Sara	2291 E 17th St	Idaho Falls	ID	83404	208-528-6124
Houser, Danielle	1246 Blue Lakes Blvd	Twin Falls	ID	83301	208-733-5700
ILLINOIS					
Sieraski, Kristy	105 Krispy Kreme Dr Ste 2	Bloomington	IL	61704	309-808-2646
Krieger, Elaine	2108 Plainfield Rd	Crest Hill	IL	60403	815-744-0202
Laffrey, Becki & Parsons, Malcolm	250 S Randall Rd	Elgin	IL	60123	847-468-0817
Del Carmen, Joe & Roell, Bryan	525 Lincoln Hwy, Suite 15	Fairview Heights	IL	62208	618-394-0190
Toren, Tammy	4616 North Harlem Avenue	Harwood Heights	IL	60706	708-867-8651
Laffrey, Becki & Malcolm Parsons	552 S Route 59	Naperville	IL	60540	630-416-9344
Krieger, Elaine	9520 West 159th Street	Orland Park	IL	60462	708-364-6333
Jones, Brandon	991 S Perryville Rd	Rockford	IL	61108	779-774-9329
*Ashford, Candace	1402 N. Roselle Rd	Schaumburg	IL	60195	847-641-5479
Glauberman, Micah	4225 W Wabash Ave	Springfield	IL	62711	217-679-7134
INDIANA					
Hulback, Paul & Amanda	1912 Applewood Centre Dr	Anderson	IN	46013	765-400-4698
McKnight, Marnie	3368 W 3rd St	Bloomington	IN	47404	812-339-1050
Nunes, Debra	1950 E Greyhound Pass Ste 13	Carmel	IN	46033	317-815-6822
Kim, Tony	955 E Lewis and Clark Pkwy, Ste 200	Clarksville	IN	47129	812-218-8888
Gonzalez, Leticia	1228 N Main St	Crown Point	IN	46307	219-663-6319
Jones, Brandon	721 N Green River Rd	Evansville	IN	47715	812-477-5165
Hackworth, Daryl	5315A Coldwater Rd	Fort Wayne	IN	46825	260-484-9993
Schrimsher, Tracy	4024 Elkhart Rd Unit 9	Goshen	IN	46526	574-830-5332
Burtner, Kim	7325 East 96th Street, Suite B	Indianapolis	IN	46250	317-842-0533
Burtner, Kim	7409 US 31 S	Indianapolis	IN	46227	317-888-7013
Girouard, Carina	9395 E Washington St	Indianapolis	IN	46229	317-897-9009
Smith, Meghan	8238 Rockville RD	Indianapolis	IN	46214	317-273-8622
Miller, Lauren	1210 W 86th Street	Indianapolis	IN	46260	317-846-7011
Flynn, Leslie	124C Farabee Dr N	Lafayette	IN	47905	765-449-1299
Schrimsher, Tracy	5936 Grape Rd	Mishawaka	IN	46545	574-247-1099
Girouard, Carina	1629 W McGalliard Rd	Muncie	IN	47304	765-216-7077
Crnarich, Kimberly	29 US Hwy 41	Schererville	IN	46375	219-864-1976
McKnight, Marnie	4800 US Hwy 41 S	Terre Haute	IN	47802	812-220-2488
Santucci Williams, Tina	201 Morthland Dr, Suite 9	Valparaiso	IN	46383	219-531-9000
IOWA					
Loesch, Gabe	3649 1st Ave SE	Cedar Rapids	IA	52402	319-294-9646
Orvick, Matt	881 22nd Ave	Coralville	IA	52241	319-351-2491
Price, Keli	2112 Kimberly Rd Ste 110B	Davenport	IA	52807	563-359-3770
Albers, Amy	3031 Hamilton Blvd, Ste 3031	Sioux City	IA	51104	712-224-0213

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Madison, Matthew	10465 Hickman Rd	Urbandale	IA	50322	515-222-0774
KANSAS					
Wilson, Adrienne	12220 W 135th St	Overland Park	KS	66221	913-381-9685
KENTUCKY					
Long, Kelsey	2945 Scottsville Rd Ste A03	Bowling Green	KY	42104	270-904-4089
Garrison, Crystal	1609 N Dixie Hwy, Ste 103	Elizabethtown	KY	42701	270-769-0391
Finger, Becky	7941 Mall Rd	Florence	KY	41042	859-282-8922
Melton, Vonda	2220 Nicholasville Rd Ste 106	Lexington	KY	40503	859-276-0006
Barry, Kimberly	4030 Taylorsville Rd	Louisville	KY	40220	502-451-3463
Garrison, Crystal	4416 Outer Loop	Louisville	KY	40219	502-961-5855
Gregory, Kathy	8176 Dixie Hwy	Louisville	KY	40258	502-935-7878
Long, Kelsey	410 Southtown Blvd	Owensboro	KY	42303	270-240-2440
Craig, David	3050 New Holt Road, Ste 135	Paducah	KY	42001	
LOUISIANA					
Keller, Morgan & Finical, Kelly	11102 Airline Hwy	Baton Rouge	LA	70816	225-291-2044
Green, Logan	110 Tucker Dr Ste 101	Lafayette	LA	70503	337-984-8166
Seruntine, Cyndi	4240 Hwy 22 Ste 7	Mandeville	LA	70471	985-792-7512
Yetta, Darlene	3122 Severn Ave	Metairie	LA	70002	504-281-4996
Finical, Tony	1110 Pecanland Dr Ste 107	Monroe	LA	71203	318-362-8040
*Pullen, Kandice		Shreveport	LA		
Lee, Kathy	1597 Gause Blvd	Slidell	LA	70458	985-445-1404
MANITOBA					
Roblin, Brianne	1240 18th Street, Unit C	Brandon	MB	R7A 5C3	204-717-5900
Harder, Chantelle	1600 Regent Ave Unit 2A	Winnipeg	MB	R2C 3B5	204-669-5437
Dunlop, Christina	1330 Ellice Ave, Unit A	Winnipeg	MB	R3G 0E9	204-786-2229
MARYLAND					
Cox, Mike	10030 Baltimore National Pike, Ste D140	Ellicott City	MD	21042	410-418-4707
Cox, Mike	750 Maryland Rte 3 S, Ste 9 & 10	Gambrills	MD	21054	410-451-7444
Dube, Mark & Amber	62 Mountain Rd	Glen Burnie	MD	21061	443-410-3398
Jennings Pardoe, Colleen	1496 Still Meadow Blvd, Ste D and E	Salisbury	MD	21804	443-736-3547
Suter, Kristen	55 East Padonia Rd	Timonium	MD	21093	410-403-9236
MASSACHUSETTS					
*Crello-Michl, Janel	40 Cumberland Ave	North Attleborough	MA	2760	
*Lee, Paul	1275 Fall River Ave	Seekonk	MA	02771	
White, Larry	1458 Riverdale St	W Springfield	MA	01089	413-209-9675
MICHIGAN					
Van Black, Marcie	4559 Washtenaw Ave Ste A	Ann Arbor	MI	48108	734-971-6822
Brininstool, Mike	5700 Beckley Rd Ste E 14A	Battle Creek	MI	49015	269-979-9255
Williams, Shirley	8675 W Grand River Ave	Brighton	MI	48116	810-360-0033
Valmassei, Todd	1759 N Canton Ctr Rd	Canton	MI	48187	734-459-6669
*Aiken, Heather		Chesterfield	MI		
Hatfield, Angela	G3573 Miller Road	Flint	MI	48507	810-820-2112
Walls, Karen & Scott	1000 N Wisner St	Jackson	MI	49202	517-795-2538
Starks, Lisa	5827 W Saginaw Hwy	Lansing	MI	48917	517-993-5234
Valmassei, Todd	880 S Monroe St	Monroe	MI	48161	734-241-9640
Moore, Lindsay	41810 W 10 Mile Rd	Novi	MI	48375	248-349-2090
Burba, Kathie	1875 W Grand River Ave	Okemos	MI	48864	517-325-9579
Small, Jim	643 Romence Rd	Portage	MI	49024	269-903-2823
Riney, Kim	2936 Tittabawassee Rd	Saginaw	MI	48604	989-791-0029
O'Brien, Jen	521 Olesons Commerce Dr	Traverse City	MI	49685	231-642-5570
Imam, Faisal	6029 Rochester Rd	Troy	MI	48085	248-828-7474
Bradford, Tab & Judy	3343 Alpine Ave Ste C	Walker	MI	49544	616-784-5004
Bradford, Tab & Judy	1286 28th St W	Wyoming	MI	49509	616-531-5715
MINNESOTA					
Freedman, Kiya	3603 Round Lake Blvd	Anoka	MN	55303	763-421-3879
Greil, Caleb	4325 Pheasant Ridge Dr. NE, St 508/510	Blaine	MN	55449	763-784-9545
Rogers, Tyler	1100 E County Rd 42	Burnsville	MN	55337	952-432-8802

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Austin, Emily	5115 Burning Tree Road #308	Duluth	MN	55811	218-722-1220
Rogers, Tyler	582 Prairie Center Dr Suite 235	Eden Prairie	MN	55344	952-941-3515
Lacher, Dustin	464 Raintree Rd	Mankato	MN	56001	507-344-8799
Freedman, Kiya	13596 80th Circle N	Maple Grove	MN	55369	763-494-8687
Matthes, Cassie	2839 White Bear Ave	Maplewood	MN	55109	651-773-5122
Biwer, Stephanie	14200 Wayzata Blvd Ste J	Minnetonka	MN	55305	763-540-0477
Rogers, Tyler	3432 55th St NW	Rochester	MN	55901	507-252-5090
Mrugala, Roger & Sue	1653 W County Rd C	Roseville	MN	55113	651-628-0120
Krienke, Joshua & Christina	5021 Excelsior Blvd	Saint Louis Park	MN	55416	952-922-6535
Krienke, Joshua & Christina	8075 Old Carriage Court N	Shakopee	MN	55379	952-445-9900
Dahlgren, Al	110 2nd St S Suite 110	Waite Park	MN	56387	320-253-7193
Mrugala, Roger & Sue	10150 Hudson Rd Ste 128	Woodbury	MN	55129	651-734-9009
MISSISSIPPI					
Johnson, Wendi	3680 Sangani Blvd, Ste F	D'Iberville	MS	39540	228-396-2273
Roy, Aimee	4700 Hardy St Suite G	Hattiesburg	MS	39402	769-390-7336
Martin, Urica	1230 East Countyline Rd, Ste A & B	Ridgeland	MS	39157	769-447-5150
Fermi, Paul	7075 Malco Blvd Suite 6	Southaven	MS	38671	662-470-4952
MISSOURI					
Heilwagner, Jennifer	1231 Water Tower Pl	Arnold	MO	63010	636-333-2623
Dyer, Scott and Tara	15425 Manchester Rd, Unit 25	Ballwin	MO	63011	636-230-2922
*Conrad-Hollenbeck, Kimberly		Branson	MO		
Dyer, Scott and Tara	12100 St. Charles Rock Road	Bridgeton	MO	63044	314-475-5568
Teter, Marla & Johnson, Sandra	760 S Kings Hwy	Cape Girardeau	MO	63703	573-803-5437
Dyer, Scott and Tara	205 E. Nifong Blvd	Columbia	MO	65203	573-445-1151
Zoroya, Jeff	1131 NE Rice Rd	Lees Summit	MO	64086	816-246-8539
Schlum, Babette	1421 S Glenstone Ave	Springfield	MO	65804	417-886-1853
Del Carmen, Joe & Roell, Bryan	9901 Watson Rd, Suite 103	St. Louis	MO	63126	314-966-1844
Dyer, Scott and Tara	5819 Suemandy Drive	St Peters	MO	63376	636-970-6270
MONTANA					
Rinta, Robert	200 S 23rd Ave, Suite D2	Bozeman	MT	59718	406-219-3434
Drewes, Scott	802 10th Ave S, Ste 2	Great Falls	MT	59405	406-216-5960
*West, Tiffany		Kalispell	MT		
Dillavou, Desiree	2700 Paxson Street, Ste A	Missoula	MT	59801	406-317-1859
NEBRASKA					
Koerperich, Alan	2600 S 48th St, Suite 15	Lincoln	NE	68506	402-464-4443
NEVADA					
Skeen, Sara	1205 W Warm Springs Rd, Ste 106-108	Henderson	NV	89014	725-735-2320
Clawson, Chantelle	5000 Smithridge Dr., Ste A21	Reno	NV	89502	775-825-4448
NEW BRUNSWICK					
Dyker, Lyle	984 Prospect Street	Fredericton	NB	E3B 2T8	506-639-4886
Nel, Ruan	80 Mapleton Rd, Unit 11	Moncton	NB	E1C 7W6	506-854-9828
Branch, Sharon	533 Westmorland Rd Unit 3	Saint John	NB	E2J 2G5	506-631-0010
NEW JERSEY					
Samit, Adam	1450 Clements Bridge Rd	Deptford	NJ	08096	856-579-8043
Ruzika, Laila & Hammad, Shereef	561 Route 1 S	Edison	NJ	08817	732-640-1100
Schmidt, Geoff, Kim & Erin	137 Route 46 West	Fairfield	NJ	07004	973-287-6321
Voorand, Barbara	536 New Friendship Road	Howell	NJ	07731	732-534-9780
Joseph, Alvin	450 S Lenola Rd	Maple Shade	NJ	08052	856-235-5439
DuBarry, Thomas	140 Route 10 West	Randolph	NJ	07869	973-659-3355
Silberman, Jaime	275 Route 22 E, Unit A	Springfield	NJ	07081	973-874-5030
NEW MEXICO					
Crawford, Liz	1070 Corrales Rd, Ste 14	Albuquerque	NM	87114	505-532-3875
NEW YORK					
Kruger, Kathy	4271 Lake Avenue	Blasdell	NY	14219	716-235-8835
McMaster-Allendorph, Rhonda	400 Clifton Corporate Pkwy, Ste 410	Clifton Park	NY	12065	518-930-0000
Dougherty, Michael and Arianne	5775 Bridge ST	East Syracuse	NY	13057	315-396-0203
Godfrey, Cassandra & Jeremy	8411 Seneca Tpke	New Hartford	NY	13413	315-765-8360

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Lopoukhine, Shannon & Joseph, Brian	3333 W Henrietta Rd	Rochester	NY	14623	585-424-6822
Olivo, Sandro	455 Central Pk Ave Ste 9	Scarsdale	NY	10583	914-874-5535
Teller, Michael	1089 Hicksville Rd	Seaford	NY	11783	516-579-4200
Rolston, George	1708 Vestal Pkwy E	Vestal	NY	13850	607-754-5437
Lopoukhine, Shannon &	40 Cobblestone Court Dr	Victor	NY	14564	585-223-1100
Joseph, Brian					
Monroe, Timothy	1572 US Hwy 9 Ste 9	Wappingers Falls	NY	12590	845-632-6348
Lopoukhine, Shannon &	1900 Empire Blvd	Webster	NY	14580	585-671-3500
Joseph, Brian					
NORTH CAROLINA					
Bardaville, Heather	104 River Hills Road, Unit D & E	Asheville	NC	28805	828-505-0737
Guise, Chad	1241 NW Maynard Rd	Cary	NC	27513	919-234-6093
Smith, Nita	8700 Pineville-Matthews Rd Ste 850	Charlotte	NC	28226	704-541-5144
McConnell, Dan	349-0 Copperfield Blvd	Concord	NC	28025	980-255-8581
Guise, Chad	4600 Durham Chapel Hill Blvd, Ste 10	Durham	NC	27707	919-973-2652
Whaley, Karese	4560 Yadkin Rd	Fayetteville	NC	28303	910-867-6822
Reese, Dianne	2930 E Franklin Blvd Suite 18	Gastonia	NC	28056	980-320-8816
McGinnis, Kevin	340 N Spence Ave	Goldsboro	NC	27534	919-751-7371
Farmer, David	1566-B Highwoods Blvd	Greensboro	NC	27410	336-855-9914
Holzkamm, Mark	923 Red Banks Rd	Greenville	NC	27858	252-756-2855
Reising, David	1752 Highway 70 SE	Hickory	NC	28602	828-324-5437
Abbott Biss, Sarah	1000 Henderson Dr	Jacksonville	NC	28540	910-238-2510
Smith, Nita	9623J E Independence Blvd	Matthews	NC	28105	704-847-6337
Woodard, Jennifer	6411 Triangle Plantation Dr, Ste 107	Raleigh	NC	27616	919-534-0050
Cooke, Tatiana	180-190 Commerce Ave	Southern Pines	NC	28387	910-684-8970
McGinnis, Kevin	4719 J New Centre Dr	Wilmington	NC	28405	910-452-9976
Newton, Tereasa	2101 South Tarboro St., Ste B7	Wilson	NC	27892	252-265-3010
Farmer, David	600 Hanes Mall Blvd	Winston Salem	NC	27103	336-768-9100
NORTH DAKOTA					
Arenz, Tricia	1401 Skyline Blvd Ste B	Bismarck	ND	58503	701-255-3400
Bast, Tabitha	2551 45th St SW	Fargo	ND	58104	701-282-5222
Deziel, Tamara	2791 32nd Ave S Ste B	Grand Forks	ND	58201	701-775-1055
McNail, Daneille	1015 S. Broadway, Ste 12	Minot	ND	58701	701-837-7910
NOVA SCOTIA					
Buchanan, Adele	201 Chain Lake Drive	Halifax	NS	B3S 1C8	902-406-2624
OHIO					
Finger, Becky	2750 N Fairfield Rd	Beavercreek	OH	45431	937-427-2744
Schweier, Barb & Cotyk, Kimberly	4641 Dressler Rd NW	Canton	OH	44718	330-493-8668
Finger, Becky	9136 Union Cemetery Rd	Cincinnati	OH	45249	513-677-5700
Finger, Becky	8550 Beechmont Ave	Cincinnati	OH	45255	513-474-5105
Finger, Becky	6153 Glenway Ave	Cincinnati	OH	45211	513-451-7600
Finger, Becky	9680 Colerain Ave	Cincinnati	OH	45251	513-385-3034
Finger, Becky	3880D Paxton Ave	Cincinnati	OH	45209	513-871-3900
Blum, Dennis	6026 E Main St	Columbus	OH	43213	614-863-9777
Blum, Dennis	7454 Sawmill Rd	Columbus	OH	43235	614-791-3900
Finger, Becky	8317 Springboro Pike	Dayton	OH	45342	937-312-1294
Blum, Dennis	5777 Karric Square Dr	Dublin	OH	43016	614-761-8488
Teter, Amanda	1825 Tiffin Ave	Findlay	OH	45840	419-422-0400
Blum, Dennis	1385 Stone Ridge Lane	Gahanna	OH	43230	614-337-0200
Blum, Dennis	2221 Stringtown Rd	Grove City	OH	43213	614-875-9000
Finger, Becky	8256 Old Troy Pike, Unit 5	Huber Heights	OH	45424	937-235-2125
Ewing, Anna	927 N. Cable Road	Lima	OH	45805	419-222-4453
Dille, Kathy	2182 W 4th St	Mansfield	OH	44906	419-747-7006
Nunes, Kathryn	7531 Mentor Ave, Unit 16	Mentor	OH	44060	440-951-7222
Money, Brenda	5555 Youngstown-Warren Rd, Unit 4	Niles	OH	44446	330-652-6822
Blum, Dennis	142 East South Boundary	Perrysburg	OH	43551	419-874-3606
Craig, Rachel	1300 Boardman Poland Road	Poland	OH	44514	330-758-8750

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Gurtatowski, Kimberly	500 W Aurora Rd, Suite 160	Sagamore Hills	OH	44067	330-748-0885
Lynch, Kula	4315 Milan Rd, Ste 1	Sandusky	OH	44870	419-502-3232
*Kern, Jeannie		Steubenville	OH		
Weddle, Annie	3742 Fishcreek Rd	Stow	OH	44224	330-678-7176
Blum, Dennis	5644 Monroe St	Sylvania	OH	43560	419-841-7500
Finger, Becky	7758 Dudley Dr	West Chester	OH	45069	513-860-0770
Blum, Dennis	399 S State St Ste 25	Westerville	OH	43081	614-899-6654
Kessler, Linda	25028 Center Ridge Rd	Westlake	OH	44145	440-899-1100
OKLAHOMA					
Weeks, Lauren	3600 West Main, #150	Norman	OK	73072	405-857-2858
Yanda, Marty	10400 S Western Ave Ste 13	Oklahoma City	OK	73139	405-735-8200
Forrest, Lori	13801 N Pennsylvania Ave Ste G	Oklahoma City	OK	73134	405-286-3114
*White, Julie	1600 S Morgan Rd	Oklahoma City	OK	73128	
*Simmons, Misti		Owasso	OK		
Simmons, Misti	8929 S Memorial Dr, Suite 365	Tulsa	OK	74133	918-286-0806
ONTARIO					
Findlay, Amelia	18 Harwood Ave. S	Ajax	ON	L1S 7L8	905-427-4194
LeBlanc, John	15 Cedar Pointe Dr Unit 13	Barrie	ON	L4N 5R7	705-726-7577
Pieneman, Kate	366 North Front St, #2001	Belleville	ON	K8P 5E6	613-771-1000
Ryder, Timothy	370 Main St. N.	Brampton	ON	L6V 4A4	905-453-8733
Kot, Karen	245 King George Rd #125	Brantford	ON	N3R 7E3	519-751-1001
Wright, Karen	1505 Guelph Line	Burlington	ON	L7P 3B6	905-335-3352
Drake, Melania	600 Hespeler Rd	Cambridge	ON	N1R 8H2	519-621-0190
Melnyk, Nicholas "Nick"	1520 Steeles Ave W, Unit 122	Concord	ON	L4K 3B9	905-660-6369
Dzieduszycki, Lisa	666 Woolwich St, Unit 9	Guelph	ON	N1H 7G5	519-822-2666
Wright, Karen	1550 Upper James St Unit 19	Hamilton	ON	L9B 2L6	905-318-8685
Wu, Johnny	471 Hazeldean Rd, Unit #8	Kanata	ON	K2L 4B8	343-588-6822
Sicardi, Juan	620 Gardiners Rd, Unit 9A	Kingston	ON	K7M 3X9	613-777-4888
Wilson, Pat	210 The Boardwalk, Unit 4	Kitchener	ON	N2N 0B1	519-208-2233
Doerr, Scott	1070 Wellington Rd S #8	London	ON	N6E 1M2	519-680-3738
Geddes, Francesca	1380 Fanshawe Park Road	London	ON	N6G 5B1	519-641-2470
Lee, Jenny	1210 Castlemore Ave, Unit 6	Markham	ON	L6E 0H7	905-294-9422
Cairns, Iain	1160 Steeles Ave E, Bldg L2	Milton	ON	L9T 6C8	905-864-1555
Narkmun, Tanimar	128 Queen St S, Unit #7	Mississauga	ON	L5M 1K8	905-812-9822
Lee, Jenny	130 Davis Dr Box 25	Newmarket	ON	L3Y 2N1	905-898-2002
Mowbray, Dan & France	4300 Drummond Rd Unit 102	Niagara Falls	ON	L2E 6C3	289-296-8114
Rogala, Kimberly	1011 Upper Middle Road E.	Oakville	ON	L6H 4L2	905-257-5775
Gauthier, Julie	2016 Tenth Line Rd, Unit C2	Ottawa	ON	K4A 3W3	613-824-0928
Elias, Joanna	1285 Elgin Mills Rd E Unit 13	Richmond Hill	ON	L4S 1M8	905-508-0005
Redpath-Moormann, Amanda & Redpath, Holly	210 Glendale Ave Ste A15	Saint Catharines	ON	L2T 3Y6	905-684-6822
Brazeau, Amanda	671 Great Northern Rd Unit 3	Sault Ste Marie	ON	P6B 5A1	705-941-9698
Giero, Bart	1001 Sandhurst Circle, Unit 11	Scarborough	ON	M1V 1Z6	416-477-3604
Kot, Karen	940 Queenston Rd Unit 2	Stoney Creek	ON	L8E 5J2	905-664-6667
Hickey, Greg	1737 Lasalle Blvd	Sudbury	ON	P3A 1Z8	705-525-5577
Heerema, Kristi	1092 Memorial Ave	Thunder Bay	ON	P7B 4A3	807-622-6748
Kovacs, Duff	1020 Islington Ave Unit 10A	Toronto	ON	M8Z 6A4	416-901-9425
Levens, Jeff	45 Overlea Blvd, Unit 5	Toronto	ON	M4H 1C3	416-485-2776
Tomasulo, Antoinette	1645 Dundas St E	Whitby	ON	L1N 2K9	905-579-7676
Smith, Jerrod	6711 Tecumseh Rd E	Windsor	ON	N8T 3K7	519-915-1219
OREGON					
Boice, Danielle	16110 SE 82nd Drive	Clackamas	OR	97015	503-344-4103
Scanlan, Phil & Angela	2385 Lancaster Dr NE	Salem	OR	97305	503-362-2229
PENNSYLVANIA					
Simmons, Julie & Ryan	1932 Catasauqua Rd	Allentown	PA	18109	610-704-0824
Craig, Rachel	1717 Route 228, Suite H	Cranberry Township	PA	16066	724-741-0233
Simmons, Kellen	930 Viewmont Dr	Dickson City	PA	18519	570-382-8620

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Weldon, Larry & Kelly	7200 Peach St Unit 160	Erie	PA	16509	814-866-3803
Davis, Megan	193 W Lincoln Hwy	Exton	PA	19341	484-873-3900
Uber, Corey	6041 US-30	Greensburg	PA	15601	724-691-0117
Baker, Justin	3849 Union Deposit Rd	Harrisburg	PA	17109	717-540-7840
Margolis, Dana	2124 County Line Road	Huntingdon Valley	PA	19006	267-778-1121
Pawlowski, Chris	896 Plaza Blvd, Suite L	Lancaster	PA	17601	717-490-6460
*Heffner, Thomas		Limerick	PA		
Kapalko, Jennifer	3747 William Penn Hwy	Monroeville	PA	15146	412-374-9932
White, Christine	1925 Park Manor Blvd	Pittsburgh	PA	15205	412-788-8000
Craig, Rachel	3180 McIntyre Sq Dr	Pittsburgh	PA	15237	412-847-1660
Adeniyi, Kehinde	1238 Greensprings Dr., Unit B38	York	PA	17402	717-893-7941
RHODE ISLAND					
Marble, Donnie	1245 Bald Hill Rd	Warwick	RI	02886	401-828-1392
SASKATCHEWAN					
Hlushko, Peggy	2779 Avonhurst Dr	Regina	SK	S4R 3J3	306-721-9339
Henderson, Cory & Lorie	331B 105th St. East	Saskatoon	SK	S7N 1Z4	306-979-6822
Henderson, Cory & Lorie	20-3413 Fairlight Cres	Saskatoon	SK	S7M 5Z2	306-954-6822
SOUTH CAROLINA					
Sims, JT	3045 N Main Street	Anderson	SC	29621	864-844-9270
Baker, Leah	1202-A Fording Island	Bluffton	SC	29910	843-757-7523
Hines, Todd	946 Orleans Rd, Ste F1	Charleston	SC	29407	843-724-9160
Hines, Todd	7800 Rivers Ave, Ste 1440	Charleston	SC	29406	843-824-1242
Henderson, Tammy	264 Harbison Blvd Unit L	Columbia	SC	29212	803-732-7887
Bagwell, James	10136 Two Notch Rd Ste 107A	Columbia	SC	29229	803-788-4320
Rowsey, Chasity	315 N Beltline Dr Ste B	Florence	SC	29501	843-679-5555
Brown, Autumn	1451 Woodruff Rd Ste 2	Greenville	SC	29607	864-234-9201
Kahre, Michael	2349 Cherry Rd Ste 77	Rock Hill	SC	29732	803-324-0017
Brown, Autumn	1450 W.O. Ezell Blvd, Ste 900	Spartanburg	SC	29301	864-574-0002
*Ringold, Elizabeth		Summerville	SC		
*Kelly, Amanda	1005 Broad Street, Unit F	Sumter	SC	29150	803-774-9979
Henderson, Tammy	2727 Beaver Run Blvd	Surfside Beach	SC	29575	843-650-2229
SOUTH DAKOTA					
Harms, Kannan	780 Mountain View Rd	Rapid City	SD	57702	605-716-4141
Fodness, Stacy	3808 S Western Ave	Sioux Falls	SD	57105	605-334-0922
TENNESSEE					
Watts-Loos, Shelly & Michael	5364 Mt View Rd	Antioch	TN	37013	615-731-7409
Shirley, Colyn	2288 Gunbarrel Rd Ste 180	Chattanooga	TN	37421	423-498-1719
Anderson, Christina	2728 Wilma Rudolph Blvd Ste 1	Clarksville	TN	37040	931-645-9346
Fermi, Paul	1204 W Poplar Ave, Suite 103	Collierville	TN	38017	901-221-8532
Fermi, Paul	8195 Dexter Street Suite 115	Cordova	TN	38016	901-382-3332
Howell, Margaret	7090 Bakers Bridge Ave	Franklin	TN	37067	615-790-8081
Croom, Kristi	1245 Vann Drive	Jackson	TN	38305	731-300-6313
Whittington, Sara	1805 N Roan St	Johnson City	TN	37601	423-202-7272
Whittington, Benjamin	1409 East Stone Drive Suite G	Kingsport	TN	37660	423-765-1128
McNitt, Todd	8078 Kingston Pike	Knoxville	TN	37919	865-539-6769
Lowe, Leigh	5034 N Broadway, #110	Knoxville	TN	37918	865-281-3021
Doran, Michelle	1734 W Northfield Blvd	Murfreesboro	TN	37129	615-907-0500
TEXAS					
Shewell, Lorie	3226 S. Clack St	Abilene	TX	79606	325-268-4202
Hartley, Todd	4121 SW 34th Ave	Amarillo	TX	79109	806-354-0071
English, Jim	7010 West Highway 71, Ste #155	Austin	TX	78735	512-715-4868
Brooks, Janelle	6620 Garth Rd	Baytown	TX	77521	281-838-8894
Green, Logan	4340 Dowlen Rd	Beaumont	TX	77706	409-347-7926
Hall, Natalie	2661 Midway Rd Ste 225	Carrollton	TX	75006	972-250-6603
Jacobus, Lindsay	1106 Harvey Road	College Station	TX	77840	979-696-7161
Hall, Natalie	3930 Glade Rd, Ste 105	Colleyville	TX	76034	817-786-8068
Vera, Pam	1346 Airline Road	Corpus Christi	TX	78412	361-993-8581

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Bessire, Joel	2315 Colorado Blvd Ste 100	Denton	TX	76205	940-380-1500
Moss, Jody	9505 Viscount Blvd Ste A	El Paso	TX	79925	915-599-9002
Miller, Jule' & Wilson, Rachel	5801 Long Prairie Rd Ste 320	Flower Mound	TX	75028	972-874-0779
Nunn, Keleigh and Nunn, Klint and Julie	5125 N. George Bush Hwy. #500	Garland	TX	75040	972-495-4662
Ellis, Leslie	1103 Rivery Rd, Ste 170	Georgetown	TX	78628	512-980-2483
Hellums, Kimberly	17310 FM 529 RD #104	Houston	TX	77095	281-858-6830
Siebert, Melisa	6927 FM 1960 W Ste G	Houston	TX	77069	281-444-2445
Nunn, Klint and Julie	12524 Westheimer Rd	Houston	TX	77077	281-406-8870
Fort, David	1102 Pinemont Dr	Houston	TX	77018	713-993-6448
Batten, Rick	200 S Oakridge Dr, Ste 103 & 104	Hudson Oaks	TX	76087	817-360-0665
Hinckley, Erica	9771A F.M. 1960 Bypass Road West	Humble	TX	77338	832-644-8765
Hellums, Kimberly	344 S. Mason Rd	Katy	TX	77450	281-392-6636
Wilburn, Karen	6945 Bandera Rd	Leon Valley	TX	78238	210-682-6822
Boyles, Kimberly	103 W. Loop 281, Ste 203	Longview	TX	75605	903-230-8412
Erculiani, Jeanne	4815B 50th St	Lubbock	TX	79414	806-788-1555
Wood, Bryan	2960 W Eldorado Pkwy Ste 30	McKinney	TX	75070	972-529-6822
Subhani, Waseem	3501 Gus Thomasson Road, Ste 63	Mesquite	TX	75150	972-279-8048
Notley, Nathan	3141 E University Blvd	Odessa	TX	79762	432-614-0639
Nunn, Klint and Julie	10100 Broadway St Ste 106	Pearland	TX	77584	281-741-0264
Miller, Jule' & Wilson, Rachel	7200 Independence Pkwy, Ste 260	Plano	TX	75025	972-618-5800
Green, Logan	8607 9th Ave	Port Arthur	TX	77642	409-237-5209
Hussain, Abid	2320 B F Terry Blvd Ste 500	Rosenberg	TX	77471	281-725-3878
Wilburn, Karen	16646 San Pedro Ave	San Antonio	TX	78232	210-490-6822
Siebert, Melisa	17937 I-45 South Ste 141	Shenandoah	TX	77385	936-273-9165
Zirschky, Julia	8970 S Broadway Ave, Ste 188	Tyler	TX	75703	903-504-5538
Wilburn, Karen	135 Athenian Dr	Universal City	TX	78148	210-658-6822
Springman, Jennifer	4600 Franklin Ave, Ste 400	Waco	TX	76710	254-265-6237
Whitton, Allison	1013 W Bay Area Blvd	Webster	TX	77598	281-218-6676
VERMONT					
Papin, Ashley	38 Taft Corners Shopping Center	Williston	VT	05495	802-878-5434
VIRGINIA					
Hubel, Diane	805 N Battlefield Blvd, Ste 119	Chesapeake	VA	23320	757-410-8800
Hubel, Diane	4107 Portsmouth Blvd, Ste 120	Chesapeake	VA	23321	757 966-7400
Toney, Charles	360A Arbor Dr	Christiansburg	VA	24073	540-382-5045
Ellenberger, Brian	52 Southgate Square	Colonial Heights	VA	23834	804-526-1333
Harrell, Winston	3256 Riverside Dr	Danville	VA	24541	434-424-1237
*Louidort, Mika		Fairfax	VA		
Stainback, Rhonda	18013 Forest Rd, Ste D-01	Forest	VA	24551	434-385-4387
Ngo, Lily	1879 Carl D Silver Pkwy	Fredericksburg	VA	22401	540-548-1831
DeGidio, Kevin	1790 E Market St Suite 96	Harrisonburg	VA	22801	540-438-5607
Solomon, Kim & Digby	9015 W Broad St	Henrico	VA	23294	804-346-5552
*Parker, Luz del Cielo		Manassas	VA		
Janke, Tobias & Lori & Powers, Traci	12233 Jefferson Ave Ste 7B	Newport News	VA	23602	757-968-5437
Strahs, Eric	9770 Midlothian Turnpike	Richmond	VA	23235	804-272-2229
Toney, Charles	1371 Towne Square Blvd	Roanoke	VA	24012	540-563-9891
Toney, Charles	4092 Electric Rd	Roanoke	VA	24018	540-774-3639
Hubel, Diane	2277 Upton Dr Ste 708	Virginia Beach	VA	23454	757-301-3900
Hubel, Diane	748 Independence Blvd, #4566	Virginia Beach	VA	23455	757-524-5444
Sisler, Morghan	621 W Jubal Early Drive #B	Winchester	VA	22601	540-545-5965
WASHINGTON					
Colton, Rachel	731 N Columbia Center Blvd, Ste 102	Kennewick	WA	99336	509-285-0297
Waybright, Dillon	14401 E Sprague Ave Ste C	Spokane Valley	WA	99216	509-927-3001
Maramba, Josh	11505 NE 4th Plain Rd, Ste D3	Vancouver	WA	98662	360-253-7742
WEST VIRGINIA					
Douglas, Teresa & David	7100 Willie G Ave, Ste 104	Morgantown	WV	26501	304-322-2446
White, Christine	570 Cabela Dr	Triadelphia	WV	26059	304-909-0025
WISCONSIN					

Once Upon A Child
as of December 27, 2025

Franchisee	Store Address	City	ST	ZIP	Store Phone
Gering, Tammy & Greg	313 Mall Dr	Appleton	WI	54913	920-731-8612
McGurn, Jess	16750 W Bluemound Rd, Ste B	Brookfield	WI	53005	262-782-5437
Eckes, Luke	4138 Commonwealth Ave	Eau Claire	WI	54701	715-514-4730
Gering, Tammy & Greg	1158 Military Ave	Green Bay	WI	54304	920-498-9591
McGurn, Jess	5431 S 76th St	Greendale	WI	53129	262-232-8459
Edwards, Maloree	4623 75th St, Unit 1	Kenosha	WI	53142	262-764-0094
Tomashek, Andy & Kara	3133 St Hwy 16	La Crosse	WI	54601	608-779-4357
Krause-Stetson, Diane	1651 Thierer Road	Madison	WI	53704	608-665-0901
Rennison, Jessica	225 Junction Rd	Madison	WI	53717	608-841-1233
Jones, Brandon	226562 Rib Mountain Dr	Wausau	WI	54401	715-298-0665
WYOMING					
Pesicka, Cheryl	1367 Cy Ave	Casper	WY	82604	307-266-6822
O'Donnell, Andrea	2424 Dell Range Blvd Suite D	Cheyenne	WY	82009	307-772-7621

* Store Not Opened

EXHIBIT B

List of Terminated Franchises

ONCE UPON A CHILD
LIST OF TERMINATED FRANCHISEES AS OF 12/27/25 AND FRANCHISEES WHO HAVE NOT COMMUNICATED WITH WINMARK WITHIN THE 10-WEEK PERIOD BEFORE THE ISSUANCE DATE OF THIS DISCLOSURE DOCUMENT

LAST NAME	FIRST NAME	HOME CITY	STATE	LAST KNOWN BUSINESS PHONE	REASON
Davis/Henderson	Ann/Bob	Kelowna	BC	778-484-0083	Transferred
Gosting	Mike	Rocklin	CA	707-448-1212	Transferred
Herbison	Stephanie	Magnolia	DE	302-678-1155	Transferred
Foster	Johanna and Brett	Lake Nona	FL	thepineapplelight.op@gmail.com	Terminated*
Vassiliadis	James	Orlando	FL	407-292-3500	Transferred
Franklin	Jessica	Panama City Beach	FL	850-215-3500	Transferred
Slapikas	Steven and Michelle	Vero Beach	FL	772-324-5837	Terminated
Simpson	Andrew	Berwyn	IL	630-410-8059	Terminated
Nichols	Lita	Fairland	IN	317-846-7011	Transferred
Dutille	Paul and April	Lexington	KY	859-276-0006	Transferred
Fuller	Nicole	Bowie	MD	kay_1998@hotmail.com	Terminated
Ilich	Derek	Lyon Township	MI	248-349-2090	Transferred
Priestly	Sunday	Williamston	MI	517-325-9579	Transferred
Backman	Melanie	Blaine	MN	763-784-9545	Transferred
Gartman	Amy	Pass Christian	MS	228-396-2273	Transferred
Acheson	John	Belgrade	MT	406-219-3434	Transferred
Turner	Erika	Pompton Plains	NJ	201-497-6666	Terminated
Brooks	Janelle	Baytown	TX	832-644-8765	Transferred
Bean	William	Georgetown	TX	512-467-4699	Terminated
Robinson-Alade	Cindy	Rosenberg	TX	281-725-3878	Transferred
Hayer	Maheep	Vancouver	WA	360-253-7742	Transferred
Dils	Christina	Vienna	WV	304-422-2005	Terminated

*Store Never Opened

If you buy a Once Upon A Child® franchise, your contact information may be disclosed to other buyers when you leave the System.

EXHIBIT C

Winmark's Audited Consolidated Financial Statements

GRANT THORNTON LLP
241 5th Avenue N., Suite 600
Minneapolis, MN 55401

D +1 612 332 0001
F +1 612 332 8361

REPORT OF INDEPENDENT REGISTERED PUBLIC ACCOUNTING FIRM

Board of Directors and Shareholders
Winmark Corporation

Opinion on the financial statements
We have audited the accompanying consolidated balance sheets of Winmark Corporation (a Minnesota corporation) and subsidiaries (the "Company") as of December 27, 2025 and December 28, 2024, the related consolidated statements of operations, changes in shareholders' equity (deficit), and cash flows for each of the three years in the period ended December 27, 2025, and the related notes (collectively referred to as the "consolidated financial statements"). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 27, 2025 and December 28, 2024, and the results of its operations and its cash flows for each of the three years in the period ended December 27, 2025, in conformity with accounting principles generally accepted in the United States of America.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) ("PCAOB"), the Company's internal control over financial reporting as of December 27, 2025, based on criteria established in the 2013 *Internal Control—Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission ("COSO"), and our report dated February 25, 2026 expressed an unqualified opinion.

Basis for opinion
These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's consolidated financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Grant Thornton LLP is a U.S. member firm of Grant Thornton International Ltd (GTIL). GTIL and each of its member firms are separate legal entities and are not a worldwide partnership.

Critical audit matters
Critical audit matters are matters arising from the current period audit of the financial statements that were communicated or required to be communicated to the audit committee and that: (1) relate to accounts or disclosures that are material to the financial statements and (2) involve our especially challenging, subjective, or complex judgments. We determined that there are no critical audit matters.

Grant Thornton LLP

We have served as the Company's auditor since 2006.

Minneapolis, Minnesota
February 25, 2026

WINMARK CORPORATION AND SUBSIDIARIES
Consolidated Balance Sheets

	December 27, 2025	December 28, 2024
ASSETS		
Current Assets:		
Cash and cash equivalents	$ 10,295,700	$ 12,189,800
Restricted cash	165,000	140,000
Receivables, less allowance for credit losses of $500 and $500	1,483,500	1,336,400
Income tax receivable	463,600	96,400
Inventories	362,500	397,600
Prepaid expenses	1,325,700	1,205,400
Total current assets	14,096,000	15,365,600
Property and equipment:		
Furniture and equipment	2,837,600	2,679,400
Building and building improvements	2,984,100	2,952,100
Less - accumulated depreciation and amortization	(4,602,700)	(4,212,100)
Property and equipment, net	1,219,000	1,419,400
Operating lease right of use asset	1,761,500	2,108,700
Intangible assets, net	2,286,300	2,640,300
Goodwill	607,500	607,500
Other assets	506,400	491,200
Deferred income taxes	4,407,400	4,211,800
	$ 24,884,100	$ 26,844,500
LIABILITIES AND SHAREHOLDERS' EQUITY (DEFICIT)		
Current Liabilities:		
Accounts payable	$ 1,673,900	$ 1,562,000
Accrued liabilities	2,324,800	1,866,200
Deferred revenue	1,667,300	1,659,700
Total current liabilities	5,666,000	5,087,900
Long-term Liabilities:		
Line of credit/Term loan	30,000,000	30,000,000
Notes payable, net of unamortized debt issuance costs of $39,000 and $57,200	29,961,000	29,942,800
Deferred revenue	8,350,100	8,027,600
Operating lease liabilities	2,414,200	3,092,800
Other liabilities	2,175,200	1,739,500
Total long-term liabilities	72,900,500	72,802,700
Shareholders' Equity (Deficit):		
Common stock, no par value, 10,000,000 shares authorized, 3,571,861 and 3,539,744 shares issued and outstanding	19,612,800	14,790,500
Retained earnings (accumulated deficit)	(73,295,200)	(65,836,600)
Total shareholders' equity (deficit)	(53,682,400)	(51,046,100)
	$ 24,884,100	$ 26,844,500

The accompanying notes are an integral part of these consolidated financial statements.

WINMARK CORPORATION AND SUBSIDIARIES
Consolidated Statements of Operations

	Fiscal Year Ended		
	December 27, 2025	**December 28, 2024**	**December 30, 2023**
Revenue:			
Royalties	$ 76,352,800	$ 72,198,500	$ 70,230,700
Leasing income	2,631,800	1,811,800	4,766,200
Merchandise sales	3,282,800	3,601,300	4,761,100
Franchise fees	1,525,800	1,545,600	1,512,000
Other	2,262,500	2,131,900	1,973,500
Total revenue	86,055,700	81,289,100	83,243,500
Cost of merchandise sold	3,104,400	3,379,200	4,461,500
Leasing expense	—	36,600	398,300
Provision for credit losses	—	(1,500)	(5,600)
Selling, general and administrative expenses	28,357,400	24,944,200	25,108,700
Income from operations	54,593,900	52,930,600	53,280,600
Interest expense	(2,446,800)	(2,856,900)	(3,091,000)
Interest and other income	988,500	1,150,300	1,171,700
Income before income taxes	53,135,600	51,224,000	51,361,300
Provision for income taxes	(11,481,500)	(11,269,800)	(11,183,200)
Net income	$ 41,654,100	$ 39,954,200	$ 40,178,100
Earnings per share - basic	$ 11.73	$ 11.36	$ 11.55
Earnings per share - diluted	$ 11.30	$ 10.89	$ 11.04
Weighted average shares outstanding - basic	3,549,753	3,516,122	3,479,936
Weighted average shares outstanding - diluted	3,685,457	3,667,479	3,640,524

The accompanying notes are an integral part of these consolidated financial statements.

WINMARK CORPORATION AND SUBSIDIARIES

Consolidated Statements of Shareholders' Equity (Deficit)

Fiscal years ended December 27, 2025, December 28, 2024 and December 30, 2023

	Common Stock		Retained Earnings (Accumulated Deficit)	Total
	Shares	Amount		
BALANCE, December 31, 2022	3,459,673	$ 1,806,700	$ (63,438,800)	$ (61,632,100)
Repurchase of common stock	—	—	—	—
Stock options exercised	37,304	4,009,700	—	4,009,700
Compensation expense relating to stock options	—	1,952,400	—	1,952,400
Cash dividends	—	—	(43,664,200)	(43,664,200)
Comprehensive income (Net income)	—	—	40,178,100	40,178,100
BALANCE, December 30, 2023	3,496,977	7,768,800	(66,924,900)	(59,156,100)
Repurchase of common stock	—	—	—	—
Stock options exercised	42,767	5,033,700	—	5,033,700
Compensation expense relating to stock options	—	1,988,000	—	1,988,000
Cash dividends	—	—	(38,865,900)	(38,865,900)
Comprehensive income (Net income)	—	—	39,954,200	39,954,200
BALANCE, December 28, 2024	3,539,744	14,790,500	(65,836,600)	(51,046,100)
Repurchase of common stock	(7,944)	(2,418,700)	—	(2,418,700)
Stock options exercised	40,061	4,957,800	—	4,957,800
Compensation expense relating to stock options	—	2,283,200	—	2,283,200
Cash dividends	—	—	(49,112,700)	(49,112,700)
Comprehensive income (Net income)	—	—	41,654,100	41,654,100
BALANCE, December 27, 2025	3,571,861	$ 19,612,800	$ (73,295,200)	$ (53,682,400)

The accompanying notes are an integral part of these consolidated financial statements.

WINMARK CORPORATION AND SUBSIDIARIES

Consolidated Statements of Cash Flows

	Year Ended		
	December 27, 2025	**December 28, 2024**	**December 30, 2023**
OPERATING ACTIVITIES:			
Net income	$ 41,654,100	$ 39,954,200	$ 40,178,100
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation of property and equipment	392,700	445,300	418,700
Amortization of intangible assets	354,000	354,000	354,000
Provision for credit losses	—	(1,500)	(5,600)
Compensation expense related to stock options	2,283,200	1,988,000	1,952,400
Deferred income taxes	(195,600)	(159,400)	(512,000)
Operating lease right of use asset amortization	347,300	317,100	290,100
Tax benefits on exercised stock options	1,619,000	1,307,700	1,138,500
Change in operating assets and liabilities:			
Receivables	(147,100)	138,900	(36,700)
Principal collections on lease receivables	—	104,700	556,000
Income tax receivable/payable	(1,986,200)	(1,372,800)	(611,200)
Inventories	35,100	(11,500)	384,500
Prepaid expenses	(120,300)	186,700	(81,700)
Other assets	(15,200)	(19,900)	(41,600)
Accounts payable	111,800	(157,400)	(402,600)
Accrued and other liabilities	233,900	(1,251,900)	(16,900)
Rents received in advance and security deposits	—	(28,000)	(275,200)
Deferred revenue	330,100	363,700	705,500
Net cash provided by operating activities	44,896,800	42,157,900	43,994,300
INVESTING ACTIVITIES:			
Purchase of property and equipment	(192,300)	(194,900)	(383,900)
Net cash used for investing activities	(192,300)	(194,900)	(383,900)
FINANCING ACTIVITIES:			
Payments on notes payable	—	(9,187,500)	(4,250,000)
Repurchases of common stock	(2,418,700)	—	—
Proceeds from exercises of stock options	4,957,800	5,033,700	4,009,700
Dividends paid	(49,112,700)	(38,865,900)	(43,664,200)
Net cash used for financing activities	(46,573,600)	(43,019,700)	(43,904,500)
NET DECREASE IN CASH, CASH EQUIVALENTS AND RESTRICTED CASH	(1,869,100)	(1,056,700)	(294,100)
Cash, cash equivalents and restricted cash, beginning of period	12,329,800	13,386,500	13,680,600
Cash, cash equivalents and restricted cash, end of period	$ 10,460,700	$ 12,329,800	$ 13,386,500
SUPPLEMENTAL DISCLOSURES:			
Cash paid for interest	$ 2,415,700	$ 2,851,000	$ 3,049,400
Cash paid for income taxes	$ 11,814,700	$ 11,168,700	$ 10,874,300

The following table provides a reconciliation of cash, cash equivalents and restricted cash reported within the Consolidated Balance Sheets to the total of the same amounts shown above:

	Year Ended		
	December 27, 2025	**December 28, 2024**	**December 30, 2023**
Cash and cash equivalents	$ 10,295,700	$ 12,189,800	$ 13,361,500
Restricted cash	165,000	140,000	25,000
Total cash, cash equivalents and restricted cash	$ 10,460,700	$ 12,329,800	$ 13,386,500

The accompanying notes are an integral part of these consolidated financial statements.

1. Organization and Business:

Winmark Corporation and subsidiaries (the Company) offers licenses to operate franchises using the service marks Plato's Closet®, Once Upon A Child®, Play It Again Sports®, Style Encore® and Music Go Round®. In addition, the Company sells point-of-sale system hardware to its franchisees and certain merchandise to its Play It Again Sports franchisees. The Company also operates a middle-market equipment leasing business under the Winmark Capital® mark. The Company has a 52/53-week fiscal year that ends on the last Saturday in December. Fiscal year 2025, 2024 and 2023 were 52-week fiscal years.

2. Significant Accounting Policies:

Principles of Consolidation

The consolidated financial statements include the accounts of the Company and its wholly-owned subsidiaries, Winmark Capital Corporation, Wirth Business Credit, Inc. and Grow Biz Games, Inc. All material inter-company transactions have been eliminated in consolidation.

Cash Equivalents

Cash equivalents consist of highly liquid investments with an original maturity of three months or less when purchased. Cash equivalents are stated at cost, which approximates fair value. As of December 27, 2025 and December 28, 2024, the Company had $191,500 and $73,800, respectively, of cash located in Canadian banks. The Company holds its cash and cash equivalents with financial institutions and at times, such balances may be in excess of insurance limits.

Receivables

The beginning balance at December 31, 2023 for accounts receivable arising from contracts with customers was $1,475,300 with ending balances included in "Receivables, net" in the Consolidated Balance Sheets.

The Company provides an allowance for credit losses on trade receivables. The allowance for credit losses was $500 and $500 at December 27, 2025 and December 28, 2024 respectively. If receivables in excess of the provided allowance are determined uncollectible, they are charged to expense in the year the determination is made. Trade receivables are written off when they become uncollectible (which generally occurs when the franchise terminates and there is no reasonable expectation of collection), and payments subsequently received on such receivable are credited to the allowance for credit losses. Historically, receivables balances written off have not exceeded allowances provided.

Restricted Cash

The Company is required by certain states to maintain initial franchise fees in a restricted bank account until the franchise opens. Cash held in escrow totaled $165,000 and $140,000 at December 27, 2025 and December 28, 2024, respectively.

Leasing Operations

The Company uses the direct finance method of accounting to record income from direct financing leases. At the inception of a lease, the Company records the minimum future lease payments receivable, the estimated residual value of the leased equipment and the unearned lease income. Initial direct costs related to lease originations are deferred as part of the investment and amortized over the lease term. Unearned lease income is the amount by which the total lease receivable plus the estimated residual value exceeds the cost of the equipment.

Leasing Income Recognition

Leasing income for direct financing leases is recognized under the effective interest method. The effective interest method of income recognition applies a constant rate of interest equal to the internal rate of return on the lease.

For sales-type leases in which the equipment has a fair value greater or less than its carrying amount, selling profit/loss is recognized at commencement. For subsequent periods or for leases in which the equipment's fair value is equal to its carrying amount, the recording of income is consistent with the accounting for a direct financing lease.

For leases that are accounted for as operating leases, income is recognized on a straight-line basis when payments under the lease contract are due.

Generally, when a lease is more than 90 days delinquent (when more than three monthly payments are owed), the lease is classified as being on non-accrual and the Company stops recognizing leasing income on that date. Payments received on leases in non-accrual status generally reduce the lease receivable. Leases on non-accrual status remain classified as such until there is sustained payment performance that, in the Company's judgment, would indicate that all contractual amounts will be collected in full.

Leasing Expense

Leasing expense includes the cost of financing equipment purchases, the cost of equipment sales as well as depreciation expense for operating lease assets.

Lease Residual Values

Residual values reflect the estimated amounts to be received at lease termination from sales or other dispositions of leased equipment to unrelated parties. The leased equipment residual values are based on the Company's best estimate.

Allowance for Credit Losses

The Company maintains an allowance for credit losses at an amount that it believes to be sufficient to absorb losses inherent in its existing lease portfolio as of the reporting dates. Leases are collectively evaluated for potential loss. The Company's methodology for determining the allowance for credit losses includes consideration of the level of delinquencies and non-accrual leases, historical net charge-off amounts and review of any significant concentrations.

A provision is charged against earnings to maintain the allowance for credit losses at the appropriate level. If the actual results are different from the Company's estimates, results could be different. The Company's policy is to charge-off against the allowance the estimated unrecoverable portion of accounts once they reach 121 days delinquent.

Inventories

The Company values its inventories at the lower of cost, as determined by the weighted average cost method, and net realizable values. Inventory consists of computer hardware and related accessories, all of which is finished goods merchandise held for resale.

Impairment of Long-lived Assets

The Company reviews its long-lived assets for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. If the carrying amount of the asset exceeds expected undiscounted future cash flows, the Company measures the amount of impairment by comparing the carrying amount of the asset to its fair value.

Property and Equipment

Property and equipment is stated at cost. Depreciation and amortization for financial reporting purposes is provided on the straight-line method. Estimated useful lives used in calculating depreciation and amortization are: three to five years for computer and peripheral equipment, five to seven years for furniture and equipment and the shorter of the lease term or useful life for leasehold improvements. Major repairs, refurbishments and improvements which significantly extend the useful lives of the related assets are capitalized. Maintenance and repairs, supplies and accessories are charged to expense as incurred.

Intangible Assets

Intangible assets are amortized over the estimated useful life on a straight line basis. The Company reviews its intangible assets for impairment at its fiscal year end or whenever events or changes in circumstances indicate that there has been impairment in the value of its intangible assets. No impairment was noted during fiscal years ended 2025, 2024, and 2023. Intangible assets of $2.3 million and $2.6 million in the consolidated balance sheets at December 27, 2025 and December 28, 2024, respectively, are all attributable to the franchising segment.

Goodwill

The Company reviews its goodwill for impairment at its fiscal year end or whenever events or changes in circumstances indicate that there has been impairment in the value of its goodwill. No impairment was noted during fiscal years ended 2025, 2024 and 2023. Goodwill of $0.6 million in the consolidated balance sheets at December 27, 2025 and December 28, 2024 is all attributable to the franchising segment.

Use of Estimates

The preparation of financial statements in conformity with generally accepted U.S. accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. The ultimate results could differ from those estimates.

Advertising

Advertising costs are charged to selling, general and administrative expenses as incurred. Advertising costs were $0.8 million, $0.6 million and $0.7 million for fiscal years 2025, 2024 and 2023, respectively.

Accounting for Stock-Based Compensation

The Company recognizes the cost of all share-based payments to employees, including grants of employee stock options, in the consolidated financial statements based on the grant date fair value of those awards. This cost is recognized over the period for which an employee is required to provide service in exchange for the award.

The Company estimates the fair value of options granted using the Black-Scholes option valuation model. The Company estimates the volatility of its common stock at the date of grant based on its historical volatility rate. The Company's decision to use historical volatility was based upon the lack of actively traded options on its common stock. The Company estimates the expected term based upon historical option exercises. The risk-free interest rate assumption is based on observed interest rates for the expected term. The Company uses historical data to estimate pre-vesting option forfeitures and record share-based compensation expense only for those awards that are expected to vest. For options granted, the Company amortizes the fair value on a straight-line basis. All options are amortized over the vesting periods, which are generally four years beginning from the date of grant.

Revenue Recognition – Franchising

The following is a description of the principal sources of revenue for the company's franchising segment. The Company's performance obligations under franchise agreements consist of (a) a franchise license, including a license to use one of our brands, (b) a point-of-sale software license, (c) initial services, such as pre-opening training and marketing support, and (d) ongoing services, such as marketing services and operational support. These performance obligations are highly interrelated so we do not consider them to be individually distinct and therefore account for them under ASC 606 as a single performance obligation, which is satisfied by providing a right to use our intellectual property over the estimated life of the franchise. The disaggregation of the Company's franchise revenue is presented within the Revenue lines of the Consolidated Statements of Operations with the amounts included in Revenue: Other delineated below.

Royalties

The Company collects royalties from each retail franchise based upon a percentage of retail sales. The Company recognizes royalties at the time the underlying sales occur.

Merchandise Sales

Merchandise sales include the sale of point-of-sale technology equipment to franchisees and the sale of a limited amount of sporting goods to certain Play It Again Sports franchisees. Merchandise sales, which includes shipping and handling charges, are recognized at a point in time when the product has been shipped to the franchisee. Shipping and handling costs associated with outbound freight are accounted for as a fulfillment cost and included in cost of merchandise sold.

Franchise Fees

The Company collects initial franchise fees when franchise agreements are signed. The Company recognizes franchise fee revenue over the estimated life of the franchise, beginning with the opening of the franchise, which is when the Company has performed substantially all initial services required by the franchise agreement and the franchisee benefits from the rights afforded by the franchise agreement. The Company had deferred franchise fee revenue of $7.9 million and $7.5 million at December 27, 2025 and December 28, 2024, respectively.

Marketing Fees

Marketing fee revenue is included in the Revenue: Other line of the Consolidated Statements of Operations. The Company bills and collects annual marketing fees from its franchisees at various times throughout the year. The Company recognizes marketing fee revenue on a straight line basis over the franchise duration. The Company recognized $1.9 million, $1.8 million and $1.6 million in marketing fee revenue for each of the fiscal years ended December 27, 2025, December 28, 2024 and December 30, 2023, respectively.

Software License Fees

Software license fee revenue is included in the Revenue: Other line of the Consolidated Statements of Operations. The Company bills and collects software license fees from its franchisees when the point-of-sale system is provided to the franchisee. The Company recognizes software license fee revenue on a straight line basis over the franchise duration. The Company recognized $0.4 million, $0.4 million and $0.4 million in software license fee revenue for each of the fiscal years ended December 27, 2025, December 28, 2024 and December 30, 2023, respectively. The Company had deferred software license fees of $1.9 million and $1.9 million at December 27, 2025 and December 28, 2024, respectively.

Contract Liabilities

The Company's contract liabilities for its franchise revenues consist of deferred revenue associated with franchise fees and software license fees described above.

Commission Fees

The Company capitalizes incremental commission fees paid as a result of obtaining franchise agreement contracts. Capitalized commission fees of $0.6 million and $0.6 million are outstanding at December 27, 2025 and December 28, 2024, respectively and are included in Prepaid expenses and Other assets in the Consolidated Balance Sheets.

Capitalized commission fees are amortized over the life of the franchise and are included in selling, general and administrative expenses. During the fiscal years ended December 27, 2025, December 28, 2024 and December 30, 2023, the Company recognized $120,100, $114,700 and $109,700 of commission fee expense, respectively.

Income Taxes

The Company accounts for incomes taxes under the asset and liability method. Under this method, deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date.

The Company recognizes the effect of income tax positions only if those positions are more likely than not to be sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs. The Company records interest and penalties related to unrecognized tax benefits in income tax expense.

Sales Tax

The Company's accounting policy is to present taxes collected from customers and remitted to government authorities on a net basis.

Earnings Per Share

The Company calculates earnings per share by dividing net income by the weighted average number of shares of common stock outstanding to arrive at the Earnings Per Share — Basic. The Company calculates Earnings Per Share — Diluted by dividing net income by the weighted average number of shares of common stock and dilutive stock equivalents from the potential exercise of stock options using the treasury stock method.

The following table sets forth the presentation of shares outstanding used in the calculation of basic and diluted earnings per share ("EPS"):

	Year Ended		
	December 27, 2025	December 28, 2024	December 30, 2023
Denominator for basic EPS — weighted average common shares	3,549,753	3,516,122	3,479,936
Dilutive shares associated with option plans	135,704	151,357	160,588
Denominator for diluted EPS — weighted average common shares and dilutive potential common shares	3,685,457	3,667,479	3,640,524
Options excluded from EPS calculation — anti-dilutive	14,789	7,578	2,913

Fair Value Measurements

The Company defines fair value as the price that would be received for an asset or paid to transfer a liability (an exit price) in the principal or most advantageous market for the asset or liability in an orderly transaction between market participants on the measurement date. The Company uses three levels of inputs to measure fair value:

- Level 1 — quoted prices in active markets for identical assets and liabilities.
- Level 2 — observable inputs other than quoted prices in active markets for identical assets and liabilities.
- Level 3 — unobservable inputs in which there is little or no market data available, which require the reporting entity to develop its own assumptions.

Due to their nature, the carrying value of cash equivalents, receivables, payables and debt obligations approximates fair value.

Recently Issued Accounting Pronouncements

Disaggregation – Income Statement Expenses – In November 2024, the Financial Accounting Standards Board ("FASB") issued guidance requiring additional disclosure of the nature of expenses included in the income statement in response to requests from investors for more information about an entity's expenses. The new standard requires disclosures about specific types of expenses included in the expense captions presented on the face of the income statement as disclosures about selling expenses. The guidance is effective for annual reporting periods beginning after December 15, 2026 and interim reporting periods within annual reporting periods beginning after December 15, 2027. The requirements will be applied prospectively with the option for retrospective application. Early adoption is permitted. The Company is currently evaluating the impact this new guidance will have on its financial statements and disclosures.

Recently Adopted Accounting Pronouncements

Improvements to Income Tax Disclosures – In December 2023, the FASB issued guidance that expands income tax disclosures for public entities, including requiring enhanced disclosures related to the rate reconciliation and income taxes paid information. The guidance is effective for annual disclosures for fiscal years beginning after December 15, 2024, with early adoption permitted. The guidance should be applied on a prospective basis, with retrospective application to all prior periods presented in the financial statements permitted. The Company adopted this guidance for the December 27, 2025 reporting period, with required disclosures included in Footnote 11, Income Taxes, applied on a retrospective basis.

Reclassifications

Certain reclassifications of previously reported amounts have been made to conform to the current year presentation. Such reclassifications did not impact net income or shareholders' equity (deficit) as previously reported.

3. Leasing Operations:

In May 2021, the Company made the decision to no longer solicit new leasing customers in its middle-market leasing business and to pursue an orderly run-off of this leasing portfolio. As of December 27, 2025, the run-off of the portfolio was completed and the Company no longer has any leasing customers or leased assets.

Investment in leasing operations consists of the following:

	December 27, 2025	December 28, 2024
Operating leases:		
Operating lease assets	$ —	$ 543,800
Less accumulated depreciation and amortization	—	(543,800)
Net investment in operating leases	$ —	$ —

As of December 28, 2024, no customers had leased assets totaling more than 10% of the Company's total assets.

The Company's key credit quality indicator for its investment in direct financing and sales-type leases is the status of the lease, defined as accruing or non-accrual. Leases that are accruing income are considered to have a lower risk of loss. Non-accrual leases are those that the Company believes have a higher risk of loss. The Company experienced no credit losses in its lease portfolio during the fiscal years ended December 27, 2025, December 28, 2024, and December 30, 2023. At December 27, 2025, no leases remained in the portfolio.

Leasing income as presented on the Consolidated Statements of Operations consists of the following:

	Year Ended December 27, 2025	Year Ended December 28, 2024	Year Ended December 30, 2023
Interest income on direct financing and sales-type leases	$ —	$ 6,700	$ 246,200
Selling profit at commencement of sales-type leases	—	—	94,900
Operating lease income	171,000	1,023,400	2,999,400
Income on sales of equipment under lease	322,600	391,800	834,500
Other	2,138,200	389,900	591,200
Leasing income	$ 2,631,800	$ 1,811,800	$ 4,766,200

4. Receivables:

The Company's current receivables consisted of the following:

	December 27, 2025	December 28, 2024
Trade	$ 101,100	$ 71,100
Royalty	1,279,600	1,219,700
Other	102,800	45,600
	$ 1,483,500	$ 1,336,400

As part of its normal operating procedures, the Company requires Standby Letters of Credit as collateral for a portion of its trade receivables.

5. Intangible Assets:

In June 2022, Winmark terminated an agreement that contained the rights for eleven Play It Again Sports stores to operate separately from Winmark's franchise system. In terminating the agreement, which included $3.54 million of consideration paid by Winmark, Winmark reacquired the franchise rights to these eleven stores. Upon termination of the agreement, individual franchise agreements were signed for these eleven stores, each with an initial term of ten years. Intangible assets consist of these reacquired franchise rights. The Company amortizes the fair value of the reacquired franchise rights over the contract term of the franchise. The Company recognized $354,000 of amortization expense for each of the years ended December 27, 2025 and December 28, 2024, respectively.

Intangible assets consist of the following:

	December 27, 2025	December 28, 2024
Reacquired franchise rights	$ 3,540,000	$ 3,540,000
Accumulated amortization	(1,253,700)	(899,700)
	$ 2,286,300	$ 2,640,300

The following table illustrates future amortization to be expensed for the next five fiscal years and fiscal years thereafter related to reacquired franchise rights as of December 27, 2025.

Amortization expected to be expensed in	Amount
2026	$ 354,000
2027	354,000
2028	354,000
2029	354,000
2030	354,000
Thereafter	516,300
	$ 2,286,300

6. Shareholders' Equity (Deficit):

Dividends

In 2025, the Company declared and paid quarterly cash dividends totaling $3.78 per share ($13.4 million) and a $10.00 per share special cash dividend. The special dividend paid in 2025 totaled $35.7 million and was paid by cash on hand.

In 2024, the Company declared and paid quarterly cash dividends totaling $3.50 per share ($12.3 million) and a $7.50 per share special cash dividend. The special dividend paid in 2024 totaled $26.5 million and was paid by cash on hand.

In 2023, the Company declared and paid quarterly cash dividends totaling $3.10 per share ($10.8 million) and a $9.40 per share special cash dividend. The special dividend paid in 2023 totaled $32.9 million and was paid by cash on hand.

Repurchase of Common Stock

In 2025, the Company purchased 7,944 shares of our common stock for an aggregate purchase price of $2.4 million.

Under the Board of Directors' authorization, as of December 27, 2025 the Company has the ability to repurchase an additional 70,656 shares of its common stock. Repurchases may be made from time to time at prevailing prices, subject to certain restrictions on volume, pricing and timing.

Stock Option Plans and Stock-Based Compensation

The Company had authorized up to 700,000 shares of common stock for granting either non-qualified or incentive stock options to officers and key employees under the Company's 2010 Stock Option Plan (the "2010 Plan"). The 2010 Plan expired on February 24, 2020. The Company had also sponsored a Stock Option Plan for Nonemployee Directors (the "Nonemployee Directors Plan"), which had reserved a total of 350,000 shares for issuance to directors of the Company who are not employees.

At the April 29, 2020 Annual Shareholders Meeting, the Company's shareholders approved a new stock option plan, the 2020 Stock Option Plan (the "2020 Plan"). The 2020 Plan (as described more completely in the Company's definitive Proxy Statement filed with the United States Securities and Exchange Commission on March 10, 2020) provides for the issuance of up to 100,000 shares of common stock plus (i) the number of common stock authorized and unissued under the 2010 Plan (as of April 29, 2020, 125,465 shares), and (ii) the number of shares of common stock authorized and unissued under the Nonemployee Director Plan (as of April 29, 2020, 24,500 shares) in the form of either non-qualified or incentive stock option grants. At the April 24, 2024 Annual Shareholders meeting, the Company's shareholders approved an increase in the number of shares of common stock available for granting either non-qualified or incentive stock options to officers and key employees under the Company's 2020 Stock Option Plan (the "2020 Plan") by 100,000 shares. Participants in the 2020 Plan may include employees, officers, directors, consultants and advisors of the Company.

Grants under the 2020 Plan are (as they were under the 2010 Plan and Nonemployee Directors Plan) made by the Compensation Committee of the Board of Directors at a price of not less than 100% of the fair market value on the date of grant. If an incentive stock option is granted to an individual who owns more than 10% of the voting rights of the Company's common stock, the option exercise price may not be less than 110% of the fair market value on the date of grant. The term of the options may not exceed 10 years, except in the case of non-qualified stock options, whereby the terms are established by the Compensation Committee. Options may be exercisable in whole or in installments, as determined by the Compensation Committee.

Stock option activity under the 2010 Plan, 2020 Plan and Nonemployee Directors Plan (collectively, the "Option Plans") as of December 27, 2025 was as follows:

	Number of Shares	Weighted Average Exercise Price	Weighted Average Remaining Contractual Life (years)	Intrinsic Value
Outstanding, December 31, 2022	361,628	$ 164.70		
Granted	21,320	328.68		
Exercised	(37,304)	107.49		
Forfeited	(3,752)	204.26		
Outstanding, December 30, 2023	341,892	180.73		
Granted	25,300	377.63		
Exercised	(42,767)	117.70		
Forfeited	(4,581)	239.61		
Outstanding, December 28, 2024	319,844	203.89		
Granted	36,384	416.63		
Exercised	(40,061)	123.76		
Forfeited	(1,165)	301.01		
Outstanding, December 27, 2025	315,002	$ 238.30	5.67	$ 55,004,400
Exercisable, December 27, 2025	235,968	$ 197.25	4.70	$ 50,283,900

The fair value of options granted under the Option Plans during 2025, 2024 and 2023 were estimated on the date of the grant using the Black-Scholes option pricing model with the following weighted average assumptions and results:

	Year Ended		
	December 27, 2025	December 28, 2024	December 30, 2023
Risk free interest rate	3.97 %	4.34 %	3.88 %
Expected life (years)	6.5	6.0	6.0
Expected volatility	30.55 %	29.13 %	28.10 %
Dividend yield	2.65 %	2.84 %	2.94 %
Option fair value	$ 115.99	$ 98.64	$ 79.88

The total intrinsic value of options exercised during 2025, 2024 and 2023 was $11.9 million, $11.3 million and $9.2 million, respectively. The total fair value of shares vested during 2025, 2024 and 2023 was $11.7 million, $11.1 million and $11.7 million, respectively.

All unexercised options at December 27, 2025 have an exercise price equal to the fair market value on the date of the grant.

Compensation expense of $2,283,300, $1,988,000 and $1,952,400 relating to the vested portion of the fair value of stock options granted was expensed to "Selling, General and Administrative Expenses" in 2025, 2024 and 2023, respectively. As of December 27, 2025, the Company had $6.2 million of total unrecognized compensation expense related to stock options that is expected to be recognized over the remaining weighted average vesting period of approximately 3.2 years.

7. Debt:

Line of Credit/Term Loan

The Company has a Line of Credit with CIBC Bank USA (the "Line of Credit") that provides for a $20.0 million revolving loan facility and a $30.0 million delayed draw term facility.The termination date for revolving loans under the Line of Credit is April 12, 2027, and the final maturity of all delayed draw loans under the Line of Credit is April 12, 2029 (with all payments of principal due on such date).

As of December 27, 2025, there were no revolving loans outstanding under the Line of Credit, leaving $20.0 million available for additional revolving borrowings. As of December 27, 2025, the Company had delayed draw term loan borrowings totaling $30.0 million under the Line of Credit bearing interest ranging from 4.60% to 4.75%.

The Line of Credit has been and will continue to be used for general corporate purposes. The Line of Credit is secured by a lien against substantially all of the Company's assets, contains customary financial conditions and covenants, and requires maintenance of minimum levels of debt service coverage and maximum levels of leverage (all as defined within the Line of Credit). As of December 27, 2025, the Company was in compliance with all of its financial covenants.

The Line of Credit allows the Company to choose between two interest rate options in connection with its borrowings on revolving loans. The interest rate options are the Base Rate (as defined) and the SOFR Rate (as defined) plus an applicable margin of 0% and 1.75%, respectively. Interest periods for SOFR borrowings can be one month. The Line of Credit also provides for non-utilization fees of 0.25% per annum on the daily average of the unused revolving loan commitment.

Notes Payable

The Company has a Note Agreement (the "Note Agreement") with PGIM, Inc. (formerly Prudential Investment Management, Inc.) (collectively, "Prudential").

As of December 27, 2025, the Company had aggregate principal outstanding of $30.0 million under the Note Agreement; consisting of the principal outstanding from the $30.0 million Series C notes issued in September 2021.

The final maturity of the Series C notes is 7 years from the issuance date. For the Series C notes, interest at a rate of 3.18% per annum on the outstanding principal balance is payable quarterly until the principal is paid in full. The Series Series C notes may be prepaid, at the option of the Company, in whole or in part (in a minimum amount of $1.0 million), but prepayments require payment of a Yield Maintenance Amount, as defined in the Note Agreement.

The Company's obligations under the Note Agreement are secured by a lien against substantially all of the Company's assets (as the notes rank pari passu with the Line of Credit), and the Note Agreement contains customary financial conditions and covenants, and requires maintenance of minimum levels of fixed charge coverage and maximum levels of leverage (all as defined within the Note Agreement). As of December 27, 2025, the Company was in compliance with all of its financial covenants.

In connection with the Note Agreement, the Company incurred debt issuance costs, of which unamortized amounts are presented as a direct deduction from the carrying amount of the related liability.

The Company had a Private Shelf Agreement (the "Shelf Agreement") with Prudential that permitted the Company, for a period of three years from April 2022 and subject to customary conditions, to issue up to $100.0 million of privately negotiated senior notes, reduced by the amount of notes already outstanding under the existing Prudential Note Agreement. The Shelf Agreement expired in April of 2025 and was not extended or replaced. No notes were issued under the agreement.

As of December 27, 2025, required payments of the notes payable and term loans for each of the next five years and thereafter are as follows:

	Notes Payable	Term Loans
2026	$ —	$ —
2027	—	—
2028	30,000,000	—
2029	—	30,000,000
2030	—	—
Thereafter	—	—
Total	$ 30,000,000	$ 30,000,000

8. Accrued Liabilities:

Accrued liabilities at December 27, 2025 and December 28, 2024 are as follows:

	December 27, 2025	December 28, 2024
Accrued compensation and benefits	$ 887,200	$ 592,900
Operating lease liability	697,700	641,900
Accrued interest	164,900	167,700
Accrued purchases of goods and services	465,400	239,900
Other	109,600	223,800
	$ 2,324,800	$ 1,866,200

9. Contract Liabilities:

The Company's contract liabilities for its franchise revenues consist of deferred revenue associated with franchise fees and software license fees. The table below presents the activity of the current and noncurrent deferred franchise revenue during fiscal years 2025 and 2024, respectively:

	December 27, 2025	December 28, 2024
Balance at beginning of period	$ 9,687,300	$ 9,323,600
Franchise and software license fees collected from franchisees, excluding amount earned as revenue during the period	2,102,900	2,046,900
Fees earned that were included in the balance at the beginning of the period	(1,772,800)	(1,683,200)
Balance at end of period	$ 10,017,400	$ 9,687,300

The following table illustrates future estimated revenue to be recognized for the next five fiscal years and fiscal years thereafter related to performance obligations that are unsatisfied (or partially unsatisfied) as of December 27, 2025:

Contract Liabilities expected to be recognized in	Amount
2026	$ 1,667,300
2027	1,492,600
2028	1,323,100
2029	1,174,800
2030	1,061,200
Thereafter	3,298,400
	$ 10,017,400

We have applied the optional exemption, as provided for under ASC Topic 606, *Revenue from Contracts with Customers*, which allows us to not disclose the transaction price allocated to unsatisfied performance obligations when the transaction price is a sales-based royalty.

10. Operating Leases:

As of December 27, 2025, the Company leases its Minnesota corporate headquarters in a facility with an operating lease that expires in December 2029. Our lease includes both lease (fixed payments including rent) and non-lease components (common area or other maintenance costs and taxes) which are accounted for as a single lease component as we have elected the practical expedient to group lease and non-lease components for all leases. The lease provides us the option to extend the lease for two additional five year periods. The lease renewal option is at our sole discretion; therefore, the renewals to extend the lease term are not included in our right of use asset and lease liabilities as they are not reasonably certain of exercise. The weighted average remaining lease term for this lease is 4.0 years and the discount rate is 5.5%. As our lease does not provide an implicit rate, we use our incremental borrowing rate based on the information available at the lease commencement date in determining the present value of the lease payments. The Company recognized $1,038,300, $1,067,400 and $1,171,100 of rent expense for the periods ended December 27, 2025, December 28, 2024 and December 30, 2023, respectively.

Maturities of operating lease liabilities is as follows as of December 27, 2025:

Operating Lease Liabilities expected to be recognized in	Amount
2026	$ 828,200
2027	851,100
2028	874,600
2029	898,700
2030	—
Thereafter	—
Total lease payments	3,452,600
Less imputed interest	(359,700)
Present value of lease liabilities	$ 3,092,900

Of the $3.1 million operating lease liability outstanding at December 27, 2025, $0.7 million is included in Accrued liabilities in the Current liabilities section of the Consolidated Balance Sheets.

For leases that contain predetermined fixed escalations of the minimum rent, we recognize the related rent expense on a straight-line basis from the date we take possession of the property to the end of the initial lease term. We record any difference between the straight-line rent amounts and amounts payable under the leases as an adjustment to the amortization of the operating lease right of use asset and operating lease liabilities.

Cash or lease incentives received upon entering into certain leases ("tenant allowances") are recognized on a straight-line basis as a reduction to rent from the date we take possession of the property through the end of the initial lease term. In 2019, we recorded a $2.1 million tenant allowance for non-cash landlord leasehold improvements received as a reduction to the operating lease right of use asset. The reduction in rent also causes a reduction in the amortization of the operating lease right of use asset through the end of the initial lease term.

The Company's policy for leases with a term of twelve months or less is to exclude these short-term leases from our right of use asset and lease liabilities.

Supplemental cash flow information related to our operating leases is as follows for the periods ended December 27, 2025 and December 28, 2024:

	Year Ended	
	December 27, 2025	December 28, 2024
Cash paid for amounts included in the measurement of lease liabilities:		
Operating cash flow outflow from operating leases	$ 806,000	$ 784,400

11. Income Taxes:

Income from continuing operations before income taxes included the following components:

	Year Ended		
	December 27, 2025	December 28, 2024	December 30, 2023
Domestic	$ 45,313,700	$ 43,982,300	$ 44,672,200
Foreign	7,821,900	7,241,700	6,689,100
Income from continuing operations before taxes	$ 53,135,600	$ 51,224,000	$ 51,361,300

Income tax expense in the accompanying consolidated financial statements differed from the expected expense as follows:

	Year Ended					
	December 27, 2025 (1)		December 28, 2024 (2)		December 30, 2023 (3)	
	Amount	Percent	Amount	Percent	Amount	Percent
U.S. Federal income tax expense at statutory rate	$ 11,158,500	21.0 %	$ 10,757,000	21.0 %	$ 10,785,900	21.0 %
Increase (decrease) attributed to:						
State and local income taxes	1,326,300	2.4	1,294,200	2.5	1,293,500	2.7
Foreign tax effects						
Canada:						
Withholding tax	759,500	1.4	706,100	1.4	665,200	1.3
Effect of cross-border tax laws	(369,400)	(0.7)	(360,900)	(0.7)	(369,000)	(0.7)
Tax credits						
Foreign tax credits	(759,500)	(1.4)	(706,100)	(1.4)	(665,200)	(1.3)
Changes in valuation allowances	374,500	0.7	180,000	0.4	(485,700)	(0.9)
Nontaxable or nondeductible items						
Stock compensation	(1,384,500)	(2.6)	(1,109,200)	(2.2)	(958,800)	(1.9)
Other	252,500	0.5	242,900	0.5	245,600	0.5
Changes in unrecognized tax benefits	186,500	0.4	258,500	0.5	240,100	0.5
Other reconciling items	(62,900)	(0.1)	7,300	—	431,600	0.8
Total income tax expense, Effective income tax rate	$ 11,481,500	21.6 %	$ 11,269,800	22.0 %	$ 11,183,200	22.0 %

(1) In 2025, state taxes in Minnesota, Pennsylvania, California, Illinois, Wisconsin, and Michigan made up the majority (greater than 50%) of the tax effect in the state and local income taxes category.
(2) In 2024, state taxes in Minnesota, Pennsylvania, California, Illinois, Wisconsin, Michigan, and Florida made up the majority (greater than 50%) of the tax effect in the state and local income taxes category.
(3) In 2023, state taxes in Minnesota, Pennsylvania, California, Illinois, Wisconsin, and Michigan made up the majority (greater than 50%) of the tax effect in the state and local income taxes category.

Income taxes paid were as follows:

	Year Ended		
	December 27, 2025	December 28, 2024	December 30, 2023
Federal	$ 9,322,900	$ 8,900,000	$ 8,670,000
State(1)	1,732,300	1,562,700	1,539,100
Foreign			
Canada	759,500	706,000	665,200
Total income taxes paid	$ 11,814,700	$ 11,168,700	$ 10,874,300

(1) Income taxes paid (net of refunds) did not exceed five percent of total income taxes paid (net of refunds) in any one jurisdiction in 2025, 2024, or 2023.

Components of the provision for income taxes are as follows:

	Year Ended		
	December 27, 2025	December 28, 2024	December 30, 2023
Current:			
Federal	$ 9,382,500	$ 8,840,600	$ 9,237,600
State	1,734,300	2,025,500	1,883,900
Foreign	560,300	563,000	573,800
Current provision	11,677,100	11,429,100	11,695,300
Deferred:			
Federal	(122,800)	(108,900)	(504,700)
State	(72,800)	(50,400)	(7,400)
Deferred provision	(195,600)	(159,300)	(512,100)
Total provision for income taxes	$ 11,481,500	$ 11,269,800	$ 11,183,200

The tax effects of temporary differences that give rise to the net deferred income tax assets and liabilities are presented below:

	December 27, 2025	December 28, 2024
Deferred tax assets:		
Accounts receivable and lease reserves	$ 100	$ 100
Non-qualified stock option expense	2,222,100	1,942,000
Deferred revenue	1,800,000	1,728,100
Trademarks	41,400	40,200
Lease revenue and initial direct costs	—	21,300
Foreign tax credits	761,600	597,300
Operating lease liabilities	735,500	884,500
Other	468,900	348,300
Valuation allowance	(923,600)	(530,000)
Total deferred tax assets	5,106,000	5,031,800
Deferred tax liabilities:		
Depreciation and amortization	(699,500)	(820,000)
Total deferred tax liabilities	(699,500)	(820,000)
Total net deferred tax assets	$ 4,406,500	$ 4,211,800

The Company has assessed its taxable earnings history and prospective future taxable income. Based upon this assessment, the Company has determined that it is more likely than not that its deferred tax assets will be realized in future periods and no valuation allowance is necessary, except for the deferred tax assets related to the foreign tax credits and non-qualified stock option expense. The foreign tax credits will expire after 10 years. As a result, valuation allowances of $923,600 and $530,000 as of December 27, 2025 and December 28, 2024, respectively, have been recorded.

The amount of unrecognized tax benefits, including interest and penalties, as of December 27, 2025 and December 28, 2024, was $1,893,200 and $1,663,400, respectively, primarily for potential state taxes. All of these unrecognized tax benefits, if recognized, would impact the effective tax rate.

The Company recognizes interest accrued related to unrecognized tax benefits and penalties as income tax expense for all periods presented. The Company had accrued approximately $448,700 and $369,100 for the payment of interest and penalties at December 27, 2025 and December 28, 2024, respectively.

The following table summarizes the activity related to the Company's unrecognized tax benefits:

	Total
Balance at December 30, 2023	$ 1,083,100
Increases related to current year tax positions	283,100
Expiration of the statute of limitations for the assessment of taxes	(71,900)
Balance at December 28, 2024	1,294,300
Increases related to current year tax positions	282,300
Expiration of the statute of limitations for the assessment of taxes	(132,300)
Balance at December 27, 2025	$ 1,444,300

The Company and its subsidiaries file income tax returns in the U.S. federal, numerous state and certain foreign jurisdictions. With few exceptions, we are no longer subject to U.S. federal, state and local, or non-U.S. income tax examinations by tax authorities for years before 2021. The Internal Revenue Service concluded its examination of our U.S. federal tax return for the 2022 tax year in 2025. We expect various statutes of limitation to expire during the next 12 months. Due to the uncertain response of taxing authorities, a range of outcomes cannot be reasonably estimated at this time.

12. Commitments and Contingencies:

Employee Benefit Plan

The Company provides a 401(k) Savings Incentive Plan which covers substantially all employees. The plan provides for matching contributions and optional profit-sharing contributions at the discretion of the Board of Directors. Employee contributions are fully vested; matching and profit sharing contributions are subject to a five-year service vesting schedule. Company contributions to the plan for 2025, 2024 and 2023 were $369,800, $364,900 and $371,200, respectively.

Litigation

From time to time, the Company is exposed to asserted and unasserted legal claims encountered in the normal course of business. Management believes that the ultimate resolution of these matters will not have a material adverse effect on the consolidated financial position or results of operations of the Company.

13. Segment Reporting:

The Company currently has one reportable business segment, franchising, and one non-reportable operating segment. The franchising segment franchises value-oriented retail store concepts that buy, sell and trade merchandise. The non-reportable operating segment includes the Company's equipment leasing business. Segment reporting is intended to give financial statement users a better view of how the Company manages and evaluates its businesses. The Company's CODM is its Chief Executive Officer. Our CODM primarily reviews revenue and income from operations for purposes of allocating resources and evaluating financial performance. Expenses are reviewed on a consolidated basis. The Company's internal management reporting is the basis for the information disclosed for its operating segments. The following tables summarize financial information by segment and provide a reconciliation of segment contribution to income from operations:

	Year ended		
	December 27, 2025	December 28, 2024	December 30, 2023
Revenue:			
Franchising	$ 83,423,900	$ 79,477,300	$ 78,477,300
Other	2,631,800	1,811,800	4,766,200
Total revenue	$ 86,055,700	$ 81,289,100	$ 83,243,500
Franchising segment operating expenses:			
Merchandise COGS	$ 3,104,400	$ 3,379,200	$ 4,461,500
Selling, general and administrative expenses	28,262,100	24,504,800	24,639,900
Total franchising segment expenses	$ 31,366,500	$ 27,884,000	$ 29,101,400
Reconciliation to operating income:			
Franchising segment income from operations	$ 52,057,400	$ 51,593,300	$ 49,375,900
Other operating segment income from operations	2,536,500	1,337,300	3,904,700
Total income from operations	$ 54,593,900	$ 52,930,600	$ 53,280,600
Depreciation and amortization:			
Franchising	$ 746,700	$ 715,500	$ 646,900
Other	—	83,800	125,800
Total depreciation and amortization	$ 746,700	$ 799,300	$ 772,700

	As of	
	December 27, 2025	December 28, 2024
Identifiable assets:		
Franchising	$ 7,457,700	$ 7,289,500
Other	—	19,400
Unallocated	17,426,400	19,535,600
Total	$ 24,884,100	$ 26,844,500

Revenues are all generated from United States operations other than franchising revenues from Canadian operations of $7.8 million, $7.3 million and $6.8 million in each of fiscal 2025, 2024 and 2023, respectively. All long-lived assets are located within the United States.

EXHIBIT D

Once Upon A Child® Franchise Agreement (and exhibits)

ONCE UPON A CHILD®

FRANCHISE AGREEMENT

BETWEEN

WINMARK CORPORATION
605 Highway 169 N, Suite 400
Minneapolis, Minnesota 55441
(763) 520-8500

AND

[Name(s) of Franchisee]

FRANCHISED LOCATION:

STORE NUMBER [ ]

[Street]

[City State Zip Code]

[Telephone]

ONCE UPON A CHILD®

FRANCHISE AGREEMENT

INDEX

SECTION	DESCRIPTION	PAGE
1.	GRANT OF FRANCHISE; FRANCHISED LOCATION	1
2.	TERM OF FRANCHISE; RENEWAL RIGHTS	2
3.	OWNERSHIP AND USE OF MARKS	3
4.	INITIAL FRANCHISE FEE	4
5.	CONTINUING FEE	4
6.	ADVERTISING AND PROMOTION	5
7.	FRANCHISOR'S OBLIGATIONS	7
8.	OPERATION OF THE FRANCHISEE'S BUSINESS	8
9.	CONFIDENTIAL INFORMATION	13
10.	INSURANCE; BONDING	15
11.	INDEPENDENT CONTRACTORS; INDEMNIFICATION	16
12.	SALES REPORTS, FINANCIAL STATEMENTS AND AUDIT RIGHTS	16
13.	FRANCHISOR'S RIGHT OF FIRST REFUSAL TO PURCHASE	17
14.	ASSIGNMENT OF FRANCHISE AGREEMENT	18
15.	FRANCHISOR'S TERMINATION RIGHTS	20
16.	FRANCHISEE'S TERMINATION RIGHTS; NOTICE REQUIRED	21
17.	FRANCHISEE'S OBLIGATIONS UPON TERMINATION	22
18.	FRANCHISEE'S COVENANTS NOT TO COMPETE	22
19.	ARBITRATION; ENFORCEMENT	24
20.	SEVERABILITY AND CONSTRUCTION	25
21.	NOTICES	26
22.	ACKNOWLEDGMENTS	26

EXHIBITS
A - FRANCHISEE'S DEVELOPMENT AREA AND EXCLUSIVE TERRITORY
B - SOFTWARE LICENSE AGREEMENT
C - PERSONAL GUARANTY
D - ADDITIONAL STORE ADDENDUM

48 WI031626
49 WI101326

ONCE UPON A CHILD®

FRANCHISE AGREEMENT

THIS FRANCHISE AGREEMENT is made and entered into this _____ day of _____, 20___, by and between WINMARK CORPORATION, a Minnesota corporation ("Franchisor"), and _____ ("Franchisee").

BACKGROUND:

A. Franchisor franchises children's resale stores known as "Once Upon A Child" stores ("Once Upon A Child® Stores") which feature quality new and used children's apparel, toys, equipment, furniture and accessories. Franchisor uses and licenses certain trademarks, including "Once Upon A Child," and may hereafter adopt, use and license additional or substitute trademarks, service marks, logos and commercial symbols in connection with the operation of Once Upon A Child® Stores (collectively, the "Marks"). Once Upon A Child® Stores use Franchisor's methods, procedures, standards, specifications and the Marks (all of which are collectively referred to as the "Business System"), which Franchisor may periodically improve, further develop or otherwise modify.

B. Franchisee has had an adequate opportunity to be thoroughly advised of the provisions of this Agreement and Franchisor's Disclosure Document and has had sufficient time and opportunity to evaluate and investigate the Business System and the procedures and financial requirements associated with the Business System as well as the competitive market in which it operates.

C. Franchisee desires to operate a Once Upon A Child® Store which will conform to the uniform requirements and quality standards of the Business System.

AGREEMENTS:

The Franchisor and Franchisee agree as follows:

1. GRANT OF FRANCHISE; FRANCHISED LOCATION

A. Grant of Franchise. Subject to the provisions stated below, Franchisor grants to Franchisee a personal and non-exclusive license and franchise to operate a Once Upon A Child® Store using the Marks as designated by Franchisor from time to time (the "Store") in conformity with Franchisor's Business System at a location within the development area specified in Exhibit A attached hereto. The specified area identified in Exhibit A is referred to as the "Development Area." Franchisee will operate the Store under Franchisor's Business System in strict compliance with the provisions of this Agreement and only at a location within the Development Area approved by the Franchisor (the "Franchised Location"). Franchisee will purchase only such types, models or brands of fixtures, furniture, equipment, signs, inventory and supplies that Franchisor approves for Once Upon A Child® Stores as meeting its specifications and standards, including standards and specifications for quality, design, warranties, appearance, function and performance.

B. Franchisee's Protected Area; Rights Reserved By Franchisor. During the term of this Agreement, Franchisor will not establish for its own account or franchise others the right to operate a Once Upon A Child® Store from a permanent location within the area specified in Exhibit A. The

exclusive area identified in Exhibit A, which includes the Development Area, is referred to as the "Exclusive Territory." Franchisee understands, however, that Franchisor, its affiliates or their licensees may sell any products or services under trademarks or other commercial symbols other than the Marks inside or outside of the Exclusive Territory. Notwithstanding anything provided for in this Agreement, Franchisor, its affiliates or their licensees also may sell products or services under the Marks inside or outside of the Exclusive Territory: through other channels of distribution, including the Internet (or any similar form of electronic commerce developed in the future) as long as such activities are not for the sole benefit of Franchisor but provide some benefit to Once Upon A Child® franchisees in general. The rights and privileges granted to Franchisee under this Agreement are personal in nature, and may not be used at any location other than the Franchised Location. Franchisee will not relocate the Once Upon A Child® Store without Franchisor's prior written consent and will not open any other Once Upon A Child® Store in the Exclusive Territory. Franchisee will not have the right to subfranchise or sublicense any of its rights under this Agreement. Franchisee will not use the Franchised Location for any purposes other than the operation of a Once Upon A Child® Store. Termination or expiration of this Agreement shall constitute a termination or expiration of the rights and license granted herein to Franchisee.

2. TERM OF FRANCHISE; RENEWAL RIGHTS

A. Term. The term of this Agreement will be for ten (10) years, commencing on the date of this Agreement, unless terminated sooner in accordance with the terms hereof.

B. Renewal. The Franchisee will have the right to renew its Once Upon A Child® franchise for the Franchised Location for continuing ten (10) year terms provided Franchisee meets the following conditions:

1. Franchisee has given Franchisor written notice at least one hundred eighty (180) days before the end of the term of this Agreement of its intention to renew;

2. Franchisee has complied with all of the material provisions of this Agreement, including the payment of all monetary obligations owed by Franchisee to Franchisor and its affiliates and suppliers, has complied with Franchisor's material operating and quality standards and procedures during the term of the Franchise Agreement and meets all current brand standards;

3. Franchisee has at its expense made such reasonable capital expenditures necessary to remodel, modernize and redecorate the business premises and to replace and modernize the supplies, fixtures, and equipment used in Franchisee's business so that Franchisee's business reflects the then-current physical appearance of new Once Upon A Child® Stores and meets all current brand standards;

4. Franchisee has paid a Renewal Fee of Ten Thousand Dollars ($10,000) to Franchisor at least thirty (30) days before the expiration of the initial (and any renewal) term of this Agreement;

5. Franchisee, at Franchisor's option, executes the standard Franchise Agreement then being used by Franchisor, provided, however, that Franchisee will be required to pay the Renewal Fee in lieu of the Initial Franchise Fee stated in such Franchise Agreement, and that such Franchise Agreement may not contain any further rights of renewal, but may contain royalty rates and advertising contributions (which may be different than those contained in this Agreement), and an altered Exclusive Territory: and

6. Franchisee is able to secure a renewal or extension of the lease for the Franchised Location or is able to secure a new location within the Development Area which has been accepted by Franchisor, such acceptance not to be unreasonably withheld.

3. OWNERSHIP AND USE OF MARKS

A. Ownership. Franchisor is the exclusive owner of all right, title and interest in and to the Marks and Business System, and all past, present or future goodwill of Franchisee's Once Upon A Child® Store and of the business conducted at the Franchised Location that is associated with or attributable to the Marks. Franchisee's use of the Marks and the Business System will inure to the benefit of Franchisor. Franchisee disclaims all right, title and interest in or to such goodwill and the Marks and the Business System, and acknowledges and agrees that such goodwill and the Marks and the Business System are the exclusive property of Franchisor. Any and all improvements, ideas and additions by Franchisee relating to the Marks or Business System, any new trademarks, service marks, logos or commercial symbols relating to the Franchised Location, and any suggestions, comments or other feedback relating to the Business Systems (collectively, "Improvements") will become the sole property of Franchisor, without liability or compensation to Franchisee, and Franchisor shall have the exclusive right to register and protect all Improvements in its name. Franchisee will execute any document required by Franchisor to transfer any Improvements to Franchisor.

B. Use. Franchisee's right to use and identify with the Marks and Business System applies only to the operation of the Store at the Franchised Location and exists concurrently with the term of this Agreement and only so long as Franchisee is in complete compliance with Franchisor's quality and operating standards. Franchisee will have the right to use the Marks and Business System only in the manner Franchisor directs and approves in writing. Franchisee will not have or acquire any rights in any of the Marks or Business System other than the right of use as governed by this Agreement. If, in the judgment of Franchisor, Franchisee's acts infringe upon or harm the goodwill, standards of uniformity or quality, or business standing associated with the Marks and Business System, Franchisee will immediately, upon written notice from Franchisor, modify or discontinue its use of the Marks and Business System in the manner Franchisor directs in writing. Franchisee will not, during or after the term of this Agreement, do anything directly or indirectly which would infringe upon, harm, mislead or contest Franchisor's rights in the Marks or Business System, or the goodwill associated with the Marks or the Business System. Franchisee cannot advertise any liquidation or going-out-of-business sales or any similar types of activity.

C. Promotion. Franchisee will operate the Store so that it is clearly identified and advertised as a Once Upon A Child® Store. The style, form and use of the words "Once Upon A Child" in any advertising, written materials or supplies must, however, have Franchisor's prior written approval, which approval shall not be unreasonably withheld. Franchisee will use the name "Once Upon A Child" and the other Marks which now or hereafter may form a part of Franchisor's Business System, on all paper supplies, business cards, letterhead, envelopes, uniforms, advertising materials, signs or other articles in the identical combination and manner as Franchisor may require in writing. Franchisee will comply with all trademark, trade name, service mark and copyright notice marking requirements.

D. Identity. Franchisee will not use the words "Once Upon A Child" in its corporate or partnership name. Franchisee will clearly indicate on its business checks, purchase orders, business cards, receipts, promotional materials and other written materials that Franchisee is the owner of the Store and that Franchisee is a Once Upon A Child® franchisee. Franchisee will display a sign which is clearly visible to the general public indicating that the Store is independently owned and operated.

E. Substitutions. If at any time Franchisor determines it advisable or necessary, Franchisee will, upon receiving written notice from Franchisor, immediately, at its expense, make such changes and

amendments or discontinuations of or to any or all of the Marks as Franchisor may require. Franchisee will not make any changes, amendments or discontinuations of or to the use of any of the Marks and Business System unless directed by Franchisor in writing.

F. Litigation. Franchisee will not, without Franchisor's prior written consent, defend or enforce any of the Marks in any court or other proceedings for or against imitation, infringement, any claim of prior use, or for any other allegation. Franchisee will, however, immediately notify Franchisor of any claims or complaints made against Franchisee respecting the Marks and will, at its expense, cooperate in all respects with Franchisor in any court or other proceedings involving the Marks. Franchisor will pay the cost and expense of all litigation Franchisor incurs, including attorneys' fees, specifically relating to the Marks. Franchisor and its legal counsel will have the right to control and conduct any litigation relating to the Marks.

G. Crisis Communication. Franchisor will have the sole and absolute discretion to determine what steps will be taken in instances of a crisis that impacts the Once Upon A Child® brand and may cause harm or injury to the Once Upon A Child® Marks, Business System, reputation or image.

H. Affixing Notice. Franchisee hereby covenants and agrees that it will affix in a conspicuous location in or upon the Franchised Location, a sign containing a form of notice substantially in the following form, or such other form as Franchisor may require:

> "We are pleased to inform you that this is an independent locally owned and operated franchise business."

4. INITIAL FRANCHISE FEE

Franchisee will pay Franchisor a non-refundable Initial Franchise Fee of Twenty-Five Thousand Dollars ($25,000), which will be fully earned and payable on the date of this Agreement. The Initial Fee payable by Franchisee is payment to Franchisor for the costs that it will incur to get Franchisee into business, including costs Franchisor incurs for training, site evaluation, business overhead costs, travel costs, and for the other initial services Franchisor provides hereunder.

5. CONTINUING FEE

A. Continuing Fee. Franchisee will, for the term of this Agreement, pay to Franchisor a Continuing Fee equal to five percent (5%) of Franchisee's Gross Sales (as defined below). Franchisee's obligation to pay Franchisor the Continuing Fee under the terms of this Agreement will remain in full force and effect until this Agreement has expired or is terminated or transferred under the provisions herein.

B. Payment. Franchisee will sign electronic transfer of funds authorizations, and/or other documents or instruments as Franchisor designates or Franchisor's bank requires for Franchisor to draw on Franchisee's account, so that Franchisor may electronically collect (draft on Franchisee's account by electronic withdrawal) the Continuing Fees due from Franchisee under Section 5(A) of this Agreement or other fees due from Franchisee to Franchisor. Franchisee will report to Franchisor (in a form and by a method designated by Franchisor) on or before Wednesday of each week its Gross Sales for the previous week. A week is defined as Sunday through Saturday. For the purpose of clarification, the form and method of reporting the Gross Sales (and other) information may include Franchisor's weekly electronic retrieval of this information directly from Franchisee's POS System. If Franchisee does not report its Gross Sales on a timely basis using the form and method designated by Franchisor, Franchisor may estimate Franchisee's Gross Sales and prepare an estimate of Continuing Fees owed for that week. On Thursday of each week, Franchisor will electronically collect from Franchisee all Continuing Fees due for the previous

week as described above. Franchisee shall thereafter maintain a balance in its account sufficient to allow Franchisor to collect the amounts owed to Franchisor when due. Franchisee agrees that Franchisor has the right to require Franchisee to pay by electronic transfer of funds regardless of whether Franchisor imposes the same requirement on other franchisees. Any unpaid Continuing Fee or other amounts past due and owing to Franchisor will bear interest at the rate of eighteen percent (18%) per annum or the maximum rate permitted by law, whichever is less. Franchisee will pay Franchisor for any and all costs Franchisor incurs in collecting any unpaid and past due Continuing Fees, including reasonable attorneys' fees.

C. Gross Sales. The term "Gross Sales" means the total amount of all revenues Franchisee receives from the sale of goods and services, whether for cash or by check, credit card, or trade, in connection with the Store, less customer refunds and returns. Gross Sales will include any sales permitted through the Internet and wholesale transactions involving any party other than a Once Upon a Child® franchisee who is in good standing with Franchisor. Gross Sales will not include sales taxes collected from customers and actually paid to appropriate tax authorities.

6. ADVERTISING AND MARKETING

A. Cooperative Advertising. Franchisee will participate in, support and contribute a proportionate share, but no more than an amount equal to six percent (6%) of the Gross Sales for the Store (reduced by the percentage of Gross Sales the Store paid as an Advertising Fee to Franchisor under Section 6(D) below), of the cost of cooperative advertising programs either designated by Franchisor or approved by a majority of the advertising cooperative membership (provided a majority includes at least two (2) unaffiliated franchisees); provided however, Franchisees required contribution will not be less than 0.5% of Gross Sales, regardless of any vote or bylaw of the cooperative. Franchisor reserves the right to designate advertising cooperative markets, to establish advertising cooperatives and to establish the bylaws, policies and other rules under which such cooperatives will operate. If an advertising cooperative is formed and Franchisee does not participate, Franchisee is still obligated to pay the advertising cooperative fees required of members and to abide with the cooperative's bylaws, policies and other rules.

B. Local Marketing Expenditures. To the extent Franchisee's annual contributions to cooperative advertising programs described in Section 6(A) above and Advertising Fees described in Section 6(D) below are less than the minimum contribution of six percent (6%) of the Gross Sales for the Store, or if Franchisee cannot participate in any regional cooperative advertising program because such a program has not been established in Franchisee's geographic area, Franchisee will then be obligated to conduct advertising and marketing activities in Franchisee's local geographic area; provided that Franchisee's local marketing activities will not reduce, eliminate or otherwise impact Franchisee's obligations under Section 6(A) above and Section 6(D) below. Franchisee's local marketing expenditures will include the placement costs for advertising, merchandising, sales promotion and other forms of marketing at the local level, but will not include internal salaries or wages or any other costs not approved by Franchisor. On or before January 31 of each year, Franchisee will provide Franchisor with an accounting of the monies that it has spent for approved regional cooperative advertising and local marketing for the preceding calendar year (January through December). If Franchisee has failed to spend at least six percent (6%) of its Gross Sales for a calendar year on Advertising Fees (as described in Section 6(D) below), approved regional cooperative advertising (as described in Section 6(A) above) and local marketing (as described in this Section 6(B) above), as applicable, Franchisee may be required to deposit with Franchisor the difference between what it should have spent for advertising and marketing during the calendar year and what it actually spent for advertising and marketing during the calendar year. Franchisor will deposit any advertising fees that should have been paid by Franchisee for the year into the Ad Fund and spend it for any type of advertising or marketing that Franchisor deems appropriate for Franchisee's business, although Franchisor will use reasonable efforts to spend such remaining amount in Franchisee's local geographic area.

C. Marketing Fee. In addition to Franchisee's local advertising obligations described in Section 6(B) above, Franchisee will pay to Franchisor an annual Marketing Fee of One Thousand Five Hundred Dollars ($1,500) which will be payable on the first day of January of each year. Franchisee's initial payment will be prorated based on the effective date of the Franchise Agreement and invoiced immediately. Franchisor may, with a minimum of sixty (60) days' prior written notice, increase the yearly Marketing Fee. Said fee will not increase more than $1,000 during the term of this Agreement. Franchisor will use the Marketing Fee to conduct advertising research and public relations campaigns, develop websites and other online media programs, develop marketing materials such as television, radio, Internet, social and print advertising production and promotional materials for use in each franchisee's local market, and implement advertising and marketing campaigns.

D. North American Ad Fund. Franchisee acknowledges and agrees that as the Once Upon A Child® franchise system continues to expand and mature, it will be necessary to revise Franchisee's advertising obligations. Franchisee further acknowledges that Franchisor has implemented a North American Ad Fund ("Ad Fund") for all Once Upon A Child® franchisees in the United States and Canada. As a result, effective January 31, 2027, Franchisee will pay Franchisor an "Advertising Fee" equal to two percent (2%) of Franchisee's Gross Sales. Franchisee must spend a minimum of six percent (6%) of Gross Sales on advertising and marketing as follows: (i) the Advertising Fee in the percentage of Gross Sales designated by Franchisor under this Section 6(D); and (ii) the remaining four percent (4%) of Gross Sales on approved regional cooperative advertising and local marketing (as described in Sections 6(A) and 6(B) above). Franchisee may spend more than six percent (6%) of Gross Sales on advertising and marketing. The Advertising Fee will be calculated weekly based on the sales reports submitted for the Store, as described in Section 5(B) above. Franchisor may, with a minimum of sixty (60) days' prior written notice, adjust the frequency and/or amount of the Advertising Fee (up to three percent (3%) of Franchisee's Gross Sales), and/or modify the frequency and/or minimum amounts Franchisee must spend on approved regional cooperative advertising and local marketing under Sections 6(A) and 6(B) above. All Advertising Fees will be placed in the Ad Fund administered and managed by Franchisor. Franchisee acknowledges and agrees that the Ad Fund is not a trust or escrow account, Franchisor has no fiduciary obligation to Franchisee or any other Once Upon A Child franchisee with respect to the Ad Fund, and Franchisor is not required to segregate the Advertising Fees and other funds it receives into a separate restricted account. Reasonable disbursements from the Ad Fund may be made solely for the payment of expenses incurred in connection with the general promotion of the Marks and the Business System, including the cost of formulating, developing and implementing advertising and promotional campaigns; and the reasonable costs of administering the Ad Fund, including accounting and other professional expenses and the actual costs of salaries and fringe benefits paid to Franchisor's employees or contractors engaged in administration of the Ad Fund. Although Franchisor will strive to manage the Ad Fund in such a manner that benefits franchisees uniformly, taking into account regional and/or local advertising costs and forms of media available, Franchisor cannot insure that any individual franchisee will benefit directly or on a pro-rata basis from the future placement of any such advertising in its local market. Without limiting the generality of the foregoing, Franchisor is under no obligation to administer or distribute the Ad Fund according to any particular geographic area or territory, whether in Canada, the United States, or otherwise, and furthermore is under no obligation to do so within the Exclusive Territory. Franchisor shall determine the methods of advertising, media employed and contents, terms and conditions of advertising campaigns and promotional programs. Franchisor will provide Franchisee an annual unaudited statement of the receipts and disbursements of the Ad Fund. Franchisor may spend, on behalf of the Ad Fund, in any fiscal year, an amount that is greater or less than the aggregate contribution of all Once Upon A Child® stores to the Ad Fund in that year. Any Ad Fund contributions Franchisor collects but does not spend in any fiscal year will be carried forward to the next fiscal year. If Franchisor incurs Ad Fund expenses in excess of Ad Fund contributions it collects during any fiscal year, Franchisor will carry those expenses forward and pay them using Ad Fund contributions it collects during the next fiscal year. Franchisor or its affiliates may make loans to the Ad Fund bearing interest to cover any deficits of the Ad Fund and cause the Ad Fund to invest

any surplus for future use by the Ad Fund. If Franchisor or its affiliates make a loan to the Ad Fund, Franchisor may use any subsequent contributions to the Ad Fund to pay back the loan and any interest. Franchisor may, with a minimum of sixty (60) days' prior written notice, modify or discontinue the Ad Fund, however, Franchisor will not discontinue the Ad Fund for any reason until all the monies in the Ad Fund have been expended.

E. Approved Advertising and Marketing Materials. Franchisee will use only approved advertising and marketing materials. If Franchisee desires to use any unapproved advertising or promotional materials bearing the name "Once Upon A Child" or other Marks, Franchisee must obtain written approval from Franchisor before using any such materials.

F. Promotion. Franchisee will use its best efforts to promote and advertise its Once Upon A Child® business and will participate in all advertising and promotional programs Franchisor establishes. Franchisee will participate, at its own expense, in the Once Upon A Child® national (electronic) gift card program and approved e-mail marketing, SMS and loyalty programs. Franchisee will have the right to advertise and sell its products at whatever prices Franchisee determines.

G. Media Placement. Franchisee will use the approved vendors designated by Franchisor for broadcast media placement, online and social advertising for its pre-opening and first year marketing activities.

7. FRANCHISOR'S OBLIGATIONS

A. Location. Franchisor will provide Franchisee with assistance respecting site location and evaluation for the Store to ensure consistency with the Business System standards. Franchisee acknowledges that any assistance (including site selection and project oversight) provided by Franchisor or its nominee in relation to the selection or development of the Store is only for the purpose of determining compliance with the Business System standards and does not constitute a representation, warranty, or guarantee, express, implied or collateral, regarding the choice and location of the Store, that the development of the Store is free of error, nor that the franchised business is likely to achieve any level of volume, profit or success.

B. Lay-Out and Design. Franchisee shall construct and equip the Store in accordance with the timetable or schedule specified by, and in conformity with the standard layout plans, specifications and motif provided by Franchisor. Following receipt of such materials from Franchisor, the responsibility and cost of customizing specific plans, specifications and drawings to the Store (upon prior approval of Franchisor) and all costs and expenses pertaining to the construction and equipping of the Store shall be borne exclusively by Franchisee. Franchisor shall have the right to inspect the construction and development of the Store at all reasonable times to ensure conformity with applicable standards.

C. Equipment, Supplies and Inventory. Franchisee agrees to use in the operation of the franchised business only those service providers (including accounting service providers), manufacturers, brands or types of fixtures, equipment (including computer, cash register system), and signs that Franchisor will designate and approve. Franchisee may purchase approved brands or types of fixtures, equipment and signs only from suppliers approved by Franchisor, which may include Franchisor or its affiliates. Franchisee further agrees to place or display at the Store (interior and exterior) only such signs, emblems, lettering, logos and display materials that are from time to time approved in writing by Franchisor, which approval may be given or withheld by Franchisor.

D. Training. Franchisor will, at its expense, provide a two-part training program in Minneapolis, Minnesota, online, or at such other location Franchisor designates to educate, familiarize and

acquaint Franchisee with the business of operating a Once Upon A Child® Store. The first session of the training program will include instruction on general business issues related to the ownership of a privately-owned retail business, such as, by way of example only, real estate matters, business plan development, inventory management, point-of-sale systems, used product purchasing, Franchisor's preferred vendor program, and other topics Franchisor may select. The period of this session will be at Franchisor's discretion but generally will be for not less than four (4) days and will be scheduled by Franchisor. The second session of the training program may include instruction on sales and marketing, inventory purchasing, computer operation, store management and other topics Franchisor may select. The period of this session will be at Franchisor's discretion but generally will be for at least five (5) days and will be scheduled by Franchisor. Franchisee (or such other trainees required by Franchisor) must successfully complete both sessions of the training program. If Franchisee (or such other trainees required by Franchisor) fails to successfully complete both sessions, he/she will not be permitted or authorized to manage Franchisee's business and Franchisor may terminate this Agreement pursuant to Section 15. Franchisee will be responsible for travel costs, room and board, the salaries, fringe benefits and other expenses Franchisee and its employees and designated trainees incur in attending both sessions of the training program.

E. Opening Assistance. Franchisor will assist in scheduling the opening of the Store. Franchisee will not open or commence business operations until Franchisee has received written approval from Franchisor. Franchisor's approval may be withheld if Franchisee fails to meet minimum inventory requirements, training and/or marketing requirements or brand standards established by Franchisor. Franchisor will, at no charge, provide pre-opening assistance prior to Franchisee's Store opening. Franchisor will also provide assistance with the store opening around the time of grand opening.

F. Operations Manual. Franchisor will provide Franchisee with an electronic copy of the Operations Manual and one or more other confidential manuals (collectively, the "Manuals") wherein Franchisor will describe its operational policies, standards, requirements and practices as such things are modified and amended by Franchisor from time to time. The Manuals may also include computer software, information available on an Internet/Extranet site and other electronic media that Franchisor may change from time to time. Franchisee will comply with all provisions of the Manuals. Franchisor reserves the right to revise the Manuals at any time.

G. Additional Initial Assistance. Franchisor will assist Franchisee in the development of a business plan. Franchisor and Franchisee may also agree that Franchisor provide management assistance and other services, in addition to the usual initial assistance and supervision Franchisor provides to all Franchisees, for additional agreed upon compensation.

H. Ongoing Assistance. During the operation of Franchisee's business, Franchisor will: (1) inspect the Store as often as Franchisor deems necessary and provide written reports to Franchisee on operations; (2) provide, upon the written request of Franchisee, advisory services pertaining to operation of Franchisee's business; (3) periodically make available to Franchisee all changes, improvements and additions to the Business System to the same extent as made available to other franchisees; (4) provide Franchisee with all supplements and modifications to the Manuals; and (5) develop advertising and marketing materials. Any evaluation or inspection Franchisor conducts is not intended to exercise, and does not constitute, control over Franchisee's day-to-day operation of the Business or to assume any responsibility for Franchisee's obligations under this Agreement.

8. OPERATION OF THE FRANCHISEE'S BUSINESS

The Marks and Business System licensed to Franchisee represent valuable goodwill distinctive of Franchisor's business and reputation. Franchisor will periodically develop uniform standards of quality and

service regarding the business operations of the Store so as to protect (for the benefit of all franchisees and Franchisor) the distinction, valuable goodwill and uniformity represented and symbolized by the Marks and Business System. To ensure that all franchisees will maintain the uniform requirements and quality standards for goods and services associated with the Once Upon A Child® Stores and with the Marks and Business System, Franchisee will maintain the uniformity and quality standards Franchisor reasonably requires for all products and services and agrees to the following provisions:

A. Managerial Responsibility. During the term of this Agreement, the parties who have signed this Agreement on behalf of the Franchisee will personally manage and operate the Store and will not, without Franchisor's prior written consent, delegate its authority and responsibility with respect to management and operation. If Franchisee is a corporate entity or a partnership, one individual will retain at least fifty percent (50%) of the equity and voting interest in such corporation or partnership and will be obligated to personally manage and operate the Store.

B. Design and Appearance of Premises. The design and appearance of the exterior and interior of the Store, including signage, are part of Franchisor's Business System. It is essential to the integrity of the Business System that as great a degree of uniformity as possible be maintained among the various premises of Once Upon A Child® franchisees. Without limitation to anything provided for in this Agreement, Franchisee agrees that: (1) no addition or alteration will be made to the premises without Franchisor's prior written consent; (2) the painting and decor will be maintained in such manner and form as Franchisor may require; (3) Franchisee will follow Franchisor's instructions respecting layout and character of interior fixtures and furnishings; and (4) only such signs, emblems, logos, lettering, and artwork as Franchisor may require or periodically provide will be displayed on the Store premises. Franchisee must follow Franchisor's current standards regarding the design and appearance of the premises.

C. General Operation. Franchisee will use the Marks and Business System in strict compliance with the standards, operating procedures, specifications, requirements and instructions required of all Once Upon A Child® businesses, which Franchisor may periodically amend and supplement. Any required standards exist to protect Franchisor's interests in the Business System and the Marks and not for the purpose of establishing any control or duty to take control over those matters that are reserved to Franchisee. The required standards generally will be set forth in the Operations Manual or other written materials. The Operations Manual also will include guidelines or recommendations in addition to required standards. In some instances, the required standards will include recommendations or guidelines to meet the required standards. Franchisee may follow the recommendations or guidelines or some other suitable alternative, provided Franchisee meets and complies with the required standards. In other instances, no suitable alternative may exist. In order to protect Franchisor's interests in the Business System and Marks, Franchisor reserves the right to determine if Franchisee is meeting a required standard and whether an alternative is suitable to any recommendations or guidelines.

D. Products and Services. Franchisee will sell only those categories of products and services Franchisor approves in writing and will offer for sale all categories of products and services required by Franchisor from time to time. Franchisee will conform to all quality and customer service standards Franchisor requires in writing. Franchisee will purchase only such types, models or brands of fixtures, furniture, equipment, signs, inventory and supplies that Franchisor approves for Once Upon A Child® Stores as meeting its specifications and standards, including standards and specifications for quality, design, warranties, appearance, function and performance. Franchisee acknowledges and agrees that such items shall be purchased only from sources, manufacturers or suppliers approved or in writing by Franchisor (which sources or suppliers may include Franchisor or affiliates of Franchisor). FRANCHISOR DISCLAIMS ALL WARRANTIES, WHETHER EXPRESSED OR IMPLIED, INCLUDING ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE IN CONNECTION WITH FRANCHISOR'S (OR AN AFFILIATE'S) SALE OF ANY GOODS,

EQUIPMENT, FURNITURE, SIGNS OR SUPPLIES TO FRANCHISEE. Franchisee agrees that neither Franchisee nor any entity Franchisee or its owners have a direct or indirect ownership in may act as, or be engaged as, a vendor, supplier, or service provider to the Store or any other Once Upon A Child® Store, or to the Once Upon A Child® system. Franchisee agrees to execute any and all documents Franchisor reasonably requests, including letters of credit, security agreements and financing statements, to provide collateral for amounts due to Franchisor for purchases of inventory and other items used in Franchisee's business. Franchisor's approval is not required with respect to children's apparel, toys, equipment, furniture, and accessories. Franchisee purchases from its customers; provided, however, the Franchisee may not sell or offer for sale any goods which have been recalled or would be determined unsafe upon reasonable inspection.

E. Maintenance of Premises; Modernization. Franchisee will, at its expense, repair, paint and keep in an attractive, clean and sanitary condition the interior and exterior of the Store premises. Franchisee will ensure that all equipment will be kept in good working order and will meet Franchisor's quality standards. Franchisee will periodically make capital expenditures to remodel, modernize and redecorate the Store and to replace and modernize the furniture, fixtures, signs, supplies and equipment used in the Store so that the Store will reflect the then-current physical appearance of new Once Upon A Child® Stores. All remodeling, modernization or redecoration of a Store must be done pursuant to Franchisor's then-current standards and specifications and only with Franchisor's prior written approval. Franchisee agrees to commence remodeling activities within ninety (90) days after written notice from Franchisor, although Franchisee will not be required to remodel, modernize and redecorate the Store more than once every five (5) years during the term of this Agreement.

F. Compliance with Laws. Franchisee will, at its expense, comply with all applicable local, state, federal and municipal laws, ordinances, rules and regulations pertaining to the operation of the Store; including any and all licensing and bonding requirements, as well as the Americans with Disabilities Act ("ADA"), the Gramm-Leach-Bliley Act, the Fair Credit Reporting Act ("FCRA"), the Telephone Consumer Protection Act ("TCPA"), the Fair and Accurate Credit Transactions Act ("FACTA"), and the National Automated Clearinghouse Association ("NACHA") and associated regulations (collectively "Privacy Laws"). No music, videos or television may be played in the Store unless the appropriate licenses are obtained. As stated in Section 8.I, below, participation in the Once Upon A Child® approved licensed music program is mandatory. Franchisee must comply with any applicable secondhand dealer laws or ordinances. In addition, to become knowledgeable regarding new or pending laws and other issues that may affect the operation of its business, Franchisee must join and maintain a membership in the state retailer's association where the Store is located.

If the California Consumer Privacy Act ("CCPA"), Cal. Civ. Code § 1798.100, *et seq.*, or any federal or state privacy law applies to the Franchised Business, whenever and to the extent Franchisee operates as a "Service Provider" under the CCPA or in a similar capacity under any federal or state privacy law, Franchisee represents, warrants, and covenants that:

1. Franchisee will not sell, make available or otherwise disclose any Customer Information to any third party for valuable consideration;

2. Franchisee will retain, use, or disclose Customer Information only for the specific purpose of performing the services specified in this Agreement, and not any commercial or noncommercial purpose other than providing the services specified in this Agreement;

3. Franchisee will not retain, use, or disclose Customer Information outside of the direct business relationship between Franchisee and Franchisor;

4. Franchisee will delete any Customer Information upon Franchisor's request unless Franchisee can prove that such request is subject to an exception under applicable law; and

Franchisee certifies that it understands the restrictions in Paragraphs 1-4 of this section and will comply with them. Franchisee also acknowledges and agrees that Franchisor may modify the restrictions by written notice to Franchisee, including adding other similar privacy restrictions that may be required under other state or federal privacy laws.

G. Payment of Liabilities. Franchisee will timely pay all of its obligations and liabilities due and payable to Franchisor, suppliers, lessors and creditors.

H. Taxes. Franchisee will promptly pay all federal, state and local taxes arising out of the operation of Franchisee's business. Franchisor will have no liability for these or any other taxes and Franchisee will indemnify Franchisor for any such taxes that may be assessed or levied against Franchisor which arise or result from Franchisee's business.

I. Standardization. Franchisee will require its employees to wear such uniforms as Franchisor may designate and will comply with such programs of standardization as Franchisor may periodically develop to promote the common business image and to protect the goodwill associated with the Marks and Business System. Franchisee will participate in the Once Upon A Child® approved licensed music program.

J. Personnel. Franchisee will, at all times when open for business, have a person designated as a management person on duty who will be responsible for the business operations of the Franchisee's business. Franchisee will employ and maintain a sufficient number of adequately trained and competent employees to provide efficient service to Franchisee's customers. Franchisee's employees will not be deemed to be Franchisor's employees for any purpose whatsoever, and nothing in any aspect of the Business System or the Marks in any way shifts any employee or employment related responsibility from Franchisee to Franchisor. Franchisee alone is responsible for hiring, firing, training, setting hours for and supervising all employees.

K. Hours of Operation. Franchisee's Store will be open for business seven (7) days a week. Franchisee's minimum hours of operation shall be M-Sat. 9:00 a.m. to 8:00 p.m. and Sun. 11:00 a.m. to 6:00 p.m. Franchisee may choose to be open additional hours. Franchisee will purchase items from its customers during all hours that it is open for business. The minimum hours of operation may be periodically amended by Franchisor and/or updated in the Operations Manual.

L. Additional Training Seminars. Franchisor may periodically conduct refresher courses, seminars and other programs for all Once Upon A Child® franchisees. Franchisee and/or its employees will be required to attend any such programs and will be responsible for any expenses incurred by them in attending such programs, including the cost of transportation, lodging, meals and any wages.

M. Photographs. Franchisor will have the right to photograph the premises and, with prior written consent, Store employees at all reasonable times.

N. Operations Manual. To protect Franchisor's reputation and goodwill and to maintain uniform operating standards under the Marks and Business System, Franchisee will conduct its business according to Franchisor's Operations Manual and other confidential Manuals provided by Franchisor. Franchisee will receive an electronic or hard copy of each Manual. Franchisee will treat each Manual, together with any other manuals, written directives or software created for or approved for use in the operation of the Store (the "Material") as confidential, and will use all reasonable efforts to maintain the

Material as secret and confidential. The Manuals will remain Franchisor's sole property. Franchisor may periodically revise the contents of the Manuals. Franchisee agrees to comply with each new or changed standard. Franchisee will insure that its copy of each Manual is kept current. In the event of any dispute as to the contents of any Manual, the terms of the master copy of such Manual Franchisor maintains will control. At Franchisor's option, Franchisor may post some or all of the Operations Manual and other confidential Manuals and materials on the Extranet to which Franchisee will have access. Any passwords or other digital identifications necessary to access the Operation Manual on the Extranet will be deemed secret and confidential. It is Franchisee's obligation to monitor and access the Extranet for any updates to the Operating Manual or system standards.

O. Lease. Franchisee's lease or sublease for the Store premises must be reviewed by Franchisor before its execution. Franchisee must provide Franchisor with an executed copy of any lease for the Store. Franchisor makes no guarantees concerning the success of the Store located on any site consented to by Franchisor. Franchisor recommends that Franchisee employ an independent real estate broker to assist Franchisee in locating a suitable site and negotiating a lease for such site. Franchisee's lease must contain provisions requiring that: (i) the premises be used only for a Once Upon A Child® business; (ii) the landlord provides Franchisor written notice of any franchisee default and/or right to cure; and (iii) upon termination of this Agreement or the lease, Franchisee will be obligated to remove, at its sole expense, all signs and materials bearing the name "Once Upon A Child" and other Marks.

P. Point-of-Sale System. Franchisee will utilize in the Store the point-of-sale system (the "POS System") which Franchisor has developed and/or selected for the Business System, including all future updates, supplements and modifications. The POS System (the "Proprietary Software") developed for use in Franchisee's business includes a Proprietary Software program owned by Franchisor. Franchisee must license the proprietary software from Franchisor, which software will remain the confidential property of Franchisor. Franchisee and Franchisor will enter into Franchisor's standard form of Software License Agreement attached hereto as Exhibit B (the "Software License Agreement") in connection with Franchisee's use of such software. Franchisor reserves the right to assign its rights, title and interest in the Proprietary Software or the Software License Agreement to a third party designated by Franchisor. In such event, Franchisee may be required to enter into a separate software license agreement specified by the third-party supplier of the Proprietary Software. Franchisor also may access information and data produced by Franchisee's POS System. As further described in Section 5.B, Franchisor has the right to use the information obtained from Franchisee's POS System to determine the weekly amounts owed for Continuing Fees or other fees that are calculated using Gross Sales. The computer hardware component of the POS System must conform with specifications Franchisor develops and must be configured as a package unit as Franchisor designates. The POS System includes one dedicated business server with a minimum of three desktop computers. The computer hardware component of the POS System must be purchased and configured through Franchisor. Franchisee will be required to utilize and, at Franchisor's discretion, pay for all future updates, supplements and modifications to the POS System. Franchisee may be required to update its POS System every five (5) years or less, depending on updates in technology and Franchisor's current standards. Franchisee will also be required to pay the Software Fee described in Section 1.E.6 of the Software License Agreement for ongoing maintenance and repairs, upgrades, support and other services related to the POS system. It is Franchisee's responsibility to make sure that Franchisee is in compliance with all laws that are applicable to the POS System or other technology used in the operation of Franchisee's Business, including all data protection or security laws as well as PCI compliance.

Q. Technology Fee. Franchisor reserves the right to charge a periodic technology fee for technology-related services provided by Franchisor, services related to Franchisor's extranet platform, current and future training platforms and current and future social and digital media management platforms. Franchisor will provide Franchisee with a minimum of sixty (60) days prior written notice before establishing such fee. If a technology fee is established, Franchisor may, with a minimum of sixty

(60) days' prior written notice, subsequently change the frequency and/or the amount of the technology fee. Further, if a technology fee is established, it will be subject to an annual increase of ten percent (10%). Adjustments will be compounded annually and cumulative, which may result in increases in any given year of greater than ten percent (10%) to adjust for prior years when no increase, or an increase of less than the permitted percentage increase, was implemented.

R. Participation in Internet Website.. Franchisee must have high speed Internet access from the Store and an e-mail address. Franchisor will include Franchisee in the store location section of Franchisor's website www.onceuponachild.com. Franchisor will establish the rules from time to time under which franchisees will establish their own website or separately use the Internet, and Franchisee shall be required to strictly abide by all such rules and follow the then current form of Internet Code of Conduct. Franchisee is required to have a Store website and will pay all expenses associated with the development and operation of the website for Franchisee's individual Store. Franchisor will, at its discretion, determine the content and use of the onceuponachild.com website, and the core brand content and design of the franchisee store website templates. Franchisor will retain all rights relating to the onceuponachild.com website and the individual stores' website template and domain name(s) (URL) and may alter or terminate the websites upon thirty (30) days' notice to Franchisee. Franchisee's general conduct on the Internet and specifically its use of the Marks on the Internet (including the domain name and any other Marks Franchisor may develop as a result of participation on the Internet) will be subject to the provisions of this Agreement and regulated by the Internet Code of Conduct or similar document. Franchisee acknowledges that certain information obtained through its participation in the Once Upon A Child® Internet and Extranet websites may be considered Confidential Information (as defined in Section 9 below), including access codes and identification codes. Franchisee's right to maintain any website used in operating the Store, participate in the Once Upon A Child® Internet or Extranet sites or otherwise use the Marks or Business System on the Internet will terminate when this Agreement expires or terminates. It is Franchisee's responsibility to ensure that its website and other web content complies with all applicable provisions of the current Web Content Accessibility Guidelines ("WCAG") and/or related laws.

S. Credit Card Processing. At all times, Franchisee must maintain credit-card relationships with the credit and debit card issuers or sponsors, check or credit verification services, financial-center services and electronic funds transfer systems that Franchisor designates, and Franchisee must not use any such services or providers that Franchisor has not approved in writing. Franchisor has the right to modify its requirements and designate additional approved or required methods of payments and vendors for processing such payments. Franchisee must comply with all Franchisor and vendor credit card policies. In addition, Franchisee must comply with the Payment Card Industry Data Security Standards ("PCI DSS") as they may be revised and modified by the Payment Card Industry Security Standards Council or its successor organization, FACTA and any other card payment standards Franchisor may specify.

9. CONFIDENTIAL INFORMATION

A. Non-Disclosure of Confidential Information. Franchisee and those individuals who have signed the Personal Guaranty attached hereto as Exhibit C agree to use and permit the use of Franchisor's Confidential Information (as defined below) solely in connection with the operation of the Store. Franchisee and Personal Guarantors further agree that they will never, during the initial term or any renewal term of this Agreement, or any time after this or any renewal Franchise Agreement expires or terminates, or Franchisee's rights under this Agreement or any renewal Franchise Agreement are assigned or terminated, divulge or use any of Franchisor's Confidential Information for the benefit of any third party (including any person, business entity or enterprise of any type or nature), nor will Franchisee or Personal Guarantors directly or indirectly aid such third party to imitate, duplicate or "reverse engineer" any of Franchisor's Confidential Information. "Confidential Information" means all information, knowledge, trade secrets or

know-how utilized by the Business System or which otherwise concerns Franchisee's or Franchisor's systems of operation, programs, services, products, customers, practices, materials, books, records, manuals, computer files, databases or software. Confidential Information includes (without limitation): all elements of the Business System and all products, services, equipment, technologies, policies, standards, requirements, criteria and procedures that now or in the future are part of the Business System; Franchisor's Operations Manual (including supplements to the Manual); all specifications, sources of supply, all procedures, systems, techniques and activities employed by Franchisor or Franchisee in the offer and sale of products and or services at the Store; all pricing paradigms established by Franchisor or by Franchisee; all of Franchisor's and/or Franchisee's sources (or prospective sources) of supply and all information pertaining to same (including wholesale pricing structures, the contents of sourcing agreements and identity of suppliers); Franchisor's specifications, and Franchisee's final plans, for the construction, build-out, design, renovation, décor, equipment, signage, furniture, fixtures and trade dress elements of the Store; the identity of, and all information relating to, the computer and POS hardware and software utilized by Franchisor and Franchisee; all information pertaining to Franchisor's and Franchisee's advertising, marketing, promotion and merchandising campaigns, activities, materials, specifications and procedures; all customer lists, customer data and other records generated and/or otherwise maintained by the Store; Franchisor's Internet Code of Conduct, social media policy, internet/web protocols, procedures and content; Franchisor's training and other instruction programs and materials; all communications between Franchisor and Franchisee (including the financial and other reports Franchisee is required to submit to Franchisor under the Agreement); additions to, deletions from and modifications and variations of the components of the Business System and all other information, knowledge and know-how which Franchisor and its affiliates, now or in the future, designate as confidential.

Confidential Information will not, however, include information which Franchisee and Personal Guarantors can demonstrate came to their attention before Franchisor disclosed it to Franchisee (unless illegally or improperly procured by Franchisee or its Personal Guarantors before Franchisor's disclosure) or which, at or after the time of disclosure, has become a part of the public domain through publication or communication by others, but not through any act of Franchisee or Personal Guarantors.

Except as authorized in this Agreement, Franchisee and Personal Guarantors agree never to copy, duplicate, record or otherwise reproduce any of the Confidential Information, in whole or in part; otherwise share it with any other third party individual or entity; store it in a computer or other electronic format; or otherwise make it available to any third party by any other means whatsoever. For the avoidance of doubt, Franchisee and Personal Guarantors may not use Confidential Information for the purpose of machine learning, augmented human intelligence development, training any artificial intelligence ("AI") model, algorithm improvement, or similar data aggregation activities without the express written consent of Franchisor. Such uses shall not be deemed related to the performance of this Agreement and are expressly prohibited. Franchisee and Personal Guarantors shall not, without prior written consent by Franchisor, input any Confidential Information into any generative AI platform, or disclose such information to any provider or source of generative AI services. Franchisee and Personal Guarantors shall opt out of allowing any provider or source of generative AI to utilize Confidential Information for training of any AI model or for other purposes. Upon the expiration or termination of this Agreement, Franchisee and Personal Guarantors agree to return to Franchisor such Confidential Information as Franchisor requests (including customer lists and records; all training materials and other instructional content; financial and non-financial books and records; the Manual; and, computer databases, software and manuals) which are then in Franchisee's or Personal Guarantor's possession, or upon Franchisor's request, destroy all or certain Confidential Information and certify such destruction to Franchisor. It is specifically understood that all customer lists or information adduced by the Store is Franchisor's property, not the property of Franchisee or Personal Guarantors. Franchisor may use this information to market to Franchisee's customers during and after the term of the Franchise Agreement. Franchisee will execute any document required by Franchisor to ensure that Franchisor will have access to that information.

Franchisee and Personal Guarantors must only divulge such Confidential Information to Franchisee's operational personnel as is necessary for each to perform his/her functions and then only on a "need to know" basis. Franchisee and Personal Guarantors agree to take all necessary precautions to insure that these individuals maintain the Confidential Information in confidence and comply with the confidentiality provisions of this Agreement. Franchisee's agreement to procure execution of a Confidentiality/Non-Competition Agreement from certain of Franchisee's owners, management and staff is set forth before in Section 9(B) of this Agreement.

B. Confidentiality/Non-Competition Agreements. The Franchisee shall be liable to the Franchisor in the event that any one of its shareholders, directors, officers, partners, managers, employees and agents disclose any Confidential Information, or information which is otherwise subject to confidentiality on the part of the Franchisee or the Guarantor under this Agreement. All of Franchisee's employees who have managerial duties with respect to the Store and who have access to confidential information of Franchisor, as well as all corporate officers, directors and shareholders if Franchisee is a corporation (all partners if Franchisee is a partnership), must sign Confidentiality/Non-Competition Agreements in a form satisfactory to Franchisor, agreeing to maintain the confidentiality, during the course of their agreement and thereafter, of all information Franchisor copyrights or designates as confidential and proprietary. Copies of the executed agreements will be provided to Franchisor upon request.

Franchisee agrees to vigorously and vigilantly prosecute to the fullest extent permitted by law breaches of any Confidentiality/Non-Competition Agreement executed pursuant to this provision, and acknowledge Franchisor's right, to be exercised as Franchisor alone determines, to enforce the terms of any such executed Confidentiality/Non-competition Agreement. If the substantive provisions of the Confidentiality/Non-Competition Agreement have been breached by an individual employed, engaged or otherwise serving the Store who has not executed a Confidentiality/Non-Competition Agreement Franchisee must nevertheless vigorously and vigilantly prosecute such conduct to the fullest extent permitted by law.

10. INSURANCE; BONDING

A. Insurance. Franchisee alone will be responsible for all loss or damage arising out of or relating to the operation of Franchisee's Once Upon A Child® business or arising out of the acts or omissions of Franchisee or any of its agents, employees or contractors in the preparation and sale of products by Franchisee, and for all claims for damage to property or for injury or death of any persons directly or indirectly resulting therefrom. Franchisee agrees to indemnify and hold Franchisor harmless against and from any and all such claims, loss, and damage, including costs and reasonable attorneys' fees. Franchisee will obtain and maintain in force (under policies of insurance issued by a carrier that is rated A- or better by AM Best) and pay the premiums for public liability insurance with products/completed operations coverage and premises liability of no less than $1,000,000 per occurrence and $2,000,000 in the aggregate, and other insurance in such types and amounts as Franchisor may reasonably require. Such insurance policies will expressly protect both Franchisee and Franchisor and will require the insurer to defend both Franchisee and Franchisor in any action. In addition, each such insurance policy must name Franchisor as an additional insured, and provide that such policy will not be canceled, amended or modified except upon thirty (30) days' prior written notice to Franchisor. On an annual basis and upon Franchisor's request, Franchisee will furnish to Franchisor endorsements or other proof of insurance Franchisor requires evidencing that Franchisee has obtained and is maintaining in force all required insurance policies. Maintenance of the insurance requirement will not relieve Franchisee of the obligations of indemnification stated in Section 11 below. If Franchisee fails to obtain or maintain in force any insurance as required by this Section or to furnish any endorsements or other proof of insurance Franchisor requires hereunder, Franchisor may, in addition to all other available remedies, obtain such insurance or endorsements or proof of insurance, and Franchisee will promptly reimburse Franchisor for all insurance premiums and other costs

incurred in obtaining such insurance or endorsements or other proof of insurance. Franchisor recommends that Franchisee obtain employment practices liability insurance with a minimum limit of $250,000 and a cyber liability/data breach policy with a minimum limit of $50,000.

B. Bonding. Franchisee will comply with any and all bonding requirements which may be applicable to its Once Upon A Child® business.

11. INDEPENDENT CONTRACTORS; INDEMNIFICATION

Franchisor and Franchisee are independent contractors. Neither Franchisor nor Franchisee will make any agreements, representations, or warranties in the name of or for the other or that their relationship is other than franchisor and franchisee. Neither Franchisor nor Franchisee will be obligated by or have any liability under any agreements, representations or warranties made by the other nor will Franchisor be obligated for any damages to any person or property directly or indirectly arising out of the operation of the Franchisee's business, whether caused by Franchisee's negligent or willful action or failure to act. Franchisee acknowledges that the customer list of all retail or commercial customers shall be the sole and exclusive property of Franchisor and that Franchisee shall have no ownership rights or interest in the customer list. Franchisee will indemnify Franchisor against and reimburse Franchisor for all obligations and damages arising out of the operation of Franchisee's business and including all costs Franchisor reasonably incurs in the defense of any such claim brought against it or in any action in which it is named as a party (including reasonable attorneys' fees), including any claims brought against it related to Franchisee's violations of Privacy Laws. Franchisor will have the right to defend any such claim against it. Franchisor will indemnify Franchisee against and reimburse Franchisee for any obligations or liability for damages attributable to agreements, representations or warranties of Franchisor, or caused by Franchisor's negligence or willful action, and for costs Franchisee reasonably incurs in the defense of any such claim brought against it or in any action in which it is named as a party, provided that Franchisor will have the right to participate in and, to the extent Franchisor deems necessary, to control any litigation or proceeding which might result in liability of or expense to Franchisee subject to such indemnification. The indemnities and assumptions of liabilities and obligations stated in this Agreement will continue in full force and effect following the expiration, termination or a transfer of this Agreement.

Nothing in this Agreement may be construed to create a partnership, joint venture, agency, employment or fiduciary relationship of any kind. None of Franchisee's employees will be considered to be Franchisor's employees. Neither Franchisee nor any of Franchisee's employees whose compensation is paid by Franchisee may in any way, directly or indirectly, expressly or by implication, be construed to be an employee of Franchisor for any purpose, most particularly with respect to any mandated or other insurance coverage, tax or contributions, or requirements pertaining to withholdings, levied or fixed by any city, state or federal governmental agency. Franchisor will not have the power to hire or fire Franchisee's employees. Franchisee will alone exercise day-to-day control over all operations, activities and elements of the Store. Franchisee is solely responsible for the safety and well-being of Franchisee's employees and the customers of the Store. Franchisee acknowledges and agrees that the various requirements, prohibitions, specifications and procedures of the Business System which Franchisee is required to comply with under this Agreement, whether set forth in the Manual or otherwise, do not directly or indirectly constitute, suggest, infer or imply that Franchisor controls any aspect or element of the day-to-day operations of the Store, which Franchisee alone controls, but only constitute standards Franchisee must adhere to when exercising control of the day-to-day operations of the Store. Franchisee may not, without Franchisor's written approval, have any power to obligate Franchisor for any expense, liabilities or other obligations, other than specifically provided in this Agreement.

12. SALES REPORTS, FINANCIAL STATEMENTS AND AUDIT RIGHTS

A. Sales Reports. Franchisee will maintain an accurate written record of daily Gross Sales and will deliver to Franchisor a statement of the weekly Gross Sales of Franchisee's business using such forms and methods as Franchisor may require. The weekly statement of Gross Sales must be provided to Franchisor on or before Wednesday of each week for the preceding week. In addition, Franchisee will provide Franchisor with an annual key indicator report in the form Franchisor periodically requires in writing. Franchisee must provide this report to Franchisor by March 1 of each year for the preceding calendar year. Franchisor reserves the right to modify or substitute the required forms and methods and impose additional recordkeeping procedures.

B. Financial Statements. Franchisee will maintain complete and accurate financial books and records for the franchised business in accordance with generally accepted accounting principles and Franchisor's standards. Franchisee will, at its expense, use one of the approved suppliers designated by Franchisor for accounting and bookkeeping services related to the operation of the franchised business. Franchisee also will, at its expense, provide Franchisor with quarterly and annual financial statements and such other financial reports as Franchisor specifies, prepared and delivered through such accounting systems or service provider(s), using the forms, chart of accounts, and reporting formats Franchisor requires. All financial information must be prepared and maintained in a manner that permits Franchisor to reasonably review and verify Franchisee's financial performance, Gross Sales, and compliance with this Agreement. Franchisee will comply with any reasonable procedures Franchisor establishes from time to time regarding the transmission, availability, and standardization of financial information. Franchisee will deliver the quarterly financial information to Franchisor by the 30th day of the month following the end of the preceding quarter and the annual financial statement must be provided on or before March 1 of each year for the preceding calendar year. Franchisee hereby authorizes Franchisor to collect the financial information described above in this Section 12(B) from Franchisee's approved accounting services supplier if Franchisee fails to provide this financial information in a timely manner under the terms of this Agreement.

C. Audit Rights. Franchisee will make all of its financial books and records (including the tax returns of Franchisee, its Personal Guarantors, and its shareholders) available to Franchisor or its designated representative at all reasonable times for review and audit by Franchisor or its designee. Franchisee will keep its financial books and records for each fiscal and calendar year in a secure place and will make them available for audit by Franchisor for at least five (5) years. If an audit conducted by Franchisor results in a determination that the Continuing Fees or other amounts paid to Franchisor are deficient (underpaid) by more than two percent (2%), Franchisee will pay Franchisor for the reasonable costs and expenses that it has incurred as a result of the audit. If pursuant to audits, the Continuing Fees have been deficient by more than two percent (2%) twice or more within any five (5) year periods, this will be considered a material breach of this Agreement. In addition, Franchisee's failure to fully cooperate and timely complete the audit procedures is a material breach of the Franchise Agreement and Franchisee will pay all of Franchisor's costs and expenses Franchisor incurs resulting from Franchisee's lack of cooperation and untimeliness.

13. FRANCHISOR'S RIGHT OF FIRST REFUSAL TO PURCHASE

A. Restrictions. Franchisee will not sell, assign, trade, transfer, lease, sublease, or otherwise dispose of: (1) any interest in or any part of the Franchised Location or this Agreement, or (2) any controlling interest (whether through one or more related transactions) in Franchisee's business or the assets of Franchisee's business to any third party, without first offering the same to Franchisor in writing, at the same price and on the same terms as stated in the proposed third-party offer. Franchisee's written offer to Franchisor must contain all material terms and conditions of the proposed sale or transfer. Upon Franchisor's receipt of written notice specifying the proposed price and terms of a proposed sale or transfer of Franchisee's business, Franchisor will give Franchisee written notice within ten (10) business days thereafter if Franchisor has an interest in negotiating to purchase the business according to the proposed terms. If Franchisor commences negotiations to purchase Franchisee's business as described herein,

Franchisee may not sell the business to a third party for at least thirty (30) days or until Franchisor and Franchisee agree in writing that the negotiations have terminated, whichever comes first. If Franchisor waives its right to purchase, Franchisee may complete the sale or transfer of the business according to the terms described in the written notice to Franchisor but not upon more favorable terms. Any such sale, transfer or assignment to a third party is subject to the provisions stated in Section 14 of this Agreement. Franchisor's nonacceptance of Franchisee's written offer will not affect or change Franchisee's obligations under this Agreement.

B. Corporate Franchisee. If Franchisee is a corporation, the shareholders cannot sell, assign, pledge or otherwise dispose of a controlling interest in the capital stock of Franchisee ("Capital Stock") (except to immediate family members of the controlling shareholder(s) or to a trust established for their benefit) until the Capital Stock has been first offered to Franchisor in writing under the same terms and conditions offered to any third party. A shareholder of Franchisee may, however, bequeath, sell, assign, trade or transfer his Capital Stock to the other shareholders of Franchisee corporation because of death or permanent disability without first offering it to Franchisor, provided Franchisee provides Franchisor with written notice of all such transactions. All shares of Capital Stock issued by Franchisee's corporation to its shareholders will bear the following legend on the reverse side of each issued and outstanding stock certificate:

> The shares of Capital Stock represented by this certificate are subject to a written Franchise Agreement which grants Winmark Corporation a right of first refusal to purchase these shares of Capital Stock from the shareholder.

Nothing in this section will be construed as prohibiting the shares of Capital Stock of a corporate Franchisee from being pledged as security to an institutional lender who has provided financing to or for the Store, provided the institutional lender accepts such security interest subject to Franchisor's reasonable conditions.

14. ASSIGNMENT OF FRANCHISE AGREEMENT

A. By Franchisor. A sale, transfer or assignment by Franchisor of its interest in the Business System or the Marks or any parts thereof, and/or in the sale, transfer or assignment by Franchisor of this Agreement or any interest therein, may be completed without the consent of Franchisee. To the extent that the purchaser or transferee shall assume the covenants and obligations of Franchisor under this Agreement, Franchisor shall thereupon and without further agreement, be freed and relieved of all liability with respect to such covenants and obligations. Franchisee acknowledges that nothing in this Agreement shall prevent Franchisor from granting security over any of its assets, including the Marks and any other intellectual property, on terms required by any secured party from time to time, and Franchisee further acknowledges that any such secured party or any agents acting on behalf of such secured party shall not have any obligations to Franchisee by reasons only of such security interest.

B. Corporate Franchisee. This Agreement may be transferred or assigned by Franchisee to a corporation which is owned or controlled by Franchisee, provided Franchisee and all other shareholders of the assignee corporation owning at least ten percent (10%) of the Capital Stock thereof sign the Personal Guaranty attached hereto as Exhibit C and agree to be bound by the provisions of this Agreement. Franchisee will give Franchisor fifteen (15) days written notice before the proposed date of assignment or transfer of this Agreement to a corporation owned or controlled by Franchisee; however, the transfer or assignment of this Agreement will not be valid or effective until Franchisor has received the legal documents which its legal counsel deems necessary to properly document such transfer or assignment.

C. Conditions to Material Transfers or Assignments. Franchisee (and its partners and shareholders, if any) will not transfer (whether voluntary or involuntary), assign or otherwise dispose of, in

one or more transactions, Franchisee's business, the Franchised Location, substantially all or all of the assets of Franchisee's business, this Agreement or any controlling interest in Franchisee (a "controlling" interest will include a proposed transfer of fifty percent (50%) or more of the Capital Stock of a corporate Franchisee) (a "Material Transfer") without Franchisor's prior written consent, except to trusts established for Franchisee's benefit. Franchisor will not unreasonably withhold its consent to a Material Transfer, subject to any or all of the following conditions described below which Franchisor may deem necessary:

1. All of Franchisee's accrued monetary obligations to Franchisor and suppliers will have been satisfied, and Franchisee is not in default under this Agreement;

2. Franchisee executes a written agreement in a form satisfactory to Franchisor, in which Franchisee covenants to observe all applicable post-term obligations and covenants contained in this Agreement;

3. The transferee-franchisee enters into a written agreement in a form satisfactory to Franchisor assuming and agreeing to discharge all of Franchisee's obligations and covenants under this Agreement for the remainder of its term or, at Franchisor's option, executes Franchisor's then-current standard form of franchise agreement which may not contain any further rights of renewal, but may contain royalty rates and advertising contributions (which may be different than those contained in this Agreement), and an altered Exclusive Territory;

4. The transferee-franchisee is not a competitor of Franchisor or the Business System and is approved by Franchisor and demonstrates to Franchisor's satisfaction that he/she meets Franchisor's managerial, financial, and business standards for new franchisees, possesses a good business reputation and credit rating, and has the aptitude and ability to conduct the franchised business. Franchisee understands that Franchisor may communicate directly with the transferee-franchisee during the transfer process to respond to inquiries, as well as to ensure that the transferee-franchisee meets Franchisor's qualifications;

5. While Franchisor does not determine the purchase price, Franchisor has determined that the purchase price and payment terms will not adversely affect the transferee-franchisee's operation of the Store;

6. If Franchisee finances any part of the purchase price, Franchisee agrees that all of the transferee-franchisee's obligations under any promissory notes, agreements or security interests reserved in the Store are subordinate to the transferee-franchisee's obligations to pay Continuing Fees, Marketing Fees and any other amounts due to Franchisor under the Franchise Agreement;

7. The transferee-franchisee successfully completes Franchisor's training program;

8. Franchisee pays Franchisor a transfer fee of Ten Thousand Dollars ($10,000) for the costs Franchisor incurs, including the costs of any required training. There will be no transfer fee payable for transfers to immediate family members (i.e.: spouse or children);

9. As a condition of Franchisor's consent to any Material Transfer, Franchisee, each transferring owner, and each Personal Guarantor must agree and

acknowledge in writing that they will comply with all applicable post-termination obligations in this Agreement and the Software License Agreement, including those relating to confidentiality and non-competition, as if this Agreement and the Software License Agreement were terminating on the effective date of the Material Transfer, and the requirement to comply with these applicable post-termination obligations will commence on the effective date of the Material Transfer; and

10. Notwithstanding Section 14(C)(9) of this Agreement or any other provision to the contrary in this Agreement, as a condition of Franchisor's consent to any Material Transfer, Franchisor may require any transferring owner or Personal Guarantor, to agree and acknowledge in writing that as of the effective date of the Material Transfer, they will continue to guaranty certain obligations of the transferee-franchisee and/or will continue to comply with certain provisions of this Agreement and the Software License Agreement, including those relating confidentiality and non-competition, until the Franchisor specifically releases them from each of these obligations in writing. Upon any such release, Franchisor may require the released party to agree and acknowledge in writing that they will comply with all applicable post-termination obligations in this Agreement and the Software License Agreement, including those relating to confidentiality and non-competition, as if this Agreement and the Software License Agreement were terminating on the effective date of the release, and the requirement to comply with these applicable post-termination obligations will commence on the effective date of the release.

D. Conditions to Other Transfers or Assignments of Interest in Franchisee or Release of a Personal Guarantor. For any transfer or assignment of an interest in Franchisee other than a Material Transfer or a transfer or assignment to a corporation owned or controlled by Franchisee as described in Section 14(B) of this Agreement, Franchisee will give Franchisor fifteen (15) days written notice before the proposed date of such transfer or assignment. If as result of such transfer or assignment the transferring or assigning party no longer has an interest in Franchisee, or if Franchisor, in its sole discretion, during the term of this Agreement, elects to release a Personal Guarantor from their obligation to serve as a Personal Guarantor under this Agreement, the transferring or assigning party or the Personal Guarantor, as applicable, must agree and acknowledge in writing that they will comply with all applicable post-termination obligations in this Agreement and the Software License Agreement, including those relating confidentiality and non-competition, as if this Agreement and the Software License Agreement were terminating on the effective date of the transfer or assignment or release, as applicable, and the requirement to comply with these applicable post-termination obligations will commence on the effective date of the transfer or assignment or the release, as applicable. Franchisee and each applicable transferring owner and Personal Guarantor will execute all documents and take all actions Franchisor reasonably requires to effectuate this Section 14.

15. FRANCHISOR'S TERMINATION RIGHTS

A. Grounds. Franchisee will be in default, and Franchisor may, at its option, terminate this Agreement, as provided herein, if (1) Franchisee fails to open and commence operations of the Store at such time as the premises are ready for occupancy or within twelve (12) months of the execution of this Agreement, whichever occurs first; (2) Franchisee violates any material provision or obligation of this Agreement; (3) Franchisee or any of its managers, directors, officers or majority shareholders are convicted of, or plead guilty to or no contest to (a) a charge of violating any law which adversely impacts upon the reputation of the franchised business or (b) any felony; (4) Franchisee fails to conform to the material requirements of the Business System or the material standards of uniformity and quality for the products and services Franchisor has established in connection with the Business System; (5) Franchisee fails to timely pay Continuing Fees, Marketing or Advertising Fees, buying group (inventory) obligations or any other

obligations or liabilities due and owing to Franchisor or fails to timely pay any advertising cooperative obligations; (6) Franchisee is insolvent within the meaning of any applicable state or federal law; (7) Franchisee makes an assignment for the benefit of creditors or enters into any similar arrangement for the disposition of its assets for the benefit of creditors; (8) Franchisee (a) fails to operate the Store for seven (7) consecutive days without Franchisor's prior written consent unless due to an act of God, war, strikes or riots, (b) informs Franchisor of Franchisee's intent to permanently or indefinitely cease operating the Store, or (c) otherwise abandons the franchised business; (9) Franchisee is involved in any act or conduct which materially impairs the goodwill associated with the name "Once Upon A Child" or any of the Marks or the Business System; (10) Franchisee's lease for the Store premises expires or is terminated for any reason (unless Franchisee receives Franchisor's written consent and relocates within the Development Area to a site approved by Franchisor within sixty (60) days thereafter and Franchisee signs a new lease in compliance with Section 8(O); (11) Franchisee defaults in any other agreement with Franchisor, its subsidiaries or affiliates, and does not cure such default in accordance with the terms of such other agreement; (12) Franchisee receives frequent and/or severe complaints from customers and/or employees concerning the Store; (13) Franchisee fails to fully cooperate and timely complete any audit authorized by Franchisor; or (14) Franchisee violates the in-term covenant not to compete.

B. Procedure. Except as described below, Franchisee will have thirty (30) days, or such longer period as applicable law may require, after its receipt from Franchisor of a written Notice of Termination within which to remedy any default hereunder, and to provide evidence thereof to Franchisor. If Franchisee fails to correct the alleged default within that time (or such longer period of time as applicable law may require), this Agreement will terminate without further notice to Franchisee effective immediately when the thirty (30) day period (or such longer period as applicable law may require) expires. Franchisor may terminate this Agreement immediately upon delivery of written notice to Franchisee, with no opportunity to cure, if the termination results from any of the following: (1) Franchisee repeatedly fails to comply with one or more material requirements of this Agreement; (2) the nature of Franchisee's breach makes it not curable; (3) Franchisee willfully and repeatedly deceives customers relative to the source, nature or quality of goods sold, or (4) any default under items (1), (3), (6), (8), (9), (11), (12), (13) or (14) in Section 15(A) above, or (5) Franchisee willfully and materially falsifies any report, statement, or other written data furnished to Franchisor either during the franchise application process or after Franchisee is awarded a franchise. For purposes of Section 15(B)(1) of the Franchise Agreement, the word "repeatedly" means Franchisee's failure, on two or more separate occurrences during any twenty-four (24) month period, to comply with one or more material requirements of the Franchise Agreement, even if the default is subsequently cured within the applicable time period. Any report submitted pursuant to Section 12 shall be conclusively deemed to be materially false if it understates Gross Sales by more than four percent (4%).

C. Applicable Law. If the provisions of this Section 15 are inconsistent with applicable law, the applicable law will apply.

16. FRANCHISEE'S TERMINATION RIGHTS; NOTICE REQUIRED

A. Termination. Franchisee may terminate this Agreement if Franchisor violates a material obligation of Franchisor to Franchisee and fails to cure such violation within thirty (30) days after Franchisor's receipt of written notice from Franchisee; provided, however, that Franchisee is itself in substantial compliance with the Agreement at the time of giving such notice of termination. Franchisee's written notice will identify the violation and demand that it be cured.

B. Required Notice. A party must give the other party written notice of an alleged default under or violation of this Agreement after it has knowledge of, determines, or is of the opinion that there has been an alleged default under or violation of this Agreement. If there is failure to give written notice of an alleged default under this Agreement within one (1) year from the date that the nonbreaching party has

knowledge of, determines or is of the opinion that there has been an alleged default, the alleged default will be deemed to be approved and waived, and the alleged default or violation will not be deemed to be a default under or violation of this Agreement.

17. FRANCHISEE'S OBLIGATIONS UPON TERMINATION OR EXPIRATION

A. Post-Term Duties. If this Agreement is terminated for any reason or expires, Franchisee, its transferring owners, and Personal Guarantors will comply with the following obligations: (1) within five (5) days after termination or expiration, pay all amounts due and owing to Franchisor or suppliers under this Agreement, including the fees that would be owed through the end date of this Agreement's remaining term; (2) return to Franchisor by first class prepaid United States mail the Manuals and any other manuals, advertising materials, and all other printed materials relating to the operation of the franchised business; (3) assign to Franchisor or, at Franchisor's discretion, disconnect the telephone number for the Store; and (4) remove all signs and other materials bearing the name "Once Upon A Child" and other marks; (5) comply with all post-termination obligations under the Software License Agreement, including the return of all copies of Franchisor's proprietary software; (6) disconnect any Internet websites, including without limitation to social media accounts Franchisee has established in connection with Franchisee's operation of the Store; and (7) comply with all other applicable provisions of this Agreement, including the non-compete and confidentiality provisions. Upon termination of this Agreement for any reason or expiration, Franchisee's right to use the name "Once Upon A Child" and the other Marks and the Business System will immediately terminate. If Franchisee fails to remove all signs and other materials bearing the Marks, Franchisor may do so at Franchisee's expense. Franchisee and each applicable transferring owner and Personal Guarantor will execute all documents and take all actions Franchisor reasonably requires to effectuate this Section.

B. Redecoration. If this Agreement is terminated for any reason or expires, and Franchisee either remains in possession of the Franchised Location to operate a separate business not in violation of Section 18 below or enters into an agreement with a third party to allow such third party to directly or indirectly operate a business at the Franchised Location, Franchisee will, at its expense, modify both the exterior and interior appearance of the business premises so that they will be easily distinguished from the appearance as a Once Upon A Child® Store. At a minimum, such changes and modifications to the premises will include: (1) repainting the premises with totally different colors; (2) removing all signs and other materials bearing the name "Once Upon A Child" and other Marks; (3) removing from the premises all fixtures which are indicative of Once Upon A Child® Stores; (4) discontinuing use of the approved employee uniforms and refraining from using any uniforms which are confusingly similar; and (5) discontinuing use of all packaging and confidential information regarding the operation of the Store.

18. FRANCHISEE'S COVENANTS NOT TO COMPETE

A. During Term. During the term of the Franchise Agreement, Franchisee will receive proprietary information, materials and trade secrets specifically geared to and utilized in the retail resale business operations for all of Franchisor's franchised brands. To protect the valuable proprietary information and prevent Franchisee from using that information to operate a business that competes with any of Franchisor's clothing brands, Franchisee (and all Personal Guarantors and owners of all or part of Franchisee) will not, during the term of this Agreement, on their own account or as an employee, agent, consultant, partner, officer, director, or shareholder of any other person, firm, entity, partnership or corporation, own, operate, lease, franchise, conduct, engage in, be connected with, have any interest in, or assist any person or entity engaged in any resale retail business not offered by Winmark Corporation involving the purchase and/or sale of used clothing and accessories or a retail business involving the purchase and/or sale of new or used children's apparel, toys, equipment, furniture or accessories, without Franchisor's prior written consent**.**

B. After Termination, Expiration, Material Transfer, Departure of a Franchisee Owner or Release of a Personal Guarantor. Franchisee (and all Personal Guarantors and owners of all or part of Franchisee) will not, directly or indirectly, for a period of two (2) years following (i) the termination or expiration of this Agreement, or (ii) the effective date of any Material Transfer, on their own account or as an employee, consultant, partner, officer, director, or shareholder of any other person, firm, entity, partnership or corporation, own, manage, operate, control, participant in, lease, franchise, finance, lend, sell to, conduct, engage in, be connected with, have any interest in or assist any person or entity engaged in any resale retail business not offered by Winmark Corporation, whether conducted in-person or on-line, involving the purchase and/or sale of used clothing and accessories or a retail business involving the purchase and/or sale of new or used children's apparel, toys, equipment, furniture or accessories located at the Franchised Location or any Once Upon A Child® Store, or is located within or markets into a ten (10) mile radius of the Franchised Location or any Once Upon A Child® Store (the "Post-Term Non-Compete"). In addition, in the case of a transfer or assignment of an interest in Franchisee (other than a Material Transfer or a transfer or assignment to a corporation owned or controlled by Franchisee as described in Section 14(B) of this Agreement) where, as a result of such transfer or assignment the transferring or assigning party no longer has an interest in Franchisee, the transferring or assigning party will comply with the Post Term Non-Compete described above in this Section for a period of two (2) years following the effective date of the transfer or assignment. Further, if Franchisor, in its sole discretion, during the term of this Agreement, elects to release a Personal Guarantor from its obligation to serve as a Personal Guarantor under this Agreement, the Personal Guarantor will comply with the Post Term Non-Compete described above in this Section for a period of two (2) years following the effective date of the release.

Further, notwithstanding anything to the contrary in this Section or any other provision in this Agreement, if a transferring owner or Personal Guarantor is required pursuant to Section 14(C)(10) of this Agreement to continue to guaranty certain obligations of the transferee-franchisee and continue to comply with certain provisions of this Agreement, including those relating confidentiality and non-competition, until the Franchisor specifically releases them from each of these obligations in writing, upon any such release, Franchisor may require the released party to comply with the Post Term Non-Compete described above in this Section for a period of two (2) years following the effective date of the release.

Franchisee expressly agrees that the two (2) year period and the ten (10) mile radius are the reasonable and necessary time and distance needed to protect Franchisor upon the occurrence of the events described above in this Section.

C. Extension During Breach. Franchisee and each transferring owner and each Personal Guarantor acknowledge and agree that the two (2) year non-competition period set forth in Section 18(B) of this Agreement will be extended for a period of time equal to the time during which the Franchisee, transferring owner or Personal Guarantor, as applicable, is in breach of any of the provisions of Section 18.B of this Agreement.

D. Injunctive Relief. Franchisee agrees that damages alone cannot adequately compensate Franchisor if there is a violation of these noncompetition covenants, and Franchisee stipulates that Franchisor would be irreparably harmed by such a violation and that preliminary and permanent injunctive relief is essential and must be entered for the protection of Franchisor. Preliminary and permanent injunctive relief will be entered by a court of competent jurisdiction enforcing the noncompetition covenants without Franchisor posting any bond or security, in addition to all other remedies that may be available to Franchisor at equity or law.

E. Other Franchisor Brands. The non-competition covenants in Sections 18(A) and 18(B) shall not preclude Franchisee from owning or operating a Plato's Closet® or Style Encore® store

provided that Franchisee's ownership or operation of such store fully complies with the Franchise Agreement between Franchisor and Franchisee for such store.

19. ARBITRATION; ENFORCEMENT

A. Arbitration Process. Except to the extent Franchisor elects to enforce the provisions of this Agreement by judicial process and injunction as provided pursuant to Section 19(D), all disputes, claims and controversies between the parties arising under or in connection with this Agreement or the making, performance or interpretation thereof (including claims of fraud in the inducement and other claims of fraud and the arbitrability of any matter) will be settled by arbitration in Minneapolis, Minnesota pursuant to the Federal Arbitration Act. The arbitrator(s) will have a minimum of five (5) years' experience in franchising or distribution law and will have the right to award any type of relief except as limited by Section 19(C). The proceedings will be conducted under the commercial arbitration rules of the American Arbitration Association, to the extent such Rules are not inconsistent with the provisions of this arbitration provision. The decision of the arbitrator(s) will be final and binding on all parties. Claims in arbitration of different parties may not be joined. This Section will survive termination or non-renewal of this Agreement under any circumstances. Judgment upon the award of the arbitrator(s) may be entered in any court having jurisdiction thereof. During the pendency of any arbitration proceeding, Franchisee and Franchisor will fully perform their respective obligations under this Agreement.

B. Additional Proceedings. If, after Franchisor or Franchisee institutes an arbitration proceeding, one or the other asserts a claim, counterclaim or defense, the subject matter of which, under statute or current judicial decision is nonarbitrable for public policy reasons, the party against whom the claim, counterclaim or defense is asserted may elect to proceed with the arbitration of all arbitrable claims, counterclaims or defenses or to proceed to litigate all claims, counterclaims or defenses in a court having competent jurisdiction.

C. Punitive Damages. Franchisor and Franchisee acknowledge that judgment upon an arbitration award may be entered in any court of competent jurisdiction and will be binding, final, and nonappealable. Franchisor and Franchisee (and their respective owners and guarantors, if applicable) agree to waive, to the fullest extent permitted by law, the right to or claim for any punitive or exemplary damages against the other and agree that in the event of a dispute between them, each will be limited to the recovery of actual damages sustained by it.

D. Enforcement of Franchise Agreement. Notwithstanding the other provisions of this Section 19, Franchisee recognizes that the failure of a single franchisee to comply with the terms of its Once Upon A Child® franchise agreement would cause irreparable harm to Franchisor or to some or all other Once Upon A Child® franchisees. Franchisor and Franchisee therefore agree that, in the event of a breach or threatened breach of Sections 3, 8, 9, 12, 13, 14, 17 and/or 18 of this Agreement by Franchisee or in the event of any conduct by Franchisee which is illegal or is dishonest or misleading to Franchisee's customers or prospective customers or may impair the goodwill associated with the Marks, Franchisor may obtain a temporary, preliminary, or permanent injunction restraining such breach or obtain a decree of specific performance, without showing or proving any actual damage and without posting any bond or other security. The foregoing equitable remedy will be in addition to, and not in lieu of, all other remedies or rights which Franchisor might otherwise have by virtue of any breach of this Agreement by Franchisee.

E. Venue. If litigation is permitted under this Agreement, the sole forum for litigation arising under this Agreement, or any aspect of the relationship between Franchisor and Franchisee (even if additional parties are named as parties to that litigation) will be the state or federal courts of Minnesota. Those actions must be exclusively venued either in the District Courts of Minnesota, County of Hennepin, or the United State District Court for the District of Minnesota. Franchisee (and Franchisee's owners and

guarantors if applicable) waives any objection to the jurisdiction and venue of such court (except to the extent jurisdiction is preempted by the arbitration provisions of this Agreement), and consents to personal jurisdiction and venue in such court. If, however, Franchisor is permitted to seek injunctive relief under Section 19(D), Franchisor may bring that action in the federal or state courts for the county in which the Store is located or wherever Franchisee is otherwise subject to personal jurisdiction.

F. Attorneys' Fees. The non-prevailing party will pay all costs and expenses, including reasonable attorney fees, incurred by the prevailing party in any arbitration or action in court between Franchisor and Franchisee.

20. SEVERABILITY AND CONSTRUCTION

A. Severability. All provisions of this Agreement are severable and this Agreement will be interpreted and enforced as if all completely invalid or unenforceable provisions were not contained herein and partially valid and enforceable provisions will be enforced to the extent valid and enforceable. If any applicable law or rule of any jurisdiction requires a greater prior notice period than is required hereunder, or if under any applicable law or rule of any jurisdiction, any provision of this Agreement is invalid or unenforceable, the prior notice required by such law or rule will be substituted for the notice requirements hereof, or such invalid or unenforceable provision will be modified to the extent required to be valid and enforceable. Such modifications to this Agreement will be effective only in such jurisdiction and will be enforced as originally made and entered into in all other jurisdictions.

B. Waiver. Franchisor and Franchisee may by written instrument unilaterally waive any obligation of or restriction upon the other under this Agreement. No acceptance by Franchisor of any payment by Franchisee and no failure, refusal or neglect of Franchisor or Franchisee to exercise any right under this Agreement or to insist upon full compliance by the other with its obligations hereunder, including any mandatory specification, standard or operating procedure, will constitute a waiver of any provision of this Agreement.

C. Cumulative Rights. The rights of Franchisor and Franchisee hereunder are cumulative and no exercise or enforcement by Franchisor or Franchisee of any right or remedy hereunder will preclude the exercise or enforcement by Franchisor or Franchisee of any other right or remedy hereunder or which Franchisor or Franchisee is entitled by law to enforce.

D. Governing Law. Except to the extent governed by the United States Trademark Act of 1946 (Lanham Act, 15 U.S.C. Section 1051 et seq.), this Agreement and the franchise relationship will be governed by the laws of the state in which the Franchised Location is located. Franchisee waives, to the fullest extent permitted by law, the rights and protections that might be provided through the laws of any state relating to franchises or business opportunities, other than those of the state in which the Franchised Location is located.

E. Binding Effect. This Agreement is binding upon the parties hereto and their respective executors, administrators, heirs, assigns and successors in interest.

F. Consents. Whenever a party's consent or approval is required under this Agreement, such consent or approval will not be unreasonably withheld or delayed.

G. Entire Agreement. The "Background" section is a part of this Agreement, which together with exhibits, represents the entire agreement of the parties. This Agreement supersedes and terminates any prior oral or written understandings or agreements between Franchisor and Franchisee relating to the subject matter of this Agreement. Nothing in this Agreement or any related agreement is intended to disclaim the

representations made in the Franchise Disclosure Document. No modification of this Agreement will be effective unless it is in writing and signed by Franchisor and Franchisee. The term "Franchisee" as used herein is applicable (where relevant) to one or more persons, a corporation or a partnership. References to "Franchisee," "assignees" and "transferees" which are applicable to an individual or individuals mean the principal owner or owners of the equity or operating control of Franchisee or any such assignee or transferee if Franchisee or such assignee or transferee is a corporation or partnership. If Franchisee consists of more than one individual, all individuals will be bound jointly and severally by the provisions of this Agreement. The term "including" as used herein shall mean "including without limitation."

21. NOTICES

Except as described in other provisions herein, all notices required under this Agreement must be in writing addressed to Franchisor at its corporate headquarters or to Franchisee at the Franchised Location or the last known address of Franchisee and will be deemed given: (i) if personally delivered on the date delivered, (ii) if sent in the United States mail, by certified mail, postage prepaid, three (3) business days after it is sent, (iii) if sent by a recognized overnight delivery service which requires a written receipt, one (1) business day after it is sent, or (iv) if sent via email, on the date delivered to the authorized email address. You may change your notice address or authorized email address by giving written notice under this Section.

22. ACKNOWLEDGMENTS

A. Independent Investigation. Franchisee acknowledges that it has conducted an independent investigation of the business franchised hereunder, and recognizes that the business venture contemplated by this Agreement involves business risks and that its success will largely depend on Franchisee's ability as an independent business person. Franchisor expressly disclaims the making of, and Franchisee acknowledges that it has not received, any warranty or guarantee, express or implied, as to the potential volume, profits, or success of the business venture contemplated by this Agreement.

B. Franchise Agreement. Franchisee acknowledges that it has received, read, and understood this Agreement and that Franchisor has fully and adequately explained the provisions of it to Franchisee's satisfaction and that Franchisee has had sufficient time and opportunity to consult with advisors of its own choosing about the potential benefits and risks of entering into this Agreement.

C. Other Franchises. Franchisee acknowledges that other franchisees of Franchisor have or will be granted franchises at different times and in different situations, and further acknowledges that the provisions of such franchises may vary substantially from those contained in this Agreement.

D. Receipt of Documents. Franchisee acknowledges that it received a copy of Franchisor's Franchise Disclosure Document, as required under federal and applicable state franchise disclosure law, at least fourteen (14) calendar days before signing this Agreement or any other binding agreement, or paying any fees to Franchisor or its affiliates. In addition, if Franchisor materially altered the provisions of this Agreement, including any attachments relating thereto, or any related agreements attached to the Franchisor's Franchise Disclosure Document (except as a result of negotiations Franchisee initiated), Franchisee acknowledges that it received a copy of this Agreement or the related agreement at least seven (7) calendar days before signing it.

IN WITNESS WHEREOF, Franchisor and Franchisee have signed this Agreement as of the day and year first above written.

FRANCHISOR DISCLAIMS ANY WARRANTY OR REPRESENTATION AS TO THE POTENTIAL SUCCESS OF FRANCHISEE'S BUSINESS OPERATIONS UNDER THIS AGREEMENT.

This is a legal document which grants specific rights to and imposes certain obligations upon Franchisor and Franchisee. Consult legal counsel to be sure that you understand your rights and duties. Please insert the name and address of your attorney: _____
_____.

"FRANCHISOR"

WINMARK CORPORATION

By_____
Its_____
Its_____

"FRANCHISEE"

If "Franchisee" is a corporation,

_____
(Print Corporate Name)

By_____

If "Franchisee" is one or more individuals,

_____
[Name], Individually

_____
[Name], Individually

_____
[Name], Individually

EXHIBIT A
TO FRANCHISE AGREEMENT

FRANCHISEE'S DEVELOPMENT AREA AND EXCLUSIVE TERRITORY

1. Description of Development Area:

2. Description of Exclusive Territory:

"FRANCHISOR"

WINMARK CORPORATION

By_____
Its_____
Its_____

"FRANCHISEE"

By_____

If "Franchisee" is one or more individuals,

_____
[Name], Individually

_____
[Name], Individually

_____
[Name], Individually

EXHIBIT B
TO FRANCHISE AGREEMENT

SOFTWARE LICENSE AGREEMENT

ONCE UPON A CHILD®

SOFTWARE LICENSE AGREEMENT

This AGREEMENT is made and entered into as of the _____ day of _____, 20____, by and between WINMARK CORPORATION ("Winmark"), and _____ ("Licensee").

BACKGROUND:

Winmark owns certain software and related documentation. Licensee is a Once Upon A Child® franchisee pursuant to a franchise agreement Licensee entered into with Winmark (the "Franchise Agreement"). Licensee wishes to use certain software in its franchised business ("Store") under the provisions stated below.

AGREEMENTS:

1. SOFTWARE LICENSE.

A. Grant of License. Winmark grants Licensee a nonexclusive license to use the software identified on Schedule A attached to this Agreement. Collectively, all software licensed under this Agreement, and all modifications, updates and other works derivative of or to such software, and any related documentation or materials provided, is referred to as the "Software."

B. Initial Software License Fee. Licensee will pay Winmark an Initial Software License Fee of Six Thousand Dollars ($6,000). This fee must be paid before Winmark delivers the Software to Licensee. Licensee will be solely responsible for all taxes relating to the Initial Software License Fee, excluding taxes measured by Winmark's net income.

C. Scope of License. Licensee may use the Software only on a single computer or on a network of computers at the franchised business site or sites identified on Schedule A attached hereto or in Winmark's acceptance of Licensee's order. Unless Winmark otherwise agrees in writing, a single license fee entitles Licensee to use the Software on a network at one site with no more than five workstations. Winmark reserves the right to charge an additional license fee for use of the Software on a network at one site with more than five workstations or for use at more than one site.

D. Licensee's Agreements. Licensee agrees:

1. Not to disassemble, decompile or otherwise reverse engineer the Software, nor to create, access or generate the source code of the Software.

2. Not to modify the Software, nor to develop or create, or assist any other party in developing or creating, any computer programs which are derived from, based upon, or contain features or functions similar to, the Software.

3. To use the Software only in Licensee's internal operation of the franchise business under the terms of the Franchise Agreement.

4. Not to disclose to any other party any part of or any information relating to the Software, nor to permit access to the Software except by Licensee's employees in the operation of the franchised business or Winmark approved third party vendor.

5. Not to assign, sublicense, loan or otherwise provide to any third party the Software, whether or not merged into other programs or materials.

6. Not to copy the Software, although Licensee may make one copy of the Software for backup purposes if Licensee reproduces all copyright and other proprietary notices in such copy.

E. Repairs; Updates; Etc.

1. For so long as Winmark owns and requires Licensee to use the Software, Winmark will provide ongoing maintenance and repair services for the Software, except as set forth in Section 1(E)(2) or 1(E)(3) below, owned by Winmark so that the Software will perform substantially as described in documentation Winmark has provided. Such maintenance and repair services include Licensee's right to receive any fixes and minor enhancements to the Winmark Software which Winmark may periodically develop, as well as any other maintenance or repair services Winmark offers in its discretion.

2. Winmark agrees to support a previous version or release of the Software for six months following the release of a new version or release of the Software. If an error is identified in a previous version or release during that six-month period, Winmark's responsibilities will be the following:

(i) If the error is categorized by Winmark as critical to the intended function of the Software, Winmark will attempt to issue a temporary modification or workaround. If a temporary modification is not possible, and the error is not resolved by the latest version or release of the Software, Winmark will use commercially reasonable efforts to expedite the availability of its next scheduled version or release of the Software; or

(ii) If the error is categorized by Winmark as not critical to the intended function of the Software, Winmark may, in its discretion based on the severity and nature of the error, attempt to issue a temporary modification or workaround. If a temporary modification is not possible, and the error is not corrected in the latest version or release, Winmark will use commercially reasonable efforts to incorporate the correction in its next scheduled version or release of the Software.

3. Winmark shall have no obligation to provide support services for any failure or defect in the Software caused by:

(i) The improper use, alteration, or damage of the Software by Licensee or persons not authorized by Winmark;

(ii) Modifications to the Software not made by Winmark;

(iii) Application or other software not provided or approved by Winmark; or

(iv) Use of the Software on hardware that has not been approved or configured by Winmark.

4. Winmark may, in its sole discretion, periodically release new versions, new releases, updates, modifications or enhancements respecting the Software. Licensee will install any new versions, new releases, fixes, updates, modifications or enhancements which Winmark designates as mandatory.

5. Winmark is not obligated to provide Licensee with other services, including installation, support, training or other services relating to the Software. Further, Winmark is not obligated to provide maintenance, repair, installation, support, training or other services in relation to software distributed, but not owned, by Winmark.

6. Licensee will pay Winmark a Software Fee of Two Hundred Ninety-Five Dollars ($295) per month for services including, without limitation, maintenance and repair services, updates, modifications and enhancements to the Software which it elects to release. Licensee's obligation to pay the Software Fee under this Agreement will commence on the later of (a) the first day of the month following the opening of Licensee's Store, or (b) September 1, 2026, and remain in full force and effect until this Agreement has expired or is terminated or transferred under the provisions herein. Winmark may, with a minimum of sixty (60) days' prior written notice, change the frequency and/or the amount of the Software Fee. The Software Fee is subject to an annual increase of ten percent (10%). Adjustments are compounded annually and cumulative, which may result in increases in any given year of greater than ten percent (10%) to adjust for prior years when no increase, or an increase of less than the permitted percentage increase, was implemented. Licensee will be solely responsible for all applicable taxes relating to the Software Fee, excluding taxes measured by Winmark's net income.

2. PROPRIETARY RIGHTS.

A. Confidentiality. The Software is the confidential and proprietary property of Winmark or its vendors. Licensee will hold the Software in confidence and safeguard it from disclosure to third parties and will use the Software only as intended by this Agreement. Licensee will notify Winmark promptly of any unauthorized access, copying or use of the Software and will reasonably assist Winmark in prosecuting any resulting claims or proceedings.

B. Ownership. Winmark retains all title and rights, including all copyright rights, to the Software, including all modifications, updates and other works derivative of or to the Software, all of which will be subject to the provisions of this Agreement. Any configuration or deployment of the Software shall not affect or diminish Winmark's rights, title and interest in and to the Software. If Licensee suggests any new features, functionality, or performance for the Software that Winmark subsequently incorporates into the Software, such new features, functionality, or performance shall be the sole and exclusive property of Winmark.

3. TERM AND TERMINATION.

A. Term and Termination. This Agreement will continue until terminated. Winmark may terminate this Agreement upon written notice to Licensee if Licensee breaches any term of this Agreement, the Franchise Agreement or any other agreement with Winmark, or if Licensee becomes insolvent. This Agreement will automatically terminate, without any further action of the parties, upon termination of the Franchise Agreement for any reason.

B. Consequences of Termination. Upon termination of this Agreement, all licenses and rights Winmark has granted under this Agreement will terminate and Licensee will have no rights to use, sell or transfer its interest in the software. Licensee agrees to immediately return to Winmark all copies of the Software, or to destroy all Software and provide proof satisfactory to Winmark of its destruction.

4. LIMITED WARRANTY; DISCLAIMERS.

Winmark warrants to Licensee that the media on which the Software is recorded will be free from material defects in materials or workmanship under normal use for a period of ninety (90) days after delivery of the media. If during such period the media should be defective, Licensee may return the media for replacement without charge. Licensee's sole remedy in the event of a defect is expressly limited to replacement of the media. ALL SOFTWARE, INCLUDING ALL WINMARK SOFTWARE, IS PROVIDED ON AN "AS IS" BASIS. However, Winmark acknowledges its Software maintenance and repair obligations stated in Section 1 (E). THESE WARRANTIES ARE IN LIEU OF, AND WINMARK EXPRESSLY DISCLAIMS, ALL OTHER WARRANTIES RELATING TO THIS AGREEMENT OR THE SOFTWARE, WHETHER EXPRESS, IMPLIED OR STATUTORY, INCLUDING THE IMPLIED WARRANTIES OF TITLE, NONINFRINGEMENT, MERCHANTABILITY AND FITNESS FOR A PARTICULAR PURPOSE. WINMARK DOES NOT WARRANT THAT THE OPERATION OF THE SOFTWARE WILL BE UNINTERRUPTED OR ERROR FREE, THAT ALL DEFECTS WILL BE CORRECTED OR THAT THE SOFTWARE WILL MEET LICENSEE'S REQUIREMENTS.

5. LIMITATION OF LIABILITY.

WINMARK'S LIABILITY FOR ANY CLAIM RELATED TO ANY SOFTWARE OR SERVICE PROVIDED WILL BE LIMITED TO THE LESSER OF LICENSEE'S ACTUAL DAMAGE OR LOSS OR THE INITIAL FEE PAID FOR THE SOFTWARE. WINMARK WILL NOT BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL OR PUNITIVE DAMAGES, INCLUDING LOST PROFITS OR LOSS OF OR DAMAGE TO DATA INCURRED BY LICENSEE OR A THIRD PARTY, WHETHER IN AN ACTION IN CONTRACT OR TORT, EVEN IF WINMARK HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

6. INFRINGEMENT.

A. Infringement Claims. Winmark does not have actual knowledge of any claim that the Winmark Software infringes upon a third party's patent, copyright or other proprietary right. If a third party asserts such an infringement claim against Licensee, Licensee will immediately notify Winmark in writing. Winmark will have the right (but not the obligation) to defend any such claim, at Winmark's expense, and Licensee will cooperate with Winmark with respect to such defense. In the event of any such claim, Licensee will, at Winmark's direction, immediately discontinue using the Software. Winmark will either modify the Software so as to render it non-infringing or replace the Software with such other non-infringing Software as Winmark may furnish to Licensee. In either case, Winmark will do

so only if the modified or replacement Software performs substantially the same functions as the infringing Software. So long as Licensee complies with the terms hereof, Winmark will indemnify Licensee for any loss, damage, cost or expense related to such claim.

B. Limitations. Winmark will not be liable to Licensee if an infringement claim is based on use of the Software in combination with any product, software or system not delivered by Winmark, or Licensee's unauthorized use or modification of the Software. Winmark will not have any obligations regarding any infringement of any non-Winmark Software.

7. THIRD PARTY SOFTWARE.

Winmark may install certain software not owned by Winmark ("Third Party Software"). Any Third-Party Software, including related documentation, is subject to a separate license from the owner or provider of such Third-Party Software. Licensee understands and agrees that, by signing this document, Licensee will be bound by all provisions of the license governing the use of such Third-Party Software. Licensee agrees to indemnify and hold Winmark harmless from any and all losses or claims arising out of any license governing the use of any Third-Party Software.

8. GENERAL.

A. Governing Law. This Agreement will be governed by Minnesota law. Any action related to this Agreement may be brought in any court located in Minneapolis, Minnesota, and the parties consent and submit to the personal jurisdiction and venue of any such court. Winmark will be entitled to temporary and permanent injunctive relief, without posting a bond or other security, to restrain any actual or threatened violation of the provisions of this Agreement, in addition to any other remedies Winmark may have. Winmark may recover its costs and expenses (including reasonable attorneys' fees) incurred in enforcing its rights under this Agreement.

B. Scope of Agreement; Conflicting Terms. This Agreement will govern all orders for Software, and all Software Winmark provides. No purchase order, invoice or other similar form may vary the terms of this Agreement. Any term thereof that is inconsistent with or additional to the terms of this Agreement will not be binding on Winmark.

C. Assignment. Neither this Agreement nor any rights granted hereunder may be sold, leased, assigned, or otherwise transferred in whole or in part, by Licensee, and such attempted assignment shall be void and of no affect without the advance written consent of Winmark. Winmark may assign this Agreement and any and all of its rights and obligations hereunder without the consent of Licensee.

D. Binding Effect. This Agreement will be binding upon and will benefit the parties hereto and their respective successors and assigns, subject to the limitations provided herein.

E. Export Controls. Licensee agrees to comply fully with all relevant export laws and regulations of the United States, including but not limited to the U.S. Export Administration Regulations (collectively, "U.S. Export Controls"). Without limiting the generality of the foregoing, Licensee expressly agrees that it shall not, and shall cause its representatives to agree not to, export, directly or indirectly, re-export, divert, or transfer the Software to any destination, company or person restricted or prohibited by U.S. Export Controls.

F. Waivers. The failure of either party to enforce or exercise any term of or any right under this Agreement does not represent a waiver of such term or right and will not affect that party's right later

to enforce or exercise it. No modification or waiver of any of the provisions of this Agreement will be binding upon Winmark or Licensee unless it is in writing and is executed by the party against whom such modification or waiver is sought to be enforced.

G. Severability. If any provision contained in this Agreement is held invalid, such provision will not affect any other provision and the remainder of this Agreement will continue in full force and effect.

H. Entire Agreement. This Agreement is the complete and exclusive statement of the agreement of the parties regarding the subject matter hereof, and supersedes all prior or contemporaneous agreements, oral or written, and all other communications between the parties relating to the subject matter hereof. Nothing in this Agreement or any related agreement is intended to disclaim the representations made in the Franchise Disclosure Document.

I. Survival. The provisions of this Agreement which by their nature extend beyond the termination hereof will survive and remain in effect until all obligations are satisfied.

"WINMARK"

WINMARK CORPORATION

By_____
Its_____

"LICENSEE"

If "Licensee" is a corporation,

_____
(Print Corporate Name)

By_____
Its_____

If "Licensee" is one or more individuals,

_____
[Name], Individually

_____
[Name], Individually

_____
[Name], Individually

Schedule A

Software

Software	Site
Point-of-Sale (POS) and inventory management software (the Proprietary Software) - Winmark's proprietary software which is specifically designed to track various aspects of your Store, including inventory, customer tracking, vendor purchase orders and daily sales reports.	Store #: _____ Address: _____ _____ _____ _____

For Office Use Only
Winmark Corporation

By_____
Its_____

"LICENSEE"

By_____
Its_____

If "Licensee" is one or more individuals,

_____
[Name], Individually

_____
[Name], Individually

_____
[Name], Individually

EXHIBIT C
TO FRANCHISE AGREEMENT

PERSONAL GUARANTY AND AGREEMENT TO
BE BOUND PERSONALLY BY THE PROVISIONS
OF THE FRANCHISE AGREEMENT AND
SOFTWARE LICENSE AGREEMENT

Each individual who directly or indirectly owns a 10% or greater interest in Franchisee is considered a Principal Owner. All Principal Owners and their spouses must execute the following Personal Guaranty.

In consideration of Franchisor's execution of this Franchise Agreement and Software License Agreement (the "Agreements"), and for other good and valuable consideration, the undersigned, jointly and severally: (1) guarantee Franchisee's payment of all amounts due Franchisor and Franchisee's performance of the covenants and obligations in the Agreements, and any other agreements entered into by Franchisee and Franchisor; and (2) agree to be personally bound by every provision contained in the Agreements including the non-compete and confidentiality provisions and agree that this Personal Guaranty will be construed as though the undersigned executed each of the Agreements containing the identical provisions of the Agreements. If Franchisee shall default in making any payments or in the observance or performance of any obligations under the Agreement, the undersigned hereby covenant and agree to pay to Franchisor forthwith upon demand all amounts not so paid by Franchisee and all damages that may arise in consequence of any such non-observance or non-performance.

Without in any way restricting or limiting the guarantee given by the undersigned as set out above or any other rights and remedies to which Franchisor may be entitled, each of the undersigned jointly and severally covenant and agree to indemnify and save Franchisor harmless against any and all liabilities, losses, suits, claims, demands, costs, fines and actions of any kind or nature whatsoever to which Franchisor shall or may become liable for, or suffer, by reason of any breach, violation or non-performance by Franchisee of any term or condition of the Agreements, or any other agreement made between Franchisee and Franchisor.

Notwithstanding any assignment for the general benefit of creditors or any bankruptcy or any other act of insolvency by Franchisee and notwithstanding any rejection, disaffirment or disclaimer of the Agreements, the undersigned shall continue to be fully liable hereunder. Any settlement made between Franchisor and/or Franchisee and/or any party from whom the right to occupy the Franchised Location has been obtained and/or any other persons as Franchisor may see fit to deal with, or any determination made pursuant to the Agreements which is expressed to be binding upon Franchisee, shall be binding upon the undersigned.

In the enforcement of any of its rights against the undersigned, Franchisor may in its discretion proceed as if the undersigned was the primary obligor under the Agreements, or any other agreement made between Franchisee and Franchisor.

A. Each of the undersigned waives:

(1) notice of demand for payment of any indebtedness or nonperformance of any obligations hereby guaranteed;

(2) protest and notice of default to any party respecting the indebtedness or nonperformance of any obligations hereby guaranteed; and

(3) any right he/she may have to require that an action be brought against Franchisee or any other person as a condition of liability.

B. Each of the undersigned consents and agrees that:

(1) he/she will provide any payment or performance required under the Agreements upon demand if Franchisee fails or refuses to do so;

(2) such liability will not be contingent or conditioned upon Franchisor's pursuit of any remedies against Franchisee or any other person; and

(3) such liability will not be diminished, relieved or otherwise affected by Franchisee's insolvency, bankruptcy or reorganization, the invalidity, illegality or unenforceability of all or any part of the Agreements, or the amendment or extension of the Agreements with or without notice to the undersigned.

IN WITNESS WHEREOF, each of the undersigned has signed this Guaranty on the same day and year as the Agreements were signed.

PERSONAL GUARANTORS:

_____
Individually

_____
Address

_____
Individually

_____
Address

_____
Individually

_____
Address

_____
Individually

_____
Address

EXHIBIT D
TO FRANCHISE AGREEMENT

ADDITIONAL STORE ADDENDUM TO
ONCE UPON A CHILD® FRANCHISE AGREEMENT

ADDITIONAL STORE ADDENDUM TO
ONCE UPON A CHILD® FRANCHISE AGREEMENT

This Addendum is entered into as of the _____ day of _____, 20__, by and among Winmark Corporation ("Franchisor"), and _____ ("Franchisee").

BACKGROUND:

Franchisor and Franchisee are, on this day, entering into a Once Upon A Child® Franchise Agreement (the "Franchise Agreement"), whereby Franchisee will be granted the right to develop and operate a Once Upon A Child® store at the location stated in the Franchise Agreement (the "Store"). Franchisee currently owns one or more existing stores franchised under one of Franchisor's concepts. Franchisor and Franchisee agree to the following modifications to the Franchise Agreement.

AGREEMENTS:

In consideration of the foregoing, the parties agree as follows:

1. Initial Franchise Fee. Subject to the provisions stated herein, Section 4 of the Franchise Agreement is amended to provide that Franchisee will pay an Initial Franchise Fee of Fifteen Thousand Dollars ($15,000), which will be due and payable on the date of the Franchise Agreement.

2. Franchisor's Obligations. Franchisor and Franchisee agree that Franchisor may, but will not be required to, provide location, training or opening assistance as described in Sections 7(A), (D) and (E) of the Franchise Agreement.

3. Construction. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

IN WITNESS WHEREOF, the parties have executed this Addendum as of the day and year first above written.

FRANCHISOR:

WINMARK CORPORATION

By_____
Its _____

FRANCHISEE:

_____
(Name of Corporation)

By_____
Its_____

or
(Individuals)

_____

_____

EXHIBIT E

Bank Draft Authorization

WINMARK CORPORATION
(ONCE UPON A CHILD® BRAND)
Store #_____
AUTHORIZATION AGREEMENT FOR PREAUTHORIZED PAYMENTS

The undersigned Account Holder hereby authorizes Winmark Corporation ("Winmark") to initiate debit entries to the accounts indicated below in the amounts Winmark will determine weekly for continuing fees, periodic marketing fees and other fees assessed pursuant to Account Holder's Once Upon A Child® Franchise Agreement. The undersigned Account Holder authorizes the depository named below to debit the same to such account each week.

Bank Name, Location & Phone	Bank Routing Number[(a)]	Type of Account[(b)]	Account Number[(c)]
	(a) Pre-encoded nine-digit number at bottom left of check		
	(b) Checking or Savings		
	(c) Pre-encoded number at bottom middle of check		

This authorization is to remain in full force and effect until the depository listed above has received written notification from both Winmark and the undersigned Account Holder that the Franchise Agreement has terminated or Winmark has agreed to receive payments by alternative means.

The undersigned Account Holder agrees to be responsible for, and to pay on demand, all costs or charges relating to the handling of the debit entries pursuant to this authorization. The undersigned Account Holder agrees to indemnify Winmark and the Bank for any loss or cost arising in the event that any such debit shall be dishonored, whether with or without cause and whether intentionally or inadvertently. In addition, Account Holder shall pay Winmark $30.00 for each debit that is dishonored.

If Account Holder is a corporation:

Corporation Name: _____

Printed Name: _____

Signature: _____

Its: _____

Federal Tax ID Number: _____

Address: _____

City: _____ State: _____

Zip: _____ Phone: _____

Date: _____

If Account Holder is an individual:

Printed Name: _____

Signature: _____

Address: _____

City: _____ State: _____

Zip: _____ Phone: _____

Date: _____

Winmark Corporation Contact Information:

Account Services Administrator
Winmark Corporation
605 Highway 169 N Suite 400
Minneapolis, MN 55441
(763) 520-8436 or (800) 645-7299 ext. 436

Note: Please attach a voided check to the completed copy of this form when returned.

EXHIBIT F

Franchisee Questionnaire

FRANCHISEE QUESTIONNAIRE

If you are a resident of the State of California or your franchise is located in California you are not required to sign this Questionnaire. If any California franchisee completes this Questionnaire, it is against California public policy and will be void and unenforceable, and we will destroy, disregard, and will not rely on such Questionnaire.

Do not sign this Questionnaire if you are a resident of Maryland or the business is to be operated in Maryland.

The Questionnaire may not be signed or used if the franchisee resides within, or if the franchised business will be located within, the State of Hawaii or Washington.

As you know, Winmark Corporation (the "Franchisor") and you are preparing to enter into a Franchise Agreement for the operation of a Once Upon A Child® franchised business (the "Franchise"). The purpose of this Questionnaire is to determine whether any statements or promises were made to you that the Franchisor has not authorized and that may be untrue, inaccurate or misleading. Please review each of the following questions carefully and provide honest responses to each question. Your answers are important to us and we will rely on them.

Acknowledgments and Representations.

1. Have you received, studied and reviewed carefully the Franchisor's Disclosure Document and Franchise Agreement? Check one: (_) No (_) Yes. If no, please comment:_____

2. Do you understand that any training, support, guidance or tools we provide to you as part of the franchise are for the purpose of protecting the Once Upon A Child® brand and trademarks and to assist you in the operation of your business and not for the purpose of controlling or in any way intended to exercise or exert control over your decisions or day-to-day operations of your business, including your sole responsibility for the hiring, wages and other compensation (including benefits), training, supervision and termination of your employees and all other employment and employee related matters? Check one: (_) No (_) Yes. If no, please comment: _____

3. Was any oral, written or visual claim or representation made to you which contradicted the disclosures in the Disclosure Document? Check one: (_) No (_) Yes. If yes, please state in detail the oral, written or visual claim or representation: _____
_____

4. New and Additional Stores only: Except as stated in Franchisor's Disclosure Document, was any oral, written or visual claim or representation made to you which stated, suggested, predicted or projected your sales, expenses, income or profit levels. Check one: (_) No (_) Yes. If yes, please state in detail the oral, written or visual claim or representation:_____
_____
(If more space needed, continue on a separate sheet and attach).

5. New and Additional Stores only: Do you understand and acknowledge that the Initial Franchise Fee is non-refundable? Check one: (_) No (_) Yes

This Questionnaire does not waive any liability the franchisor may have under the Washington Franchise Investment Protection Act, RCW 19.100, and the rules adopted thereunder.

Signed:_____

Print Name (and Title):_____

Date:_____

APPROVED ON BEHALF OF
WINMARK CORPORATION

By: _____

Title: _____

Date: _____

Signed:_____

Print Name (and Title):_____

Date:_____

EXHIBIT G

List of State Administrators/Agents for Service of Process

CALIFORNIA
Commissioner of the Department of
Financial Protection and Innovation
320 West 4th Street, Suite 750
Los Angeles, CA 90013-1105
1-866-275-2677 (toll free)
Ask.DFPI@dfpi.ca.gov (email)

HAWAII
Commissioner of Securities of the
State of Hawaii
Department of Commerce and
Consumer Affairs
Business Registration Division
Securities Compliance Branch
335 Merchant Street, Room 205
Honolulu, Hawaii 96813
808-586-2722

ILLINOIS
Attorney General State of Illinois
500 South Second Street
Springfield, Illinois 62701
217-782-4465

INDIANA
Agent to Receive Service of Process
Indiana Secretary of State
200 W. Washington Street
Indianapolis, Indiana 46204
317-232-6531

State Administrator
Indiana Securities Commissioner
302 West Washington, Room E-111
Indianapolis, Indiana 46204
317-232-6681

MARYLAND
Agent to Receive Service of Process
Maryland Securities Commissioner
Securities Division
200 St. Paul Place
Baltimore, Maryland 21202-2020
410-576-6360

State Administrator
Office of the Attorney General
Securities Division
200 St. Paul Place
Baltimore, Maryland 21202

MICHIGAN
Michigan Dept. of Attorney General
Corporate Oversight Division
G. Mennen Williams Bldg, 5th Fl
525 West Ottawa Street
Lansing, Michigan 48909
517-373-7117

MINNESOTA
Commissioner of Commerce
Minnesota Department of Commerce
85-7th Place East, Suite 280
St. Paul, Minnesota 55101
651-539-1600

NEW YORK
Agent to Receive Service of Process
Secretary of State
99 Washington, Ave., 6th Floor
Albany, New York 12231
518-473-2492

State Administrator
New York State Department of Law
Investor Protection Bureau
28 Liberty Street, 21st Floor
New York, NY 10005
212-416-8222

NORTH DAKOTA
Agent to Receive Service of Process
Insurance Commissioner
North Dakota Insurance & Securities
Department
600 East Boulevard Avenue, Dept. 401
Bismarck, North Dakota 58505
701-328-2910

State Administrator
North Dakota Insurance & Securities
Department
600 East Boulevard Avenue, Dept. 401
Bismarck, North Dakota 58505
701-328-2910

RHODE ISLAND
Director
R.I. Dept. of Bus. Regulation
Securities Division
1511 Pontiac Avenue
Cranston, Rhode Island 02920
401-462-9527

SOUTH DAKOTA
Department of Labor & Regulation
Division of Insurance - Securities Regulation
124 S. Euclid, Suite 104
Pierre, South Dakota 57501
605-773-3563

VIRGINIA
Clerk, State Corporation Commission
Tyler Building, 1st Floor
1300 East Main Street
Richmond, Virginia 23219
804-371-9733

WASHINGTON
Agent to Receive Service of Process
Director of Dept. of Financial Institutions
Securities Division
150 Israel Rd SW
Tumwater, WA 98501
360-902-8760

State Administrator
Washington Dept. of Financial Institutions
Securities Division
PO Box 41200
Olympia, WA 98504-1200
360-902-8760

WISCONSIN
Administrator, Division of Securities
Department of Financial Institutions
4822 Madison Yards Way, North Tower
Madison, Wisconsin 53705
608-266-2139

EXHIBIT H

State Specific Addenda

CALIFORNIA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

For prospective franchisees subject to California statute, the following information modifies the corresponding disclosures in the Once Upon A Child® Franchise Disclosure Document.

The registration of this franchise offering by the California Department of Financial Protection and Innovation does not constitute approval, recommendation, or endorsement by the commissioner.

1. OUR WEBSITE HAS NOT BEEN REVIEWED OR APPROVED BY THE CALIFORNIA DEPARTMENT OF FINANCIAL PROTECTION & INNOVATION, ANY COMPLAINTS CONCERNING THE CONTENT OF THIS WEBSITE MAY BE DIRECTED TO THE CALIFORNIA DEPARTMENT OF FINANCIAL PROTECTION & INNOVATION AT WWW.DFPI.CA.GOV.

2. THE CALIFORNIA FRANCHISE INVESTMENT LAW REQUIRES THAT A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE BE DELIVERED TOGETHER WITH THE FRANCHISE DISCLOSURE DOCUMENT AT LEAST 14 DAYS PRIOR TO EXECUTION OF ANY AGREEMENT.

3. Section 31125 of the California Corporations Code requires the Franchisor to give the Franchisee a disclosure document, in a form and containing such information as the commissioner may by rule or order require, prior to a solicitation of a proposed material modification of an existing franchise.

4. Item 3 is amended to provide that neither Winmark nor any other person identified in Item 2 is subject to any currently effective order of any national securities association or national securities exchange, as defined in the Securities Exchange Act of 1934, 15 U.S.C.A. 78a et seq., suspending or expelling such persons from membership in such association.

5. Item 6 of the FDD is amended to add the following sentence under the "Amount" column of "Interest Expenses" which are payable if Continuing Fee or other amounts due Winmark are not timely paid:

The maximum interest rate in California is 10%.

6. Item 17 of the FDD is amended to include the following provisions:

California Business and Professions Code Sections 20000 through 20043 provide rights to the franchisee concerning termination, transfer or non-renewal of a franchise. If the franchise agreement contains a provision that is inconsistent with the law, the law will control.

The Franchise Agreement provides for termination upon bankruptcy. This provision may not be enforceable under federal bankruptcy law (11 U.S.C.A. Sec. 101 *et seq.*).

The Franchise Agreement contains a covenant not to compete which extends beyond the termination of the franchise. A contract that restrains a former franchisee from engaging in a lawful trade or business may be void under California Business and Professions Code Section 16600.

Section 11 of the Franchise Agreement contains a liquidated damages clause. Under California Civil Code Section 1671, certain liquidated damages clauses are unenforceable.

For Franchisees operating outlets located in California, the California Franchise Investment Law and the California Franchise Relations Act will apply regardless of the choice of law or dispute resolution venue stated elsewhere. Any language in the Franchise Agreement or any amendment thereto or any agreement to the contrary is superseded by this condition.

The Franchise Agreement requires binding arbitration. The arbitration will occur at Minneapolis, Minnesota. The non-prevailing party will pay all costs and expenses, including reasonable attorney's fees, incurred by the prevailing party in any arbitration. This provision may not be enforceable under California law.

The Franchise Agreement requires that arbitration take place in Minneapolis, Minnesota. Prospective franchisees are encouraged to consult legal counsel to determine the applicability of California and federal laws (such as Business and Professions Code Section 20040.5, Code of Civil Procedure Section 1281, and the Federal Arbitration Act) to any provisions of an agreement restricting venue to a forum outside the State of California.

7. You must sign a general release if you renew or transfer your franchise. California Corporations Code §31512 voids a waiver of your rights under the Franchise Investment Law (California Corporations Code §§31000 through 31516). Business and Professions Code §20010 voids a waiver of your rights under the Franchise Relations Act (Business and Professions Code §§20000 through 20043).

8. No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

9. California's Franchise Investment Law (Corporations Code sections 31512 and 31512.1) states that any provision of a Franchise Agreement or related document requiring the franchisee to waive specific provisions of the law is contrary to public policy and is void and unenforceable. The law also prohibits a franchisor from disclaiming or denying (i) representations it, its employees, or its agents make to you, (ii) your ability to rely on any representations it makes to you, or (iii) any violations of the law.

CALIFORNIA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement to provide as follows:

1. The maximum interest rate is California is 10%.

2. Section 11 of the Franchise Agreement contains a liquidated damages clause. Under California Civil Code Section 1671, certain liquidated damages clauses are unenforceable.

3. Section 15 of the Franchise Agreement provides for termination upon bankruptcy. This provision may not be enforceable under federal bankruptcy law (11 U.S.C.A. Sec. 101 *et seq.*).

4. Section 18.B of the Franchise Agreement contains a covenant not to compete which extends beyond the term of the franchise. A contract that restrains a former franchisee from engaging in a lawful trade or business may be void under California Business and Professions Code Section 16600.

5. For Franchisees operating outlets located in California, the California Franchise Investment Law and the California Franchise Relations Act will apply regardless of the choice of law or dispute resolution venue stated elsewhere. Any language in the Franchise Agreement or any amendment thereto or any agreement to the contrary is superseded by this condition.

6. Section 19 of the Franchise Agreement requires binding arbitration. The arbitration will occur in Minneapolis, Minnesota. The non-prevailing party will pay all costs and expenses, including reasonable attorney's fees, incurred by the prevailing party in any arbitration. This provision may not be enforceable under California law.

7. Section 19 of the Franchise Agreement requires that arbitration take place in Minneapolis, Minnesota. Prospective franchisees are encouraged to consult legal counsel to determine the applicability of federal and state laws to any provisions of an agreement restricting venue to a forum outside the State of California.

8. Section 20.B of the Franchise Agreement is amended to include the following:

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

9. Section 22 of the Franchise Agreement is deleted in its entirety.

10. The following sentence is deleted from the signature page of the Franchise Agreement:

FRANCHISOR DISCLAIMS ANY WARRANTY OR REPRESENTATION AS TO THE POTENTIAL SUCCESS OF FRANCHISEE'S BUSINESS OPERATIONS UNDER THIS AGREEMENT.

11. California's Franchise Investment Law (Corporations Code sections 31512 and 31512.1) states that any provision of a Franchise Agreement or related document requiring the franchisee to waive specific provisions of the law is contrary to public policy and is void and unenforceable. The law also prohibits a franchisor from disclaiming or denying (i) representations it, its employees, or its agents make to you, (ii) your ability to rely on any representations it makes to you, or (iii) any violations of the law.

12. In all other respects, the Franchise Agreement will be construed and enforced according to its terms.

_____	_____
Franchisor's Initials	Franchisee's Initials

HAWAII ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

THESE FRANCHISES HAVE BEEN FILED UNDER THE FRANCHISE INVESTMENT LAW OF THE STATE OF HAWAII. FILING DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE DIRECTOR OF REGULATORY AGENCIES OR A FINDING BY THE DIRECTOR OF REGULATORY AGENCIESTHAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.

THE FRANCHISE INVESTMENT LAW MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, OR SUBFRANCHISOR, AT LEAST SEVEN DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE OF ANY BINDING FRANCHISE OR OTHER AGREEMENT, OR AT LEAST SEVEN DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION BY THE FRANCHISEE, OR SUBFRANCHISOR, WHICHEVER OCCURS FIRST, A COPY OF THE OFFERING CIRCULAR, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE SALE OF THE FRANCHISE.

THIS OFFERING CIRCULAR CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR A STATEMENT OF ALL RIGHTS, CONDITIONS, RESTRICTIONS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.

1. The Disclosure Document is amended to include the following information:

A. The states in which this registration is effective or exempt from registration:

California, Hawaii, Illinois, Indiana, Maryland, Minnesota, New York, North Dakota, Rhode Island, South Dakota, Virginia, Washington and Wisconsin

B. The states in which this proposed registration is or will be shortly on file, or is or will shortly be exempt from registration:

California, Hawaii, Illinois, Indiana, Maryland, Minnesota, New York, North Dakota, Rhode Island, South Dakota, Virginia, Washington and Wisconsin

C. The states, if any, which have refused, by order or otherwise, to register these franchises: None

D. The states, if any, which have revoked or suspended the right to offer these franchises: None

E. The states, if any, in which the proposed registration of these franchises has been withdrawn: None

2. Items 5 and 7 of the Franchise Disclosure Document are amended to include the following information:

> For Hawaii franchisees, the State of Hawaii requires us to defer payment of the Initial Franchise Fees until we have completed our pre-opening obligations and you have opened your Store for business. This financial assurance requirement was imposed because of Winmark's current financial condition.

3. No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

HAWAII ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement to provide as follows:

1. Section 4 of the Franchise Agreement is amended to include the following:

Payment of all Initial Franchise Fees to Franchisor by Hawaii franchisees will be deferred until Franchisor has met its pre-opening obligations and Franchisee has opened the Store.

2. Section 20.B of the Franchise Agreement is amended to include the following:

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

3. In all other respects, the Franchise Agreement will be construed and enforced according to its terms.

Franchisor's Initials	Franchisee's Initials

ILLINOIS ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

Item 5 of the Franchise Disclosure Document is revised to include the following provisions:

> All Initial Franchise Fees paid to Winmark by Illinois franchisees are required to be placed in escrow. The Illinois Attorney General imposed the escrow requirement because of Winmark's financial condition. Winmark has entered into an Escrow Agreement with US Bank, N.A. dated July 9, 2015. You should make your checks for the Initial Franchise Fees described in Item 5 payable to "Winmark Corporation, US Bank as Depository." This Escrow Agreement is on file with the Franchise Examiner, Office of the Attorney General, 500 South 2nd Street, Springfield, Illinois 62706.

> Illinois law governs the Franchise Agreement.

In conformance with Section 4 of the Illinois Franchise Disclosure Act, any provision in a franchise agreement that designates jurisdiction and venue in a forum outside of the State of Illinois is void. However, a franchise agreement may provide for arbitration to take place outside of Illinois.

Franchisees' rights upon Termination and Non-Renewal are set forth in sections 19 and 20 of the Illinois Franchise Disclosure Act.

In conformance with Section 41 of the Illinois Franchise Disclosure Act, any condition, stipulation or provision purporting to bind any person acquiring any franchise to waive compliance with the Illinois Franchise Disclosure Act or any other law of Illinois is void. This Section shall not prevent any person from entering into a settlement agreement or executing a general release regarding a potential or actual lawsuit filed under any of the provisions of this Act, nor shall it prevent the arbitration of any claim pursuant to the provisions of Title 9 of the United States Code.

> No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

ILLINOIS ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement as follows:

1. Section 4 is amended to include the following:

> All Initial Franchise Fees paid to Franchisor by Illinois franchisees will be placed in escrow at US Bank, N.A. until Franchisor has met its pre-opening obligations and Franchisee has opened the Store.

2. Section 19 is amended to include the following:

> Any provision in a franchise agreement that designates jurisdiction or venue in a forum outside of Illinois is void provided that a franchise agreement may provide for arbitration in a forum outside of Illinois.

3. Section 20.B of the Franchise Agreement is amended to include the following:

> No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

4. Section 20.D of the Franchise Agreement is amended to provide that Illinois law will govern the Franchise Agreement and any related agreement which specifically states that the governing law provision stated in the Franchise Agreement will govern.

5. Section 20.G of the Franchise Agreement is amended by deletion of the second sentence and the addition of the following:

> This Agreement and the Disclosure Document delivered to Franchisee in connection with this Agreement supercede and terminate any prior oral or written understandings or agreements between Franchisor and Franchisee relating to the subject matter of this Agreement and such Disclosure Document.

6. Section 22.A of the Franchise Agreement is amended by deletion of the second sentence in such provision.

7. Section 22.D of the Franchise Agreement is amended by the deletion of such provision.

8. Franchisees' rights upon Termination and Non-Renewal are set forth in sections 19 and 20 of the Illinois Franchise Disclosure Act.

9. Section 41 of the Illinois Franchise Disclosure Act states that "any condition, stipulation, or provision purporting to bind any person acquiring any franchise to waive compliance with any provision of this Act or any other law of this State is void." This Section shall not prevent any person from entering into a settlement agreement or executing a general release regarding a potential or actual lawsuit filed under any

of the provisions of this Act, nor shall it prevent the arbitration of any claim pursuant to the provisions of Title 9 of the United States Code.

10. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

(Franchisor's Initials)	(Franchisee's Initials)

ILLINOIS ADDENDUM TO
ONCE UPON A CHILD®
SOFTWARE LICENSE AGREEMENT

In consideration of the execution of the Software License Agreement (the "Software Agreement"), Franchisor and Franchisee agree to amend the Software Agreement as follows:

1. Section 8(A) of the Software Agreement is amended to provide that the Illinois Franchise Disclosure Act will govern the Software Agreement.

2. In all other respects, the Software Agreement will be construed and enforced with its terms.

Dated this _____ day of _____, 20___.

_____ _____
(Winmark's Initials) (Franchisee's Initials)

MARYLAND ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

1. Item 5 of the Franchise Disclosure Document is revised to include the following provision:

   Based upon the franchisor's financial condition, the Maryland Securities Commissioner has required a financial assurance. Therefore, all initial fees and payments owed by franchisees shall be deferred until the franchisor completes its pre-opening obligations under the franchise agreement.

2. Item 17 of the Franchise Disclosure Document is revised to include the following provisions:

   Termination by Winmark. The Franchise Agreement provides for termination if you are insolvent under any applicable state or federal law. This provision may not be enforceable under federal bankruptcy law (11 U.S.C. Section 101 et seq.).

   Limitation of Actions. Any claims arising under the Maryland Franchise Registration and Disclosure Law must be brought by the earlier of: (i) four (4) years after the franchise is granted; or (ii) two (2) years after the date the franchisee opened to the public.

   Dispute Resolution by Arbitration. This Franchise Agreement provides that disputes are resolved through arbitration. A Maryland franchise regulation states that it is an unfair or deceptive practice to require a franchisee to waive its right to file a lawsuit in Maryland claiming a violation of the Maryland Franchise Law. In light of the Federal Arbitration Act, there is some dispute as to whether this forum selection requirement is legally enforceable.

3. The Franchise Disclosure Document is revised to include the following provision:

   No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

MARYLAND ADDENDUM TO
ONCE UPON A CHILD® FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement as follows:

1. Background (B) Section of the Franchise Agreement is deleted in its entirety.

2. Section 4 of the Franchise Agreement is amended to include the following:

   Based upon Franchisor's financial condition, the Maryland Securities Commissioner has required a financial assurance. Therefore, all initial fees and payments owed by Franchisee shall be deferred until Franchisor completes its pre-opening obligations under the Franchise Agreement.

3. Section 16.B of the Franchise Agreement is amended to provide that any claims arising under the Maryland Franchise Registration and Disclosure Law must be brought by the earlier of: (i) four (4) years after the franchise is granted; or (ii) two (2) years after the date the franchise opened to the public.

4. Section 19.A of the Franchise Agreement is amended to include the following:

   This Franchise Agreement provides that disputes are resolved through arbitration. A Maryland franchise regulation states that it is an unfair or deceptive practice to require a franchisee to waive its right to file a lawsuit in Maryland claiming a violation of the Maryland Franchise Law. In light of the Federal Arbitration Act, there is some dispute as to whether this forum selection requirement is legally enforceable.

5. Section 20.B of the Franchise Agreement is amended to include the following:

   No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

6. Section 22 (Acknowledgments) of the Franchise Agreement is deleted in its entirety.

7. The following sentence is deleted from the signature page of the Franchise Agreement.
   FRANCHISOR DISCLAIMS ANY WARRANTY OR REPRESENTATION AS TO THE POTENTIAL SUCCESS OF FRANCHISEE'S BUSINESS OPERATIONS UNDER THIS AGREEMENT.

8. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

Dated this ___ day of _____, 20__.

FRANCHISOR:

By _____
Its _____

FRANCHISEE:

By _____
Its _____

MARYLAND ADDENDUM TO
ONCE UPON A CHILD®
SOFTWARE LICENSE AGREEMENT

In consideration of the execution of the Software License Agreement (the "Software Agreement"), Winmark and Franchisee agree to amend the Software Agreement as follows:

1. Section 8(A) of the Software Agreement is amended to provide that a Maryland franchisee may bring an action relating to the Software Agreement in Maryland for claims arising under the Maryland Franchise Registration and Disclosure Law.

2. In all other respects, the Software Agreement will be construed and enforced with its terms.

Winmark's Initials	Franchisee's Initials

NOTICE REQUIRED
BY
STATE OF MICHIGAN

THE STATE OF MICHIGAN PROHIBITS CERTAIN UNFAIR PROVISIONS THAT ARE SOMETIMES IN FRANCHISE DOCUMENTS. IF ANY OF THE FOLLOWING PROVISIONS ARE IN THESE FRANCHISE DOCUMENTS, THE PROVISIONS ARE VOID AND CANNOT BE ENFORCED AGAINST YOU.

Each of the following provisions is void and unenforceable if contained in any documents relating to a franchise:

(a) A prohibition on the right of a franchisee to join an association of franchisees.

(b) A requirement that a franchisee assent to a release, assignment, novation, waiver, or estoppel which deprives a franchisee of rights and protections provided in this act. This shall not preclude a franchisee, after entering into a franchise agreement, from settling any and all claims.

(c) A provision that permits a franchisor to terminate a franchise prior to the expiration of its term except for good cause. Good cause shall include the failure of the franchisee to comply with any lawful provision of the franchise agreement and to cure such failure after being given written notice thereof and a reasonable opportunity, which in no event need be more than 30 days, to cure such failure.

(d) A provision that permits a franchisor to refuse to renew a franchise without fairly compensating the franchisee by repurchase or other means for the fair market value at the time of expiration of the franchisee's inventory, supplies, equipment, fixtures, and furnishings. Personalized materials which have no value to the franchisor and inventory, supplies, equipment, fixtures, and furnishings not reasonably required in the conduct of the franchise business are not subject to compensation. This subsection applies only if: (i) the term of the franchise is less than 5 years and (ii) the franchisee is prohibited by the franchise or other agreement from continuing to conduct substantially the same business under another trademark, service mark, trade name, logotype, advertising, or other commercial symbol in the same area subsequent to the expiration of the franchise or the franchisee does not receive at least 6 months advance notice of franchisor's intent not to renew the franchise.

(e) A provision that permits the franchisor to refuse to renew a franchise on terms generally available to other franchisees of the same class or type under similar circumstances. This section does not require a renewal provision.

(f) A provision requiring that arbitration or litigation be conducted outside this state. This shall not preclude the franchisee from entering into an agreement, at the time of arbitration, to conduct arbitration at a location outside this state.

(g) A provision which permits a franchisor to refuse to permit a transfer of ownership of a franchise, except for good cause. This subdivision does not prevent a franchisor from

exercising a right of first refusal to purchase the franchise. Good cause shall include, but is not limited to:

(i) The failure of the proposed transferee to meet the franchisor's then-current reasonable qualifications or standards.

(ii) The fact that the proposed transferee is a competitor of the franchisor or subfranchisor.

(iii) The unwillingness of the proposed transferee to agree in writing to comply with all lawful obligations.

(iv) The failure of the franchisee or proposed transferee to pay any sums owing to the franchisor or to cure any default in the franchise agreement existing at the time of the proposed transfer.

(h) A provision that requires the franchisee to resell to the franchisor items that are not uniquely identified with the franchisor. This subdivision does not prohibit a provision that grants to a franchisor a right of first refusal to purchase the assets of a franchise on the same terms and conditions as a bona fide third party willing and able to purchase those assets, nor does this subdivision prohibit a provision that grants the franchisor the right to acquire the assets of a franchise for the market or appraised value of such assets if the franchisee has breached the lawful provisions of the franchise agreement and has failed to cure the breach in the manner provided in subdivision (c).

(i) A provision which permits the franchisor to directly or indirectly convey, assign, or otherwise transfer its obligations to fulfill contractual obligations to the franchisee unless provision has been made for providing the required contractual services.

The fact that there is a notice of this offering on file with the attorney general does not constitute approval, recommendation, or endorsement by the attorney general.

Any questions regarding this notice should be directed to the Department of Attorney General, State of Michigan, Corporate Oversight Division, Franchise Section, G. Mennen Williams Building, 5th Floor, 525 West Ottawa Street, Lansing, Michigan 48913, telephone (517) 335-7567.

MINNESOTA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

THIS FRANCHISE HAS BEEN REGISTERED UNDER THE MINNESOTA FRANCHISE ACT. REGISTRATION DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE COMMISSIONER OF COMMERCE OF MINNESOTA OR A FINDING BY THE COMMISSIONER THAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.

THE MINNESOTA FRANCHISE ACT MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WHICH IS SUBJECT TO REGISTRATION WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, AT LEAST 7 DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE OF ANY BINDING FRANCHISE OR OTHER AGREEMENT, OR AT LEAST 7 DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION, BY THE FRANCHISEE, WHICHEVER OCCURS FIRST, A COPY OF THIS PUBLIC OFFERING STATEMENT, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE FRANCHISE. THIS PUBLIC OFFERING STATEMENT CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR AN UNDERSTANDING OF ALL RIGHTS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.

Item 13 of the Franchise Disclosure Document is revised for Minnesota franchisees to include the following language:

> Winmark will indemnify you for damages for which you are held liable in any proceeding arising out of the use of the Once Upon A Child® mark, provided you have used the Mark properly and have notified Winmark of any claim against you within 10 days of your knowledge of the claim. Winmark will have sole control of any litigation involving the Marks. Winmark's indemnification obligation will not apply to any franchisee residing outside the state of Minnesota who purchases a franchise to be located outside of Minnesota.

Item 17 of the Franchise Disclosure Document is revised for Minnesota franchisees to include the following language:

> With respect to franchises governed by Minnesota law, Winmark will comply with Minn. Stat. Sec. 80C.14, Subds. 3, 4 and 5 which require, except in certain specified cases, that a franchisee be given 90 days notice of termination (with 60 days to cure) and 180 days notice for non-renewal of the franchise agreement.

The Franchise Disclosure Document is revised to include the following provision:

> Minnesota Statutes, Section 80C.21 and Minnesota Rules 2860.4400(J) prohibit the franchisor from requiring litigation to be conducted outside Minnesota,

requiring waiver of a jury trial, or requiring the franchisee to consent to liquidated damages, termination penalties or judgment notes. In addition, nothing in the Franchise Disclosure Document or agreement(s) can abrogate or reduce (1) any of the franchisee's rights as provided for in Minnesota Statutes, Chapter 80C or (2) franchisee's rights to any procedure, forum, or remedies provided for by the laws of the jurisdiction.

The franchisee cannot consent to the franchisor obtaining injunctive relief. The franchisor may seek injunctive relief. See Minn. Rules 2860.4400J. Also, a court will determine if a bond is required.

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

We are prohibited from requiring you to assent to a release, assignment, novation or waiver that would relieve any person from liability imposed by Minnesota Statutes, Sections 80C.01 to 80C.22, provided that the foregoing shall not bar the voluntary settlement of disputes.

We will comply with Minnesota Statute Section 80C.17 Subd. 5 with respect to limitation of claims.

NSF checks are governed by Minnesota Statute Section 604.113, which puts a limit of $30 on service charges.

_____	_____
Franchisee's Initials	Winmark's Initials

MINNESOTA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement as follows:

1. **THIS FRANCHISE HAS BEEN REGISTERED UNDER THE MINNESOTA FRANCHISE ACT. REGISTRATION DOES NOT CONSTITUTE APPROVAL, RECOMMENDATION OR ENDORSEMENT BY THE COMMISSIONER OF COMMERCE OF MINNESOTA OR A FINDING BY THE COMMISSIONER THAT THE INFORMATION PROVIDED HEREIN IS TRUE, COMPLETE AND NOT MISLEADING.**

2. **THE MINNESOTA FRANCHISE ACT MAKES IT UNLAWFUL TO OFFER OR SELL ANY FRANCHISE IN THIS STATE WHICH IS SUBJECT TO REGISTRATION WITHOUT FIRST PROVIDING TO THE PROSPECTIVE FRANCHISEE, AT LEAST 7 DAYS PRIOR TO THE EXECUTION BY THE PROSPECTIVE FRANCHISEE OF ANY BINDING FRANCHISE OR OTHER AGREEMENT, OR AT LEAST 7 DAYS PRIOR TO THE PAYMENT OF ANY CONSIDERATION, BY THE FRANCHISEE, WHICHEVER OCCURS FIRST, A COPY OF THIS PUBLIC OFFERING STATEMENT, TOGETHER WITH A COPY OF ALL PROPOSED AGREEMENTS RELATING TO THE FRANCHISE. THIS PUBLIC OFFERING STATEMENT CONTAINS A SUMMARY ONLY OF CERTAIN MATERIAL PROVISIONS OF THE FRANCHISE AGREEMENT. THE CONTRACT OR AGREEMENT SHOULD BE REFERRED TO FOR AN UNDERSTANDING OF ALL RIGHTS AND OBLIGATIONS OF BOTH THE FRANCHISOR AND THE FRANCHISEE.**

3. Minnesota Statutes, Section 80C.21 and Minnesota Rules 2860.4400(J) prohibit the franchisor from requiring litigation to be conducted outside Minnesota, requiring waiver of a jury trial, or requiring the franchisee to consent to liquidated damages, termination penalties or judgment notes. In addition, nothing in the Franchise Disclosure Document or agreement (s) can abrogate or reduce (1) any of the franchisee's rights as provided for in Minnesota Statutes, Chapter 80C or (2) franchisee's rights to any procedure, forum, or remedies provided for by the laws of the jurisdiction.

4. The franchisee cannot consent to the franchisor obtaining injunctive relief. The franchisor may seek injunctive relief. See Minn. Rules 2860.4400J. Also, a court will determine if a bond is required.

5. Section 3 of the Franchise Agreement is revised to include the following language:

   Franchisor will indemnify a Minnesota Franchisee for damages for which such Franchisee is held liable in any proceeding arising out of the use of the "Once Upon A Child" mark, provided that Franchisee has used the mark properly and has notified Franchisor of any claim against Franchisee within ten (10) days of Franchisee's knowledge of such claim. Franchisor will have sole control of any litigation involving the Marks. Franchisor's indemnification obligation will not apply to any franchisee residing outside the state of Minnesota who purchases a franchise to be located outside of Minnesota.

6. Section 15.C of the Franchise Agreement is revised to include the following language:

   With respect to franchises governed by Minnesota law, Franchisor will comply with Minnesota Stat. Sec. 80C.14, Subds. 3, 4 and 5 which require that, except in certain specified cases, Franchisee be given 90 days notice of termination (with 60 days to cure) and 180 days notice for non-renewal of the Agreement.

7. Section 18 of the Franchise Agreement is amended to include the following:

   Franchisee cannot consent to the Franchisor obtaining injunctive relief. We may seek injunctive relief. A court will determine if a bond is required.

8. Section 20.B of the Franchise Agreement is amended to include the following:

   No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

9. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

Franchisor's Initials	Franchisee's Initials

NEW YORK ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

The following information applies to franchises and franchisees subject to New York statutes and regulations. Item numbers correspond to those in the main body.

1. The following information is added to the cover page of the Franchise Disclosure Document:

   INFORMATION COMPARING FRANCHISORS IS AVAILABLE. CALL THE STATE ADMINISTRATORS LISTED IN EXHIBIT G OR YOUR PUBLIC LIBRARY FOR SERVICES OR INFORMATION. REGISTRATION OF THIS FRANCHISE BY NEW YORK STATE DOES NOT MEAN THAT NEW YORK STATE RECOMMENDS IT OR HAS VERIFIED THE INFORMATION IN THIS FRANCHISE DISCLOSURE DOCUMENT. IF YOU LEARN THAT ANYTHING IN THIS FRANCHISE DISCLOSURE DOCUMENT IS UNTRUE, CONTACT THE FEDERAL TRADE COMMISSION AND THE APPROPRIATE STATE OR PROVINCIAL AUTHORITY. THE FRANCHISOR MAY, IF IT CHOOSES, NEGOTIATE WITH YOU ABOUT ITEMS COVERED IN THE FRANCHISE DISCLOSURE DOCUMENT. HOWEVER, THE FRANCHISOR CANNOT USE THE NEGOTIATING PROCESS TO PREVAIL UPON A PROSPECTIVE FRANCHISEE TO ACCEPT TERMS WHICH ARE LESS FAVORABLE THAN THOSE SET FORTH IN THIS FRANCHISE DISCLOSURE DOCUMENT.

2. The following is to be added at the end of Item 3:

   Except as provided above, with regard to the franchisor, its predecessor, a person identified in Item 2, or an affiliate offering franchises under the franchisor's principal trademark:

   A. No such party has an administrative, criminal or civil action pending against that person alleging: a felony, a violation of a franchise, antitrust, or securities law, fraud, embezzlement, fraudulent conversion, misappropriation of property, unfair or deceptive practices, or comparable civil or misdemeanor allegations.

   B. No such party has pending actions, other than routine litigation incidental to the business, which are significant in the context of the number of franchisees and the size, nature or financial condition of the franchise system or its business operations.

   C. No such party has been convicted of a felony or pleaded nolo contendere to a felony charge or, within the 10-year period immediately preceding the application for registration, has been convicted of or pleaded nolo contendere to a misdemeanor charge or has been the subject of a civil action alleging: violation of a franchise, antifraud, or securities law; fraud; embezzlement; fraudulent conversion or misappropriation of property; or unfair or deceptive practices or comparable allegations.

   D. No such party is subject to a currently effective injunctive or restrictive order or decree relating to the franchise, or under a Federal, State, or Canadian franchise,

securities, antitrust, trade regulation or trade practice law, resulting from a concluded or pending action or proceeding brought by a public agency; or is subject to any currently effective order of any national securities association or national securities exchange, as defined in the Securities and Exchange Act of 1934, suspending or expelling such person from membership in such association or exchange; or is subject to a currently effective injunctive or restrictive order relating to any other business activity as a result of an action brought by a public agency or department, including, without limitation, actions affecting a license as a real estate broker or sales agent.

3. The following is added to the end of the "Summary" sections of Item 17(c), titled "**Requirements for franchisee to renew or extend**," and Item 17(m), entitled "**Conditions for franchisor approval of transfer**":

   However, to the extent required by applicable law, all rights you enjoy and any causes of action arising in your favor from the provisions of Article 33 of the General Business Law of the State of New York and the regulations issued thereunder shall remain in force; it being the intent of this proviso that the non-waiver provisions of General Business Law Sections 687(4) and 687(5) be satisfied.

4. The following language replaces the "Summary" section of Item 17(d), titled "**Termination by franchisee**": You may terminate the agreement on any grounds available by law.

5. The following is added to the end of the "Summary" sections of Item 17(v), titled "**Choice of forum**", and Item 17(w), titled "**Choice of law**":

   The foregoing choice of law should not be considered a waiver of any right conferred upon the franchisor or upon the franchisee by Article 33 of the General Business Law of the State of New York.

6. No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

7. Any sale made must be in compliance with § 683(8) of the Franchise Sale Act (N.Y. Gen. Bus. L. § 680 et seq.), which describes the time period a Franchise Disclosure Document (offering prospectus) must be provided to a prospective franchisee before a sale may be made. New York law requires a franchisor to provide the Franchise Disclosure Document at the earlier of the first personal meeting, ten (10) business days before the execution of the franchise or other agreement, or the payment of any consideration that relates to the franchise relationship.

NORTH DAKOTA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

Items 5 and 7 of the Franchise Disclosure Document are amended to include the following information:

For North Dakota franchisees, the State of North Dakota requires us to defer payment of the Initial Franchise Fees until all initial obligations owed to franchisee under the franchise agreement or other documents have been fulfilled by the franchisor and the franchisee has commenced doing business pursuant to the franchise agreement. This financial assurance requirement was imposed because of Winmark's current financial condition.

Item 17 of the Franchise Disclosure Document provides that binding arbitration of any disputes will take place in Minneapolis, Minnesota. Item 17 is amended to provide that Winmark and you will agree to the site of arbitration.

The Franchise Disclosure Document is revised to include the following provision:

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

NORTH DAKOTA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement as follows:

1. Section 4 is amended to include the following:

All Initial Franchise Fees paid to Franchisor by North Dakota franchisees will be deferred until Franchisor has fulfilled its initial obligations under the Franchise Agreement and Franchisee has commenced doing business.

2. Section 18.B of the Franchise Agreement is amended by the addition of the following sentence at the end of such provision:

Covenants not to compete such as those mentioned above are generally considered unenforceable in the State of North Dakota.

3. Section 19.A of the Franchise Agreement is amended to provide that Franchisor and Franchisee will agree to the site of arbitration.

4. Section 19.C of the Franchise Agreement is deleted in its entirety.

5. Section 20.B of the Franchise Agreement is amended to include the following:

No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

6. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

Franchisor's Initials

Franchisee's Initials

RHODE ISLAND ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

The following applies to franchises and franchisees subject to Rhode Island statutes and regulations. Item numbers correspond to those in the main body.

1. Item 17.

§ 19-28.1-14 of the Rhode Island Franchise Investment Act provides that "A provision in a franchise agreement restricting jurisdiction or venue to a forum outside this state or requiring the application of the laws of another state is void with respect to a claim otherwise enforceable under this Act."

RHODE ISLAND ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement as follows:

1. Section 19 of the Franchise Agreement is amended to include the following:

> § 19-28.1-14 of the Rhode Island Franchise Investment Act provides that "A provision in a franchise agreement restricting jurisdiction or venue to a forum outside this state or requiring the application of the laws of another state is void with respect to a claim otherwise enforceable under this Act."

2. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

_____	_____
Franchisor's Initials	Franchisee's Initials

RHODE ISLAND ADDENDUM TO
ONCE UPON A CHILD®
SOFTWARE LICENSE AGREEMENT

In consideration of the execution of the Software License Agreement (the "Software Agreement"), Franchisor and Franchisee agree to amend the Software Agreement as follows:

1. Section 8(A) of the Software Agreement is amended to include the following:

   § 19-28.1-14 of the Rhode Island Franchise Investment Act provides that "A provision in a franchise agreement restricting jurisdiction or venue to a forum outside this state or requiring the application of the laws of another state is void with respect to a claim otherwise enforceable under this Act."

2. In all other respects, the Software Agreement will be construed and enforced with its terms.

Winmark's Initials	Licensee's Initials

SOUTH DAKOTA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

Items 5 and 7 of the Franchise Disclosure Document are amended to include the following information:

> For South Dakota franchisees, the State of South Dakota requires us to defer payment of the Initial Franchise Fees until we have completed our pre-opening obligations and you have opened your Store for business. This financial assurance requirement was imposed because of Winmark's current financial condition.

SOUTH DAKOTA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement as follows:

1. Section 4 is amended to include the following:

   All Initial Franchise Fees paid to Franchisor by South Dakota franchisees will be deferred until Franchisor has met its pre-opening obligations and Franchisee has opened the Store.

2. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

_____ _____

(Franchisor's Initials) (Franchisee's Initials)

VIRGINIA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

Item 5 of the Franchise Disclosure Document is revised to include the following provision:

> The Initial Franchise Fee and other initial payments made to Winmark by Virginia franchisees are required to be placed in escrow until Winmark has completed its pre-opening obligations under the Franchise Agreement. The Virginia State Corporation Commission's Division of Securities and Retail Franchising imposed the escrow requirement because of Winmark's financial condition. Winmark has entered into an Escrow Agreement with US Bank National Association dated April 18, 2016. You should make your checks for the Initial Franchise Fees described in Item 5 payable to "U.S. Bank f/b/o Winmark Corporation." This Escrow Agreement is on file with the Virginia State Corporations Commission, Division of Securities and Retail Franchising, Tyler Building, 1300 East Main Street, Richmond, VA 23219-3630.

Item 17 of the Franchise Disclosure Document is revised to include the following provision:

> Pursuant to Section 13.1-564 of the Virginia Retail Franchising Act, it is unlawful for a franchisor to cancel a franchise without reasonable cause. If any grounds for default or termination stated in the Franchise Agreement does not constitute "reasonable cause," as that term may be defined in the Virginia Retail Franchising Act or the laws of Virginia, that provision may not be enforceable.

The Franchise Disclosure Document is revised to include the following provision:

> No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

Under subsection D of § 13.1-559 of the Virginia Retail Franchising Act, all franchise contracts or agreements offered or entered into on or after July 1, 2026, for a franchise to be located in the Commonwealth of Virginia, shall be governed by the laws of the Commonwealth of Virginia.

Under subdivision A 4 of § 13.1-563 of the Virginia Retail Franchising Act, it is unlawful, on or after July 1, 2026, to offer or enter into a franchise agreement for a franchise to be located in the Commonwealth of Virginia that restricts the right of a franchisee to engage in the business of offering, selling, or distributing goods or services at retail after termination or expiration of the franchise agreement. However, under subsection B of § 13.1-563 of the Virginia Retail Franchising Act, if a franchisee sells a franchise at a mutually agreed upon price to a third party or back to the franchisor, such sale may include a term restricting the right of such franchisee to engage in the business of offering, selling, or distributing goods or services at retail for a period of no more than two years.

Item 6 of the Franchise Disclosure Document is revised to include the following provision:

Type of Fee	Amount (See Note 1)	Due Date	Remarks
Non-Transfer Fee	TTM Continuing Fee times two (2)	When Due	Note 13

(13) A Non-Transfer Fee may be due if the Franchisee allows the Franchise Agreement to expire or terminate without transferring the Franchised Business. It is payable to Winmark in a lump sum and calculated as two (2) times the total Continuing Fees paid to Franchisor during the twelve (12) months immediately preceding expiration or termination and due upon the termination/expiration. Franchisee acknowledges that this payment obligation is a reasonable estimate of the value of the goodwill, customer relationships, operating know-how, and system benefits developed during the term of the Franchise Agreement.

Notwithstanding any restriction or prohibition under Virginia law regarding post-termination non-competition provisions, the Franchisee's obligations with respect to Confidential Information and Trade Secrets shall remain in full force and effect. Confidential Information includes all non-public information of the franchisor, including but not limited to customer data, operating methods, systems, manuals, marketing programs, and proprietary software. Trade Secrets shall be protected in accordance with the Virginia Uniform Trade Secrets Act (Va. Code §§ 59.1-336 et seq.) and shall remain protected for so long as such information qualifies as a trade secret under applicable law. The Franchisee may not use or disclose such Confidential Information or Trade Secrets following termination or expiration of the Franchise Agreement. To clarify, Franchisee shall not directly or indirectly solicit, target, divert, or attempt to divert for a competing business any customer, seller, consignor, loyalty program participant, or other person or entity whose identity or contact information was obtained through operation of the Franchised Business, use of the System, Franchisor-provided technology, Franchisor marketing programs, or other Confidential Information.

For clarity, the Franchise Agreement provides that if Franchisee closes the Store during the term of the Agreement, Franchisor's damages may include, without limitation, the Continuing Fees due for the remainder of the Agreement term.

Nothing in this Addendum shall expand the enforceability of any non-competition restriction beyond that permitted under Virginia law; or limit Franchisor's rights under the Franchise Agreement with respect to confidentiality, trademarks, proprietary information, or other post-termination obligations. All such remaining post-term obligations shall remain in full force and effect and may be enforced in accordance with their terms, including, without limitation, obligations relating to confidentiality, trademarks and other intellectual property, and proprietary information.

Item 17 of the Franchise Disclosure Document is revised to include the following provision:

Item 17(i) of the Franchise Disclosure Document is revised to identify Section 2(C) of the Franchise Agreement under the heading "Sections in Agreement" and to include the following in the "Summary" column: If the Franchisee elects not to renew the Franchise Agreement or transfer the Franchised Business before expiration or termination, Winmark may impose a Non-Transfer Fee.

VIRGINIA ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

In consideration of the execution of the Franchise Agreement, Franchisor and Franchisee agree to amend the Franchise Agreement as follows:

1. If the Franchise Agreement is entered into on or after July 1, 2026, notwithstanding anything set forth in the Franchise Agreement to the contrary, (a) the Franchise Agreement shall be governed by the laws of the Commonwealth of Virginia; and (b) the post-term non-competition provision in the Franchise Agreement shall only apply if Franchisee sells its franchise at a mutually agreed upon price to a third party or back to the Franchisor.

2. Section 2 of the Franchise Agreement is amended to add the following:

   C. Non-Renewal. If Franchisee elects not to renew the Franchise Agreement or transfer the Franchised Business before expiration of the Franchise Agreement, Winmark may impose a Non-Transfer Fee. The Non-Transfer Fee is payable to Winmark in a lump sum and is calculated as two (2) times the total Continuing Fees paid to Franchisor during the twelve (12) months immediately preceding expiration or termination of the Franchise Agreement. Franchisee remains responsible for complying with all applicable post-termination obligations set forth in Section 17.

3. Section 4 of the Franchise Agreement is amended to include the following:

   All Initial Franchise Fees paid to Franchisor by Virginia franchisees will be placed in escrow at US Bank National Association until Franchisor has met its pre-opening obligations.

4. Section 15 of the Franchise Agreement is amended by the addition of the following language:

   Pursuant to Section 13.1-564 of the Virginia Retail Franchising Act, it is unlawful for a franchisor to cancel a franchise without reasonable cause. If any grounds for default or termination stated in the Franchise Agreement does not constitute "reasonable cause," as that term may be defined in the Virginia Retail Franchising Act or the laws of Virginia, that provision may not be enforceable.

5. Section 20.B of the Franchise Agreement is amended to include the following:

   No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

6. The Franchise Agreement provides that if Franchisee closes the Store during the term of the Agreement, Franchisor's damages may include, without limitation, the Continuing Fees due for the remainder of the Agreement Term.

7. Notwithstanding any restriction or prohibition under Virginia law regarding post-termination non-competition provisions, the Franchisee's obligations with respect to Confidential Information and Trade Secrets shall remain in full force and effect. Confidential Information includes all non-public information of the franchisor, including, but not limited to, customer data, operating methods, systems, manuals, marketing programs, and proprietary software. Trade Secrets shall be protected in accordance with the Virginia Uniform Trade Secrets Act (Va. Code §§ 59.1-336 et

seq.) and shall remain protected for so long as such information qualifies as a trade secret under applicable law. The Franchisee may not use or disclose such Confidential Information or Trade Secrets following termination or expiration of the Franchise Agreement. To clarify, Franchisee shall not directly or indirectly solicit, target, divert, or attempt to divert for any reason, any customer, seller, consignor, loyalty program participant, or other person or entity whose identity or contact information was obtained through operation of the Franchised Business, use of the System, Franchisor-provided technology, Franchisor marketing programs, or other Confidential Information.

8. Nothing in this Addendum shall expand the enforceability of any non-competition restriction beyond that permitted under Virginia law or limits Franchisor's rights with respect to confidentiality, trademarks, proprietary information, or other post-termination obligations. All such remaining post-term obligations shall remain in full force and effect and may be enforced in accordance with their terms, including, without limitation, obligations relating to confidentiality, trademarks and other intellectual property, and proprietary information.

9. In all other respects, the Franchise Agreement will be construed and enforced with its terms.

_____ _____

Franchisor's Initials Franchisee's Initials

WASHINGTON ADDENDUM TO THE
FRANCHISE DISCLOSURE DOCUMENT

The provisions of this Addendum form an integral part of, are incorporated into, and modify the Franchise Disclosure Document regardless of anything to the contrary contained therein. This Addendum applies if: (a) the offer to sell a franchise is accepted in Washington; (b) the purchaser of the franchise is a resident of Washington; and/or (c) the franchised business that is the subject of the sale is to be located or operated, wholly or partly, in Washington.

1. Conflict of Laws. In the event of a conflict of laws, the provisions of the Washington Franchise Investment Protection Act, chapter 19.100 RCW will prevail.

2. Franchisee Bill of Rights. RCW 19.100.180 may supersede provisions in the franchise agreement or related agreements concerning your relationship with the franchisor, including in the areas of termination and renewal of your franchise. There may also be court decisions that supersede the franchise agreement or related agreements concerning your relationship with the franchisor. Franchise agreement provisions, including those summarized in Item 17 of the Franchise Disclosure Document, are subject to state law.

3. Site of Arbitration, Mediation, and/or Litigation. In any arbitration or mediation involving a franchise purchased in Washington, the arbitration or mediation site will be either in the state of Washington, or in a place mutually agreed upon at the time of the arbitration or mediation, or as determined by the arbitrator or mediator at the time of arbitration or mediation. In addition, if litigation is not precluded by the franchise agreement, a franchisee may bring an action or proceeding arising out of or in connection with the sale of franchises, or a violation of the Washington Franchise Investment Protection Act, in Washington.

4. General Release. A release or waiver of rights in the franchise agreement or related agreements purporting to bind the franchisee to waive compliance with any provision under the Washington Franchise Investment Protection Act or any rules or orders thereunder is void except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2). In addition, any such release or waiver executed in connection with a renewal or transfer of a franchise is likewise void except as provided for in RCW 19.100.220(2).

5. Statute of Limitations and Waiver of Jury Trial. Provisions contained in the franchise agreement or related agreements that unreasonably restrict or limit the statute of limitations period for claims under the Washington Franchise Investment Protection Act, or rights or remedies under the Act such as a right to a jury trial, may not be enforceable.

6. Transfer Fees. Transfer fees are collectable only to the extent that they reflect the franchisor's reasonable estimated or actual costs in effecting a transfer.

7. Termination by Franchisee. The franchisee may terminate the franchise agreement under any grounds permitted under state law.

8. Certain Buy-Back Provisions. Provisions in franchise agreements or related agreements that permit the franchisor to repurchase the franchisee's business for any reason during the term of the franchise agreement without the franchisee's consent are unlawful pursuant to RCW 19.100.180(2)(j), unless the franchise is terminated for good cause.

9. Fair and Reasonable Pricing. Any provision in the franchise agreement or related agreements that requires the franchisee to purchase or rent any product or service for more than a fair and reasonable price is unlawful under RCW 19.100.180(2)(d).

10. Waiver of Exemplary & Punitive Damages. RCW 19.100.190 permits franchisees to seek treble damages under certain circumstances. Accordingly, provisions contained in the franchise agreement or elsewhere requiring franchisees to waive exemplary, punitive, or similar damages are void, except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2).

11. Franchisor's Business Judgement. Provisions in the franchise agreement or related agreements stating that the franchisor may exercise its discretion on the basis of its reasonable business judgment may be limited or superseded by RCW 19.100.180(1), which requires the parties to deal with each other in good faith.

12. Indemnification. Any provision in the franchise agreement or related agreements requiring the franchisee to indemnify, reimburse, defend, or hold harmless the franchisor or other parties is hereby modified such that the franchisee has no obligation to indemnify, reimburse, defend, or hold harmless the franchisor or any other indemnified party for losses or liabilities to the extent that they are caused by the indemnified party's negligence, willful misconduct, strict liability, or fraud.

13. Attorneys' Fees. If the franchise agreement or related agreements require a franchisee to reimburse the franchisor for court costs or expenses, including attorneys' fees, such provision applies only if the franchisor is the prevailing party in any judicial or arbitration proceeding.

14. Noncompetition Covenants. Pursuant to RCW 49.62.020, a noncompetition covenant is void and unenforceable against an employee, including an employee of a franchisee, unless the employee's earnings from the party seeking enforcement, when annualized, exceed $100,000 per year (an amount that will be adjusted annually for inflation). In addition, a noncompetition covenant is void and unenforceable against an independent contractor of a franchisee under RCW 49.62.030 unless the independent contractor's earnings from the party seeking enforcement, when annualized, exceed $250,000 per year (an amount that will be adjusted annually for inflation). As a result, any provision contained in the franchise agreement or elsewhere that conflicts with these limitations is void and unenforceable in Washington.

15. Nonsolicitation Agreements. RCW 49.62.060 prohibits a franchisor from restricting, restraining, or prohibiting a franchisee from (i) soliciting or hiring any employee of a franchisee of the same franchisor or (ii) soliciting or hiring any employee of the franchisor. As a result, any such provisions contained in the franchise agreement or elsewhere are void and unenforceable in Washington.

16. Questionnaires and Acknowledgments. No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

17. Prohibitions on Communicating with Regulators. Any provision in the franchise agreement or related agreements that prohibits the franchisee from communicating with or complaining to regulators is inconsistent with the express instructions in the Franchise Disclosure Document and is unlawful under RCW 19.100.180(2)(h).

18. Advisory Regarding Franchise Brokers. Under the Washington Franchise Investment Protection Act, a "franchise broker" is defined as a person that engages in the business of the offer or sale of franchises. A franchise broker represents the franchisor and is paid a fee for referring prospects to the franchisor and/or selling the franchise. If a franchisee is working with a franchise broker, franchisees are advised to carefully evaluate any information provided by the franchise broker about a franchise.

19. Item 5. All Initial Franchise Fees paid to Winmark by Washington franchisees are required to be placed in an escrow impound account. The Director of the Department of Financial Institutions imposed the impound requirement because of Winmark's financial condition. Winmark has entered into an Impound Agreement with US Bank, N.A. dated July 7, 2015. You should make your checks for the Initial Franchise Fees described in Item 5 payable to "Winmark Corporation, US Bank as Depository." This Impound Agreement is on file with the Department of Financial Institutions, Securities Division, 150 Israel Rd SW, Tumwater, WA 98501.

20. Item 7. The last sentence in Item 7 (Note 14) of the Franchise Disclosure Document is amended to delete the following:

> Your costs will depend on factors such as how much you follow Winmark's systems and procedures, your management skills and experience, local economic conditions, the local market for Once Upon A Child® products, the prevailing wage rate, competition and the sales level reached during the initial period.

WASHINGTON ADDENDUM TO THE
FRANCHISE AGREEMENT, AND ALL RELATED AGREEMENTS

The provisions of this Addendum form an integral part of, are incorporated into, and modify the franchise agreement regardless of anything to the contrary contained therein. This Addendum applies if: (a) the offer to sell a franchise is accepted in Washington; (b) the purchaser of the franchise is a resident of Washington; and/or (c) the franchised business that is the subject of the sale is to be located or operated, wholly or partly, in Washington.

1. Conflict of Laws. In the event of a conflict of laws, the provisions of the Washington Franchise Investment Protection Act, chapter 19.100 RCW will prevail.

2. Franchisee Bill of Rights. RCW 19.100.180 may supersede provisions in the franchise agreement or related agreements concerning your relationship with the franchisor, including in the areas of termination and renewal of your franchise. There may also be court decisions that supersede the franchise agreement or related agreements concerning your relationship with the franchisor. Franchise agreement provisions, including those summarized in Item 17 of the Franchise Disclosure Document, are subject to state law.

3. Site of Arbitration, Mediation, and/or Litigation. In any arbitration or mediation involving a franchise purchased in Washington, the arbitration or mediation site will be either in the state of Washington, or in a place mutually agreed upon at the time of the arbitration or mediation, or as determined by the arbitrator or mediator at the time of arbitration or mediation. In addition, if litigation is not precluded by the franchise agreement, a franchisee may bring an action or proceeding arising out of or in connection with the sale of franchises, or a violation of the Washington Franchise Investment Protection Act, in Washington.

4. General Release. A release or waiver of rights in the franchise agreement or related agreements purporting to bind the franchisee to waive compliance with any provision under the Washington Franchise Investment Protection Act or any rules or orders thereunder is void except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2). In addition, any such release or waiver executed in connection with a renewal or transfer of a franchise is likewise void except as provided for in RCW 19.100.220(2).

5. Statute of Limitations and Waiver of Jury Trial. Provisions contained in the franchise agreement or related agreements that unreasonably restrict or limit the statute of limitations period for claims under the Washington Franchise Investment Protection Act, or rights or remedies under the Act such as a right to a jury trial, may not be enforceable.

6. Transfer Fees. Transfer fees are collectable only to the extent that they reflect the franchisor's reasonable estimated or actual costs in effecting a transfer.

7. Termination by Franchisee. The franchisee may terminate the franchise agreement under any grounds permitted under state law.

8. Certain Buy-Back Provisions. Provisions in franchise agreements or related agreements that permit the franchisor to repurchase the franchisee's business for any reason during the term

of the franchise agreement without the franchisee's consent are unlawful pursuant to RCW 19.100.180(2)(j), unless the franchise is terminated for good cause.

9. Fair and Reasonable Pricing. Any provision in the franchise agreement or related agreements that requires the franchisee to purchase or rent any product or service for more than a fair and reasonable price is unlawful under RCW 19.100.180(2)(d).

10. Waiver of Exemplary & Punitive Damages. RCW 19.100.190 permits franchisees to seek treble damages under certain circumstances. Accordingly, provisions contained in the franchise agreement or elsewhere requiring franchisees to waive exemplary, punitive, or similar damages are void, except when executed pursuant to a negotiated settlement after the agreement is in effect and where the parties are represented by independent counsel, in accordance with RCW 19.100.220(2).

11. Franchisor's Business Judgement. Provisions in the franchise agreement or related agreements stating that the franchisor may exercise its discretion on the basis of its reasonable business judgment may be limited or superseded by RCW 19.100.180(1), which requires the parties to deal with each other in good faith.

12. Indemnification. Any provision in the franchise agreement or related agreements requiring the franchisee to indemnify, reimburse, defend, or hold harmless the franchisor or other parties is hereby modified such that the franchisee has no obligation to indemnify, reimburse, defend, or hold harmless the franchisor or any other indemnified party for losses or liabilities to the extent that they are caused by the indemnified party's negligence, willful misconduct, strict liability, or fraud.

13. Attorneys' Fees. If the franchise agreement or related agreements require a franchisee to reimburse the franchisor for court costs or expenses, including attorneys' fees, such provision applies only if the franchisor is the prevailing party in any judicial or arbitration proceeding.

14. Noncompetition Covenants. Pursuant to RCW 49.62.020, a noncompetition covenant is void and unenforceable against an employee, including an employee of a franchisee, unless the employee's earnings from the party seeking enforcement, when annualized, exceed $100,000 per year (an amount that will be adjusted annually for inflation). In addition, a noncompetition covenant is void and unenforceable against an independent contractor of a franchisee under RCW 49.62.030 unless the independent contractor's earnings from the party seeking enforcement, when annualized, exceed $250,000 per year (an amount that will be adjusted annually for inflation). As a result, any provision contained in the franchise agreement or elsewhere that conflicts with these limitations is void and unenforceable in Washington.

15. Nonsolicitation Agreements. RCW 49.62.060 prohibits a franchisor from restricting, restraining, or prohibiting a franchisee from (i) soliciting or hiring any employee of a franchisee of the same franchisor or (ii) soliciting or hiring any employee of the franchisor. As a result, any such provisions contained in the franchise agreement or elsewhere are void and unenforceable in Washington.

16. Questionnaires and Acknowledgments. No statement, questionnaire, or acknowledgment signed or agreed to by a franchisee in connection with the commencement of the franchise relationship shall have the effect of (i) waiving any claims under any applicable

state franchise law, including fraud in the inducement, or (ii) disclaiming reliance on any statement made by any franchisor, franchise seller, or other person acting on behalf of the franchisor. This provision supersedes any other term of any document executed in connection with the franchise.

17. **Prohibitions on Communicating with Regulators.** Any provision in the franchise agreement or related agreements that prohibits the franchisee from communicating with or complaining to regulators is inconsistent with the express instructions in the Franchise Disclosure Document and is unlawful under RCW 19.100.180(2)(h).

18. **Advisory Regarding Franchise Brokers.** Under the Washington Franchise Investment Protection Act, a "franchise broker" is defined as a person that engages in the business of the offer or sale of franchises. A franchise broker represents the franchisor and is paid a fee for referring prospects to the franchisor and/or selling the franchise. If a franchisee is working with a franchise broker, franchisees are advised to carefully evaluate any information provided by the franchise broker about a franchise.

19. **Background.** Background (B) Section of the Franchise Agreement is deleted in its entirety.

20. **Financial Assurance.** Section 4 of the Franchise Agreement is amended to include the following:

> "All Initial Franchise Fees paid to Franchisor by Washington franchisees will be placed in impound at US Bank, N.A. until Franchisor has met its pre-opening obligations and Franchisee has opened the Store."

21. The last sentence of Section 7.A of the Franchise Agreement is amended to delete the following:

"…and does not constitute a representation, warranty, or guarantee, express, implied or collateral, regarding the choice and location of the Store, that the development of the Store is free of error, nor that the franchised business is likely to achieve any level of volume, profit or success."

22. Section 8.O of the Franchise Agreement is amended to delete the following sentence:

> "Franchisor makes no guarantees concerning the success of the Store located on any site consented to by Franchisor."

23. Nothing in the Franchise Agreement waives any liability the franchisor may have under the Washington Franchise Protection Act, RCW 19.100, and the rules adopted thereunder.

24. Section 22 of the Franchise Agreement is deleted in its entirety.

25. The following sentence is deleted from the signature page of the Franchise Agreement:

> "FRANCHISOR DISCLAIMS ANY WARRANTY OR REPRESENTATION AS TO THE POTENTIAL SUCCESS OF FRANCHISEE'S BUSINESS OPERATIONS UNDER THIS AGREEMENT."

The undersigned parties do hereby acknowledge receipt of this Addendum.

Dated this _____ day of _____ 20_____.

_____	_____
Signature of Franchisor Representative	Signature of Franchisee Representative
_____	_____
Title of Franchisor Representative	Title of Franchisee Representative

WISCONSIN ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE DISCLOSURE DOCUMENT

The following information applies to franchises and franchisees subject to the Wisconsin Fair Dealership Law. Item numbers correspond to those in the main body:

1. Item 17.

For all franchises sold in the State of Wisconsin, we will provide you at least 90 days prior written notice of termination, cancellation, or substantial change in competitive circumstances. The notice will state all the reasons for termination, cancellation, or substantial change in competitive circumstances and will provide that you have 60 days in which to cure any claimed deficiency. If the deficiency is cured within 60 days, the notice will be void. If the reason for termination, cancellation, or substantial change in competitive circumstances is nonpayment of sums due under the franchise, you will have 10 days to cure the deficiency.

2. Item 17.

For Wisconsin franchisees, ch. 135, Stats., the Wisconsin Fair Dealership Law, supersedes any provision of the Franchise Agreement or a related contract which is inconsistent with the Law.

WISCONSIN ADDENDUM TO
ONCE UPON A CHILD®
FRANCHISE AGREEMENT

This Addendum shall pertain to franchises sold in the State of Wisconsin and shall be for the purpose of complying with Wisconsin statutes and regulations. Notwithstanding anything which may be contained in the body of the Franchise Agreement to the contrary, the Agreement shall be amended as follows:

1. Section 15 of the Franchise Agreement is amended by the addition of the following language:

> For all franchises sold in the State of Wisconsin, Franchisor shall provide Franchisee at least ninety (90) days' prior written notice of termination, cancellation, or substantial change in competitive circumstances. The notice shall state all the reasons for termination, cancellation, or substantial change in competitive circumstances and shall provide that Franchisee has sixty (60) days in which to rectify any claimed deficiency. If the deficiency is rectified within sixty (60) days, the notice shall be void. If the reason for termination, cancellation, or substantial change in competitive circumstances is non payment of sums due under the franchise, Franchisee shall be entitled to written notice of such default, and shall have not less than ten (10) days in which to remedy such default from the date of delivery or posting of such notice.

2. Ch. 135, Stats., the Wisconsin Fair Dealership Law, supercedes any provision of this Franchise Agreement or a related document between Franchisor and Franchisee inconsistent with the law.

3. In all other respects, the Franchise Agreement will be construed and enforced according to its terms.

_____ _____
Franchisor's Initials Franchisee's Initials

EXHIBIT I

State Effective Dates Page

State Effective Dates

The following states have franchise laws that require that the Franchise Disclosure Document be registered or filed with the state, or be exempt from registration:
California, Hawaii, Illinois, Indiana, Maryland, Michigan, Minnesota, New York, North Dakota, Rhode Island, South Dakota, Virginia, Washington, and Wisconsin.

This document is effective and may be used in the following states, where the document is filed, registered or exempt from registration, as of the Effective Date stated below:

State	Effective Date
California	April 22, 2026, as amended _____
Hawaii	April 10, 2026, as amended
Illinois	March 17, 2026, as amended
Indiana	March 18, 2026, as amended
Maryland	June 4, 2026, as amended
Michigan	March 16, 2026, as amended
Minnesota	March 31, 2026, as amended
New York	May 14, 2026, as amended
North Dakota	April 9, 2026, as amended
Rhode Island	March 20, 2026, as amended
South Dakota	March 25, 2026, as amended October 13, 2026
Virginia	March 30, 2026 as amended June 30, 2026 and
Washington	May 19, 2026, as amended
Wisconsin	March 16, 2026, as amended

Other states may require registration, filing, or exemption of a franchise under other laws, such as those that regulate the offer and sale of business opportunities or seller-assisted marketing plans.

EXHIBIT J

Receipts

RECEIPT

This disclosure document summarizes certain provisions of the Franchise Agreement and other information in plain language. Read this disclosure document and all agreements carefully.

If we offer you a franchise, we must provide this disclosure document to you 14 calendar days before you sign a binding agreement with, or make a payment to, us or our affiliate in connection with the proposed franchise sale. New York requires that we give you this disclosure document at the earlier of the first personal meeting or 10 business days before execution of the franchise or other agreement or the payment of consideration that relates to the franchise relationship. Iowa and Michigan require that we give you this disclosure document at least 10 business days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

If we do not deliver this disclosure document on time or if it contains a false or misleading statement, or a material omission, a violation of federal law and state law may have occurred and should be reported to the Federal Trade Commission, Washington, D.C. 20580 and those state administrators listed on Exhibit G.

The franchisor is Winmark Corporation, located at 605 Highway 169 N, Suite 400, Minneapolis, MN 55441. Its telephone number is (763) 520-8500. Our franchise sellers involved in offering and selling the franchise to you are Cat Halle, Brandon Kuhlers, Lucas Neibacher and Shannon Hoppe, Winmark Corporation, 605 Highway 169 N, Suite 400, Minneapolis, MN 55441, (763) 520-8500, or is listed below (with address and telephone number), or will be provided to you separately before you sign a Franchise Agreement: _____.

Issuance Date: March 16, 2026 as amended October 13, 2026

We authorize the respective state agencies identified in Exhibit G to receive service of process for us in the particular state.

I have received a Once Upon A Child® disclosure document that had an Issuance Date of March 16, 2026, as amended October 13, 2026, and included the following Exhibits: List of Stores (Exhibit A), List of Terminated Franchises (Exhibit B), Winmark's Audited Consolidated Financial Statements (Exhibit C), Once Upon A Child® Franchise Agreement and exhibits (Exhibit D), Bank Draft Authorization (Exhibit E), Franchisee Questionnaire (Exhibit F), List of State Administrators/Agents for Service of Process (Exhibit G), State Specific Addenda (Exhibit H), State Effective Dates Page (Exhibit I) and Receipts (Exhibit J).

FRANCHISEE (For a Corporation)

Date Received: _____

Corp. Name: _____

State of Incorporation: _____

By: _____

Print Name: _____

Title: _____

FRANCHISEE (For an Individual)

Date Received: _____

Signed: _____

Print Name: _____

Address: _____

City: _____ State: _____

Phone: (___) _____ Zip: _____

(Additional Individual Franchisee)

Date Received: _____

Signed: _____

Print Name: _____

Address: _____

City: _____ State: _____

Phone: (___) _____ Zip: _____

Copy for Franchisee

RECEIPT

This disclosure document summarizes certain provisions of the Franchise Agreement and other information in plain language. Read this disclosure document and all agreements carefully.

If we offer you a franchise, we must provide this disclosure document to you 14 calendar days before you sign a binding agreement with, or make a payment to, us or our affiliate in connection with the proposed franchise sale. New York requires that we give you this disclosure document at the earlier of the first personal meeting or 10 business days before execution of the franchise or other agreement or the payment of consideration that relates to the franchise relationship. Iowa and Michigan require that we give you this disclosure document at least 10 business days before the execution of any binding franchise or other agreement or the payment of any consideration, whichever occurs first.

If we do not deliver this disclosure document on time or if it contains a false or misleading statement, or a material omission, a violation of federal law and state law may have occurred and should be reported to the Federal Trade Commission, Washington, D.C. 20580 and those state administrators listed on Exhibit G.

The franchisor is Winmark Corporation, located at 605 Highway 169 N, Suite 400, Minneapolis, MN 55441. Its telephone number is (763) 520-8500. Our franchise sellers involved in offering and selling the franchise to you are Cat Halle, Brandon Kuhlers, Lucas Neibacher and Shannon Hoppe, Winmark Corporation, 605 Highway 169 N, Suite 400, Minneapolis, MN 55441, (763) 520-8500, or is listed below (with address and telephone number), or will be provided to you separately before you sign a Franchise Agreement: _____.

Issuance Date: March 16, 2026 as amended October 13, 2026

We authorize the respective state agencies identified in Exhibit G to receive service of process for us in the particular state.

I have received a Once Upon A Child® disclosure document that had an Issuance Date of March 16, 2026, as amended October 13, 2026, and included the following Exhibits: List of Stores (Exhibit A), List of Terminated Franchises (Exhibit B), Winmark's Audited Consolidated Financial Statements (Exhibit C), Once Upon A Child® Franchise Agreement and exhibits (Exhibit D), Bank Draft Authorization (Exhibit E), Franchisee Questionnaire (Exhibit F), List of State Administrators/Agents for Service of Process (Exhibit G), State Specific Addenda (Exhibit H), State Effective Dates Page (Exhibit I) and Receipts (Exhibit J).

FRANCHISEE (For a Corporation)

Date Received: _____

Corp. Name: _____

State of Incorporation: _____

By: _____

Print Name: _____

Title: _____

FRANCHISEE (For an Individual)

Date Received: _____

Signed: _____

Print Name: _____

Address: _____

City: _____ State: _____

Phone: (___) _____ Zip: _____

(Additional Individual Franchisee)

Date Received: _____

Signed: _____

Print Name: _____

Address: _____

City: _____ State: _____

Phone: (___) _____ Zip: _____

Copy for Winmark Corporation

Please mail a hard copy of this receipt to the address listed on the front page of this disclosure document or send to legalcompliance@winmarkcorporation.com by email (PDF).